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B.Ed. Secondary (1.5-Year)

EDU602-Educational Leadership and Management



HANDOUTS TOPIC NO 1 TO 270

MUHAMMAD IMRAN

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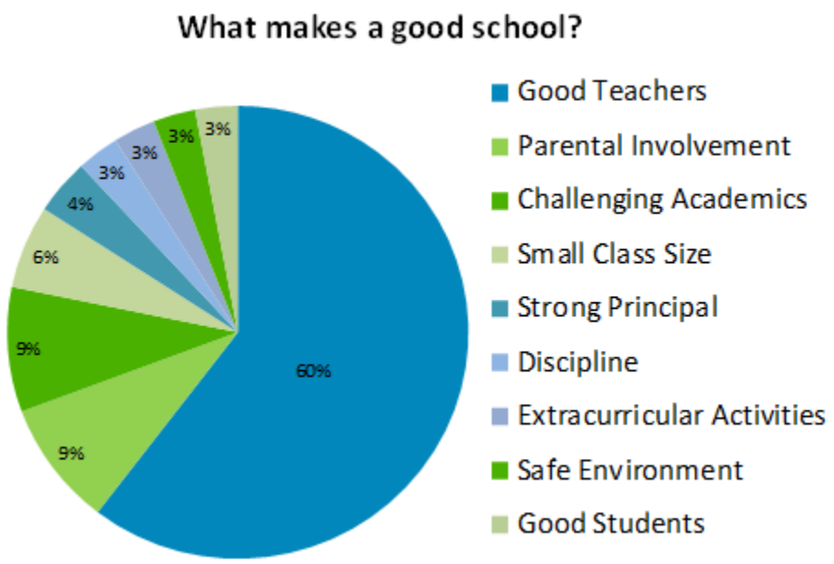
Topic 1 Good School

What is a Good School?

"Good School is that which most successfully achieves the targets set by the stakeholders by showing high grades and good results in exams"

What is an effective school?

A school is effective not because of the specific nature of what is taught (though it is important) but through the manner in which a positive, supportive, richy and frequently interactive atmosphere is created. (Gammage, 1985)



Topic 2 Effective School

Effective Leaders and Effective schools:

Effective schools can be good schools and good schools can be effective schools-but two are not necessarily the same. (Carl Gickman, 1987)

David Hopkins, a famous researcher on school improvement, tells us about effective schools:

- The peaceful and quite corridors, calm and friendly faces, collegial and collaborative staff, clean and committed environment are the basic components of an effective school.
- Here the students and the staff are full of respect and regard of each other. They are deeply concerned about the future and precisely focused on how to get to that. Doors do not band and breaks do not scream here.



Topic 3 Educational Leaders

- The role of the educational leaders will become paramount as the pace of change continues to quicken….
- According to David Green, 2000 "Those organizations will survive and flourish which have Change Leaders. These are the individuals who thrive on chaos and actively seek to make future".
- Ambiguity of change, complexity of the role, status of the profession and impact on the family life are all the reasons why there is a dearth of candidates seeking leadership roles in schools…… but then remember: Being a head is a great job – especially if you do not weaken.

(Brain Caldwell, 2003)



Topic 4 Why Effective Schools?

- About 40 years ago, Dr. Lezotte and his colleagues Ron Edmonds, Wilbur Brookover and other effective school researchers identified the common characteristics of successful schools-schools where all children learn.
- The research of these dedicated individuals refuted the notion that schools had no impact on learning and, in doing so, identified the correlates of Effective Schools.
- The correlates of effective schools are means of achieving high and equitable levels of students learning.
- It is expected that all children (whether they be male or female, rich or poor, black or white) will learn at least the essentially needed
  - **Knowledge**
  - **Concept and**
  - **Skills**
- So that they can be successful at the next level next year.

Topic 5 The Correlates of Effective Schools

- What is unique about the correlates is that they are the only set of research based characteristics of a school's climate associated with improved and better student learning.
- They are the only set of research identified concepts with which we can analyze that complex social organization of a school in order to cause the school as a whole to improve.

  Correlates of an effective school

  1. Instructional Leadership
  2. Clear and focused mission
  3. Safe and orderly environment
  4. Climate of high expectations
  5. Frequent monitoring of student progress
  6. Positive home-school relations
  7. Opportunity to learn and student time on task

Topic 6 Instructional Leadership

- In the effective school, the principal acts as an instructional leader and effectively and persistently communicates the mission to the staff, parents and the students.
- The principal understands and applies the characteristics of instructional effectiveness in management of the instructional programme.
- The effective school practices that the principal is the "leader of leaders" not the "leaders of followers".
- A principal can not be the only leader in a complex organization like a school.
- The leader creates a community of shared values.
- The principal and all staff members must take an active role in instructional leadership.
- Principal plays an important role towards all the correlates.

Topic 7 Clear and Focused mission

- In a focused school there is clearly articulated mission through which the staff share an understanding of and commitment to the instructional goals, priorities, assessment procedures and accountability.
- Staff accept responsibility for students learning of the school's essential curricular goals.
- An effective mission emphasizes innovation and improvement in providing learning for all – students and educators of all backgrounds.
- The principal can make a mission effective by being persistent and energetic in sharing her vision with faculty, students and parents to unite their goals.

Topic 8 Safe and orderly environment

A school climate that supports learning

- School communities that are welcoming and intentionally inviting insist on relationships that sponsor mutual respect and proper conduct among students.
- The term "safe environment" refers not only to the physical condition of the school, but also means that it is a place which is free from physical or verbal aggression, harassment or discrimination.
- Students must feel secure in their school community so that their energies can e applied to learning.
- School mission statements and codes of conduct are major factors in this respect.

Topic 9 Climate of high expectation

- In the effective school, staff believes and demonstrates that all students can master the essential school skills and that they have the ability to help all students attain that mastery.
- This means that effective teachers make a conscious effort to give equal opportunity for all students to respond during class, provide thoughtful feedback to every student and are willing to re-teach concepts that students have not mastered.

Topic 10 Frequent monitoring of Student Progress

- In the effective school, student academic progress is measured frequently using a variety of assessment procedures. Results are used to improve both individual student performance and instruction.

- Students who are regularly tested on their academic progress are more successful than those who are not.
- Frequent teacher-written evaluations give teachers the information they needed to make changes if some or all students were not mastering class material.
- Teachers can and should assess the students' learning more holistically and less formally than standardized exams----
- Relying less on multiple choices tests and giving more attention to portfolios and presentations.

Topic 11 Positive Home-School relations

- In the effective school, principal ensures that parents understand and support the school's basic mission and are given the opportunity to play an important role in helping the school to achieve this mission.
- The relationship between parents and the school must be an authentic partnership between the school and the home.
- The effective school must build enough trust and communication to realize that teachers and parents have the same goal-an effective school and home for all children.
- Bullying and any similar activities are all serious problems where the school can contribute to the solution, but the school can not solve them alone.
- In an ideal situation, the community as a whole works as a team to tackle these issues.

Topic 12 Opportunity to Learn

….. and student Time on Task

- The effective school allocates and protects a significant amount of time for instruction of the essential curricular areas.
- Students tend to learn the things they spend the most time on.
- Teachers at effective schools are aware of limited instruction time and create a syllabus with that in mind.
- Keeping the mission at the forefront, teachers must create a syllabus that allows for not just all material to be covered, but also for it to be mastered, within the time constraints of the class.
- The syllabus must be flexible enough to allow re-teaching when the students are having trouble with certain key concepts.
- The broader concept of leadership recognizes that leadership is always passed on from the followership in any organization.
- And expertise is generally distributed among many, not concentrated in a single person.

Topic 13 Who is a Leader?

"A person who influences a group of people towards the achievement of a goal".

- A mnernonic for leadership would be 3P's – Person, People and Purpose.
- PERSON is leadership a position of office or authority? Or, is leadership an ability in the sense that he is a leader because he leads?
- NO…
- A leader is one who goes first and leads by example, so that others are motivated to follow him.
- To be a leader, a person must have a deep-rooted commitment to the goal that he will strive to achieve it even if nobody follows him!

Topic 14 Central Idea

- A requirement for leadership is personal vision – the ability to visualize your goal as an accomplished fact; a thing already achieved.
- "The very essence of leadership is that you have to have vision. You can not blow an uncertain trumpet". (Theodore M. Hesburgh)
- "The leader has to be practical and a realist, yet must talk the language of the visionary and the idealist". (Eric Hoffer)

Great leaders have vision:

- There are very few natural visionary leaders in the world.
- The good news is that this is a skill that can be learned.
- It is probably the most powerful tool in a leader's toolbox.

Topic 15 Factors of leadership

- Leadership is strictly a people- cantered work. The role of a leader is to get others to achieve an objective willingly. As such, leadership can be broken down into three specific "sides".

The Situation: Define the situation, what needs to be accomplished and set a clear and focusing vision of accomplished.

It is understanding what is needed , in terms of human and other resources, to achieve success and developing the plan to achieve it.

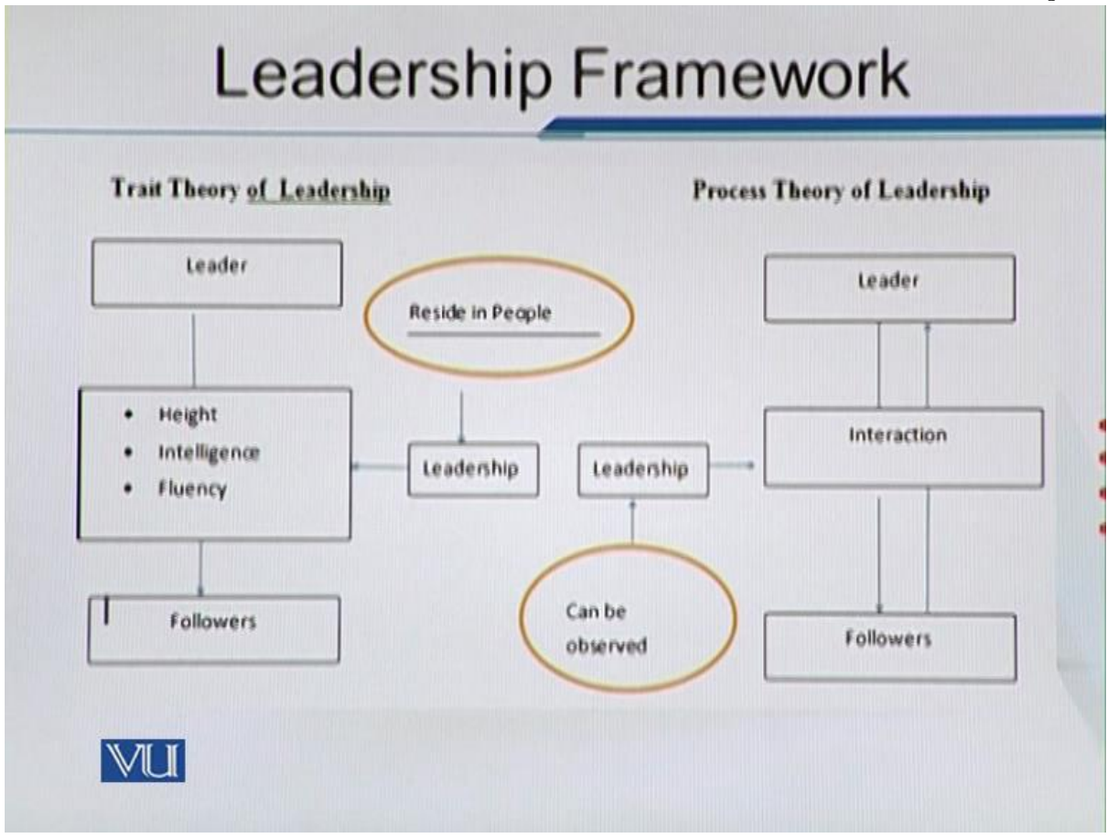
Followers:

The important points is that followers ONLY bring their unique gifts to the situation.

As leaders, we can not ask people to do more than they are capable, but we can ask them to do all they are capable of doing!

Topic 16 Leadership Framework

- Leadership is a process by which a person influences others to accomplish an objective and directs the organization in a way that makes it more cohesive and coherent.
- Leaders carry out this process by applying their leadership knowledge and skills. This is called Process Leadership.
- We know that we have traits that can influence our actions. This is called Trait Leadership.



Topic 17 Factors of Leadership …..cont'd

You (the leader):

Understand your own strengths. You also only bring your **unique gifts** to your role as a leader.

You can not lead in a way that is not natural. Followers will see right through and will not find what they need in you as a leader.

Thus, aligning your leadership to your own unique gifts and choosing to "lead from strength" is the only way to create the optimal chance for leadership success, and the optimal opportunity for fulfilment as a leader.

"Leadership is the art of getting someone else to do something you want done because he wants to do it". (General Dwight Eisenhower)

"The most dangerous leadership myth is that leaders are born – that there is a genetic factor to leadership. That's nonsense; in fact the opposite is true. Leaders are made rather than born". (Wareen Bennis)

Topic 18 Insight of Leadership

- Become "strategic" rather than "operational".
- Create a "climate or spirit of celebration and applause"—spirited organizations excel.
- Be committed every day to putting the pickax to the mountain, find new ways to lift yourself and others higher.
- Be the source of "possibility thinking".
- Let your co workers know they are worthwhile and full of promise.

Topic 19 Management and Manager

Management:

The function that coordinates the efforts of people to accomplish goals and objectives using available resources efficiently and effectively.

Resources:

Consist of people, their skills, know-how and experience, machinery, raw materials, computers and IT, parents, financial capital and loyal customers and employees.

Manager:

The person responsible for supervising the use of an organization's resources in fulfilment of the organization's goals and objectives.

Topic 20 Organization

All managers work in organizations.

Organization:

A structure unit of people who work together and coordinate their actions to achieve a collective goal.

Organizational Performance

Efficiency:

"A measure of how well or how productively resources are used to achieve a goal".

Effectiveness:

"A measure of the appropriateness of the goals an organization is pursuing and the degree to which they are achieved".

Topic 21 Management Grid

- Efficiency
- Effectiveness
- High performing organizations are effective and efficient

Topic 22 Four functions of management

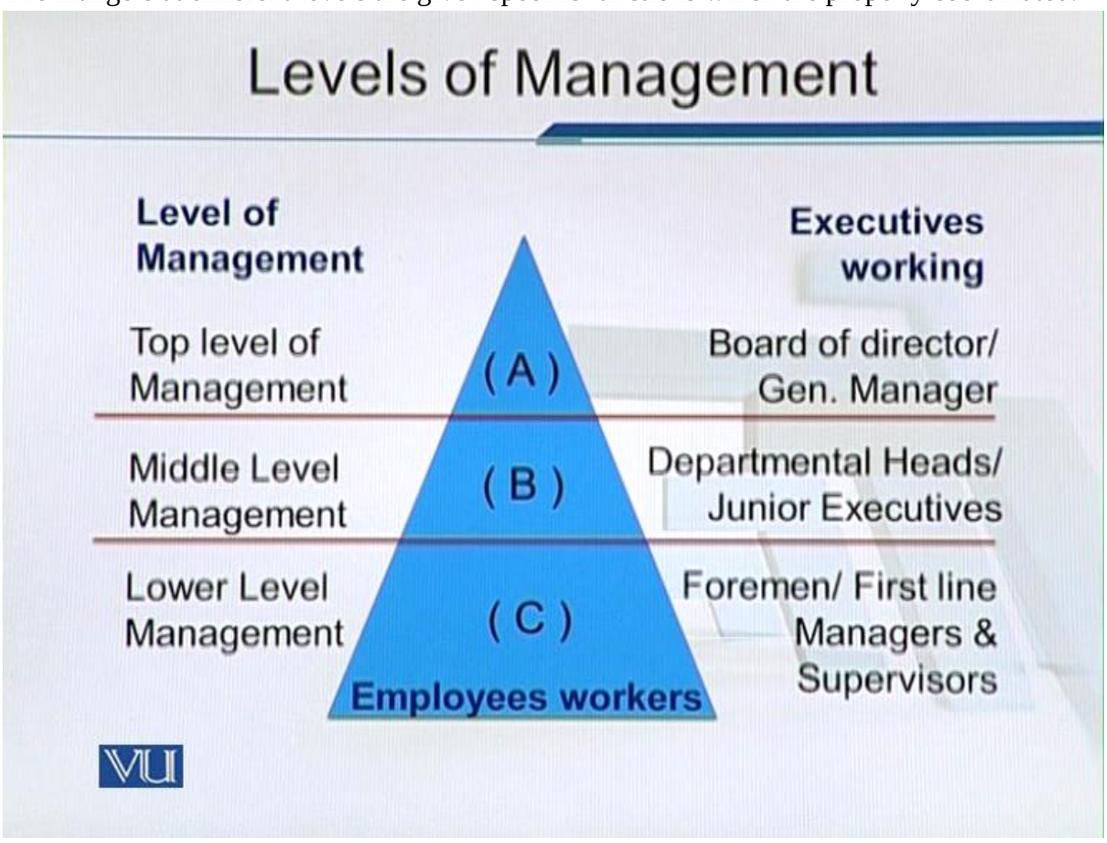
The set of core activities that defines the role of managers in a business setting.

The four functions of management include:

1. Planning
   Planning or deciding upon business goals and the methods to achieve them.
2. Organizing
   Organizing or determining the best allocation of people and resources.
3. Leading
   Leading, directing, motivating, instructing and supervising workers assigned to the activity.
4. Controlling
   Controlling or analysing metrics during business activities to ensure completion of tasks and identify areas for improvement.

Topic 23 Level of Management

- Levels of management are the convenient platforms created to manage the activities of the enterprise.
- The mangers at different levels are given specific functions which are properly coordinated.



- Top managers
- Middle managers
- First line managers

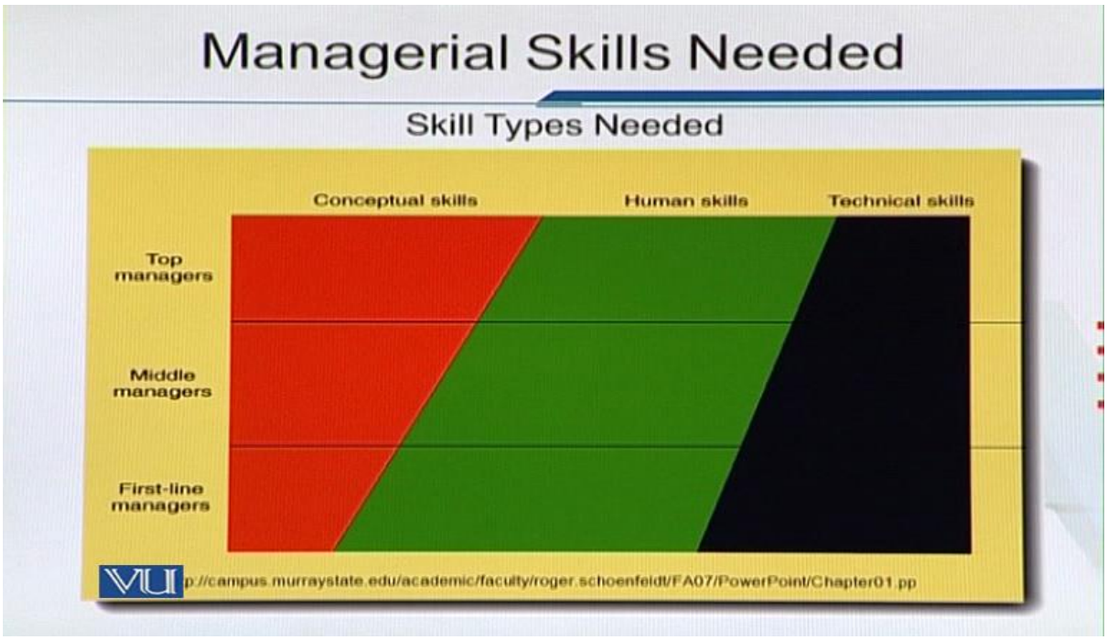
Topic 24 Managerial Skills Needed

Conceptual Skills

- The ability to analyse and diagnose a situation and distinguish between cause and effect.

Human skills

- The ability to understand, alter, lead and control the behaviour of other individuals and groups.



Topic 25 Overview

A manger is at times a leader and a leader is at times a manager.

Both leadership and management re interchangeable, but are entirely different.

Leadership skills are often defined as providing vision and strategy as well as leading transformational change, while management skills are frequently considered to be planning, controlling and monitoring.

As Buckingham (2005, p59) states: The core activities of a manger and leader are simply different.

Kotter (1990), claims that leadership is different from management, but if either is missing, success in today's competitive environment will be elusive.

Topic 26 Background

- The world of work has undergone significant changes in recent years.
- During 1980's and into early 1990's , a major restructuring of work took place due to technological advancement, competition and outsourcing.
- There was significant job-less and wrenching change.
- Cooper (2005) explains that this led to learner organizations and less security.
- The new challenges and ever increasing speed of change led to fundamental changes in the way that businesses operate.
- That affected leadership and management skills which are required by organizations.
- According to Burke and Cooper (2004) management is now based around knowledge workers.
- This has clearly had a profound impact on the types of leadership and management skills that are required in organizations in 21st century.
- Organizations have had to adapt to such dramatic changes and correspondingly, leadership and management skills have changed.

Topic 27 Key differences

- The leader is an innovator and the manger is an administrator:
  A leader is full of new ideas and believes in experimenting and creating new things. A leader always works on taking the organization into forward thinking phase by keeping his eyes on the horizon. Whereas the manger is someone who is already established and is responsible for every organizational activity from top to bottom. He is the main control of the firm.

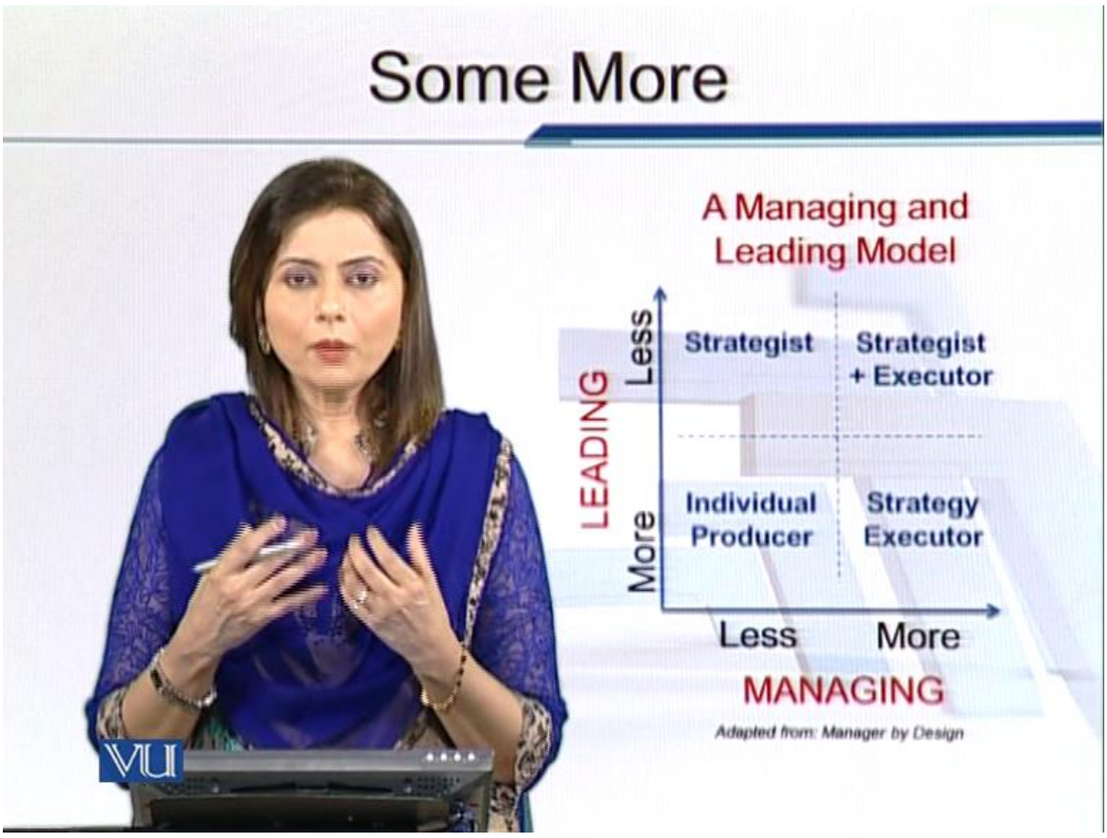
- The leader ensures results and trust whereas the manger represents control and authority.
  A leader is the inspiration for other, on whom the team can show its interest and confidence. He has to be the one who can appropriately set the tempo and pace of his group.
  Mangers are responsible for maintain law and order. They help people in developing their assets and bring out their best talents, for fulfilling their own mission.

Topic 28 Key differences … cont'd

- A leader asks questions about what and why, a manger questions in how and when:
  If anything goes wrong or if it is not done up to the expectation of the company then it will be the leader who will ask the question in what and why as he/she has to answer the higher-ups.
  On the other hand, a manger is the one who will ask for the reasons as his job is to keep his vision on the company's goal and objectives.
- Leaders give solutions while the mangers create action plans:
  A leader will simply look at the problems and will devise new solution to bring out the better by motivating his co workers.
  Whereas the manager will create policies and teams for smooth functioning of the organization. He will empower the people by listening to their views, values and principles.

Topic 29 Some more

- Leaders make followers and the managers look for subordinates:
  The working of leader reflects from the number of true followers he has. This shows his ways of working and the level of trust his team has on him.
  On the contrary manager is the one who has subordinates, formal authority and the position. He works in an autocratic, consultative or democratic way.



Topic 30 In summary

- This table in the next slides summarizes and gives a sense of the differences between being a leader and being a manger. This is, of course, an illustrative characterization and there is a whole spectrum between either ends of these scales.

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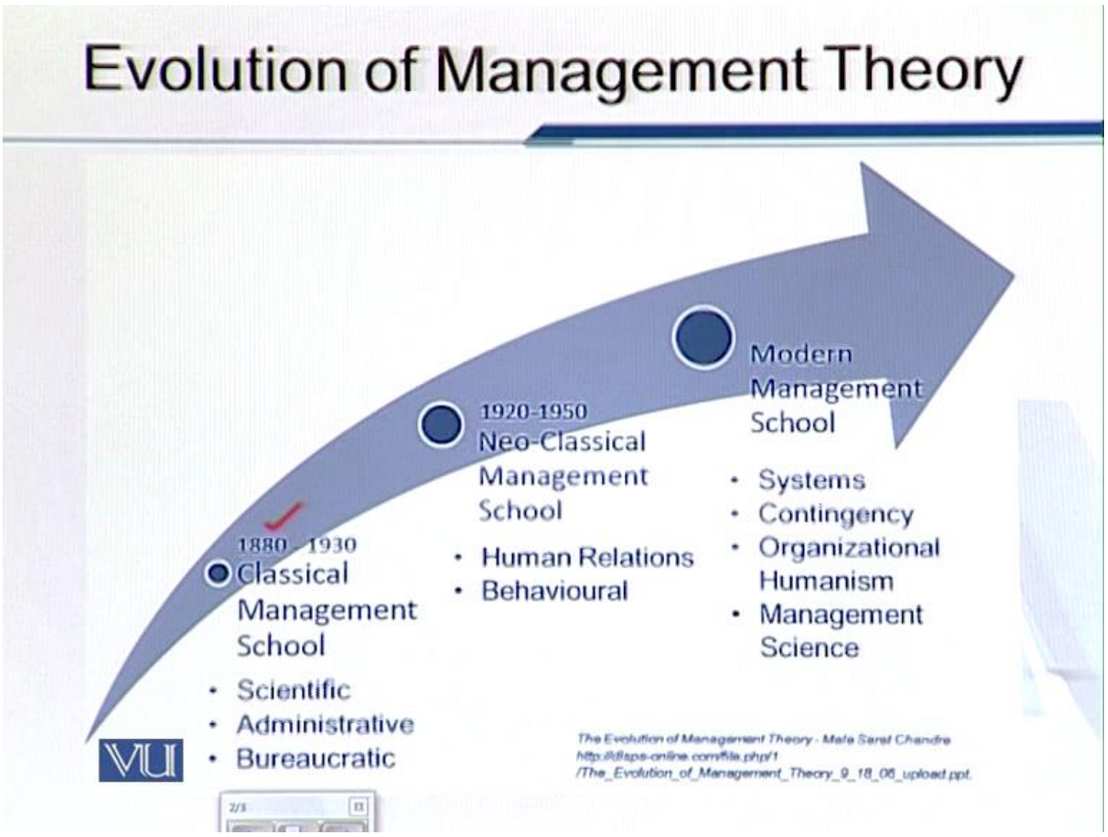
Subject	Leader	Manager
Essence	Change	Stability
Focus	Leading people	Managing work
Have	Followers	Subordinates
Horizon	Long-term	Short-term
Seeks	Vision	Objectives
Approach	Sets direction	Plans detail
Decision	Facilitates	Makes
Power	Personal charisma	Formal authority
Appeal to	Heart	Head
Energy	Passion	Control
Culture	Shapes	Enacts
Dynamic	Proactive	Reactive
VUsuasion	Sell	Tell

Topic 31 Overview

- The idea of management is not new.
- Early forms of management concepts have been applied throughout history in order to progress as a society.
- Could Egyptian pyramids have been built without the management of all of the required tasks?
- Could the stones of these monuments have been found, cut and moved without a plan?
- Management activities were needed in order to complete these massive projects.
- Next slide briefly indicates development of early management thought.

Topic 32 Evolution of management Theory

- The idea of management is not new.
- Extensive work has been done in the last century.

- 

Topic 33 Classical School of Management

Core ideas

- Application of science to practice of management.
- Development of basic management functions.
- Articulation and application of specific principles of management.
- Evolved in response to the shift from handicraft to industrial production.
- Emphasis is on economic rationality of people and organizations. Motivated by economic incentives, they make choices that yield the greatest monetary benefits.

Topic 34 Max weber (1905)

The bureaucratic School of Management

The theory of social and economic organization

- He developed the seminal "bureaucracy" theory, a formalized and idealized view of organizations. It is based on 6 major principles:

1. A formal hierarchical structure.
2. Management by rule.
3. Organization by task competency.
4. Impersonal relationships.
5. A focused mission.
6. Employment based on tech. qualifications.

Fredrick Taylor (1911)

The scientific school of management

Principles of scientific management

- The scientific school of management used an objective and systematic method to identify the "one best way" to do a job using scientific selection and training methods.

Topic 34 Henry Gantt (1910-1915)

Project Scheduling - The Gantt Chart

- An apprentice and associate of Frederick Taylor, he designed a project scheduling model for increasing the efficiency of project execution and completion.

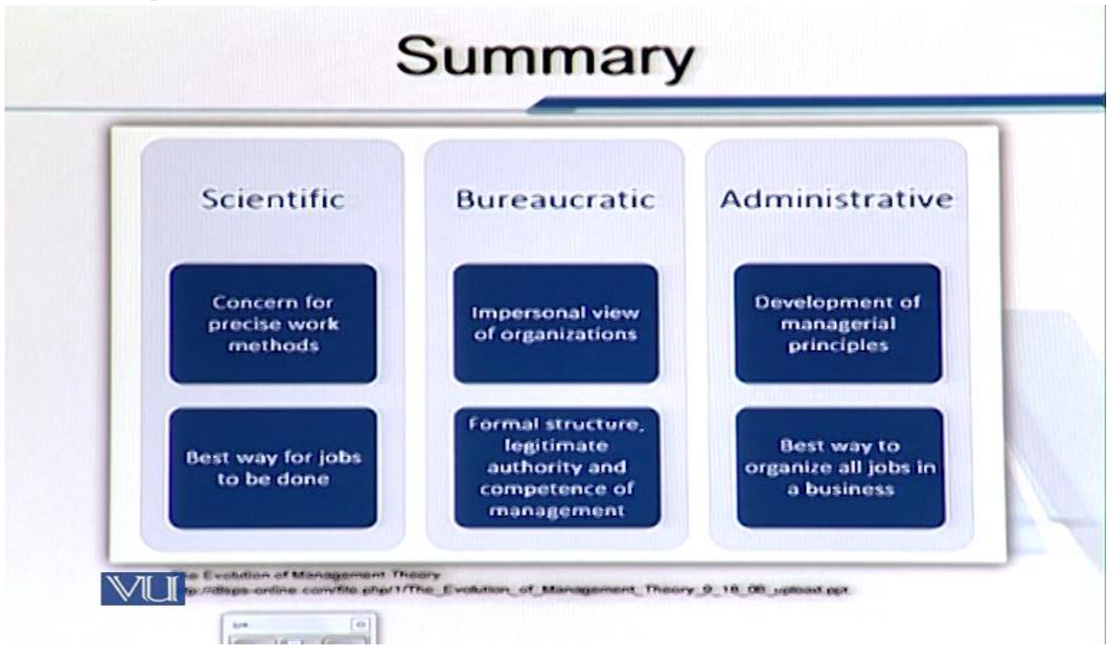
The administrative school of management

- Managers need specific roles in order to manage work and workers. Fayol named 6 functions/roles of management.
  1. Forecasting
  2. Planning
  3. Organizing
  4. Commanding
  5. Coordinating
  6. Controlling
  7. These roles evolved into 14 principles of management.

Henri Fayol (1916)

Division of work, authority, discipline, unity of command, unity of direction, subordination of interests, remuneration, centralization, scalar chain, equity, order, stability of tenure of personnel, initiative, esprit de corp.

Topic 36 Summary

- The idea of management is not new.
- Extensive work has been done in the last century.
- Critical Perspective
- 

Critical Perspective

- No one is entirely driven by economic motivation.
- There is no such thing as " the best way" to do a job.
- Extreme division of labour tends to produce monotony and reduce overall skill levels.

Topic 37 Theoretical Framework

Core ideas

- The Neo-classical thought emerged in reaction against the Scientific Theory of Management, which stressed upon "Standardization" of jobs, processes and technologies to maximize economic yield.
- Focus shifted to the human side of organizations.
  1. The best way to motivate, structure and support employees.
  2. The need for workers to find intrinsic value in their jobs.
  3. The positive impact of social relationships on worker productivity.

- The neoclassical theory was an attempt at incorporating the behavioural sciences into management thought.
- Rather than focus on production, structures or technology, the neoclassical theory was concerned with the employee.

Topic 38 Hawthorne Studies

The Hawthorne Effect

- Productivity increases when workers believe that they are being observed closely.
- Employees perform better when managers and co-workers make them feel valued.
- Financial rewards are not necessarily conducive to increasing worker productivity.
- Workers care about self fulfilment, autonomy, empowerment, social status and personal relationships with co workers.

Topic 39 Elton Mayo (1933)

Human Relations Theory of management

"The Human Problems of an industrial Civilization"

- People are social beings and are motivated by the social needs.
- People drive a sense of identity from inter-personal relationships.
- Workers are more receptive to social force of peer groups than monetary incentives and management controls.
- Workers respond positively to attention from management, co-workers and customers.

Chester Barnard (1938)

Acceptance theory of Authority

The functions of the Executive

- Organizational goals will be achieved and managerial authority will be accepted if workers believe that their individual needs are being met.

Topic 40 Behavioural Theory of Management

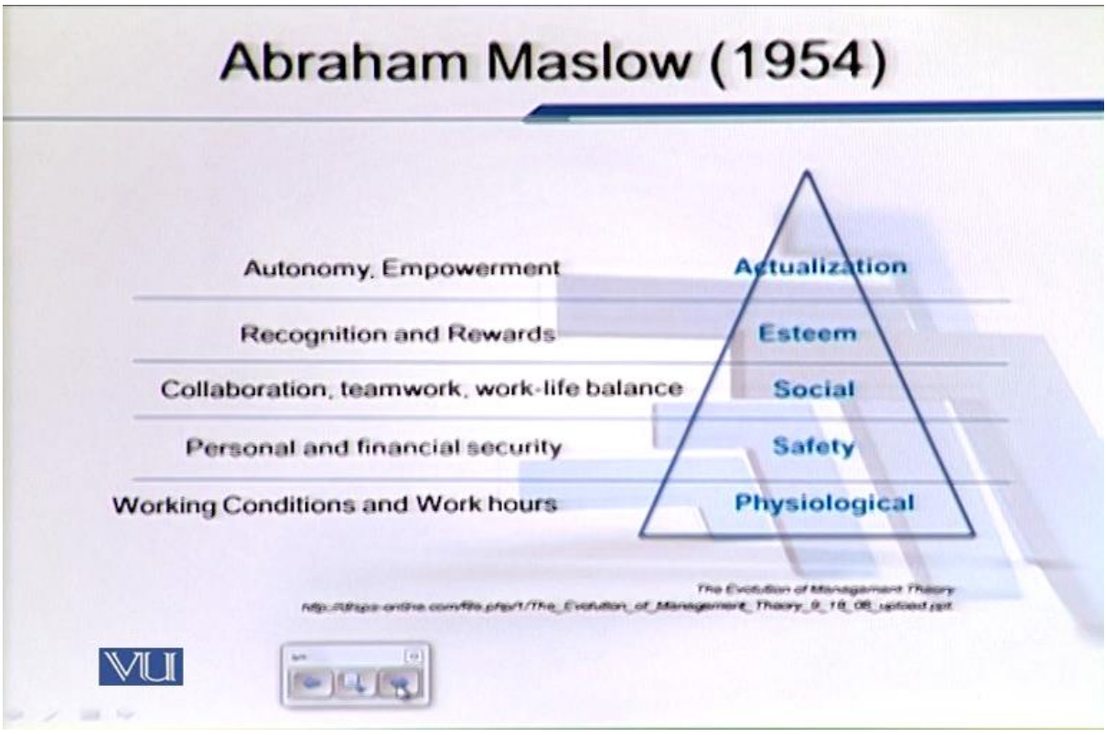
- The fulfilment of emotional needs of workers is important in achieving economic goals.
- Employee satisfaction and working conditions are important in achieving workers productivity.
- Workers are intrinsically motivated to work when they feel a sense of belonging and participate in decision making.
- Workers desire diverse and challenging work.
- The behavioural management theory is also known as the human relations movement because it addresses the human dimension of work.
- Behavioural theorists viewed employees ae individuals – resources and assets to be developed and worked with – not as machines, as in the past.
- Several individuals and experiments contributed to this theory.

Topic 41 Abraham Maslow (1954)

Hierarchy of Need Theory

"Motivation and Personality"

- Developed one of the most widely recognized need theories, a theory of motivation based upon a consideration of human needs has three assumptions:
  1. Human needs are never completely satisfied.
  2. Human behaviour is purposeful and is motivated by the ned for satisfaction.
  3. Needs can be arranged in a hierarchy of importance from the lowest to highest.



Topic 42 Summary

Neo-classical School of Management

- Behavioural school is a logical extension of the human resource school.
- They are mainly concerned with motivation of workers.
- Workers are diverse in their needs and want challenging work, participative decision-making, self direction and control.
- Mangers must help workers deal with situational constraints and social aspects of organizational and environmental changes.
- Behavioural school believes that there must be a union between human needs and organizational goals.
- Every worker must understand that when an organizational goal is achieved it leads to fulfilment of their personal needs.

Topic 43 Core Concepts

Modern School of Management

Dealing with complexity is the core of modern management theory.

- Organizations, Workers, environment and the interactions between them.

It is the synthesis of different theories.

- Behavioural science, mathematics, statistics, operations/quantitative research and computing technologies.

Management is an exercise in logic applied to situations.

- Situations can be measured.
- Computers have an increasing role to play.

Application of management knowledge is extended to non-business areas.

- Education, government, health care and others.

Topic 44 The Quantitative School of Management

- Combines classical management theory and behavioural science through the use of statistical models and simulation.
- A major focus is on the process with which decisions are made to ensure informed results.

The quantitative school comprises

Scientific management

- Managers use the math and statistics for problem solving.

Operations management

- Managing the process of combining capital, materials and workers to produce goods and services.

Management Information System

- Transforming historic, current and projected data from internal and external sources into useful, usable management information.

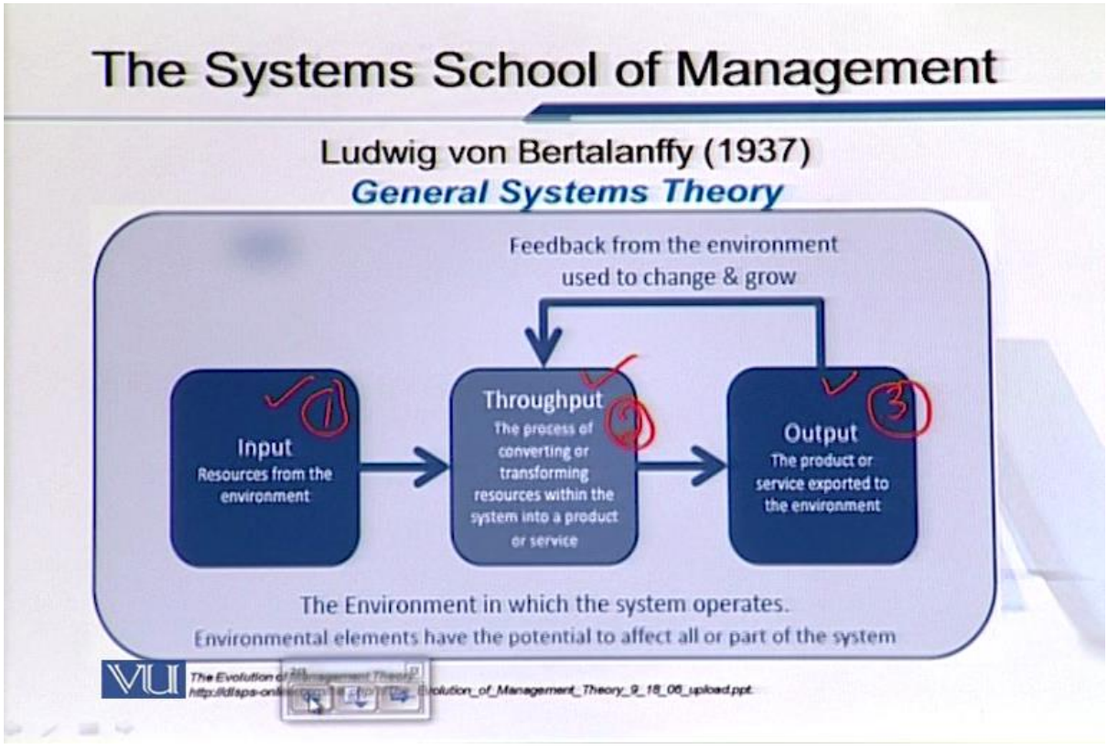
System Management Theory

- Transforming inputs into outputs and receiving feedback.

Topic 45 The System School of Management

System management theory

- Transforming inputs into outputs and receiving feedbacks.



Topic 46 The contingency school of management

John Woodward (1965)

"Industrial Organization: Theory and Practice"

- Argued that technology and production system were critical aspects of organizational design; advanced a contingency approach to organizing.

P. Lawrence & J.W. Lorsch (1967)

"Organization & Environment: Managing Differentiation and Integration"

- Suggested that successful organizations match their structure to the nature of the environment.
- Presented a unified, open systems approach extending organizational theory beyond the boundaries of a single organization.

Fred Edward Fiedler 1967

"A theory of leadership effectiveness"

- Argued that leadership effectiveness was contingent upon two interacting factors, leadership style and situational favourableness.

Topic 47 Contingency School …… cont'd

Core Concepts

- What managers do depends on or is contingent on the situation at hand; it emphasizes an "if- then relationship".
- If a particular situational variable exists, then mangers are likely to take a particular action.
- Successful mangers must consider the realities of the specific organizational circumstances they face when applying management concepts, principles, tools and techniques.
- Management techniques should be dependent upon the circumstances.
- The way you mange should change depending on the circumstances.
- One size does not fit all.

Challenges with the contingency approach

Perceiving

- Organizational situations as they actually exist.

Choosing

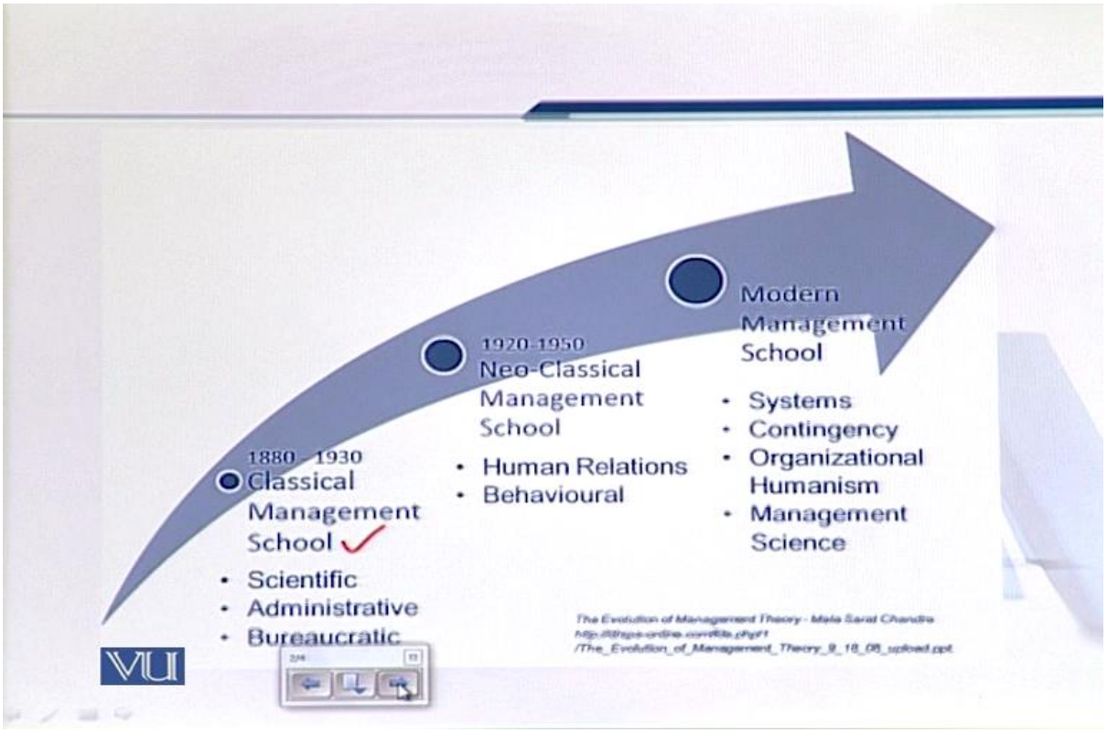
- Choosing the management tactics best suited to those situations.

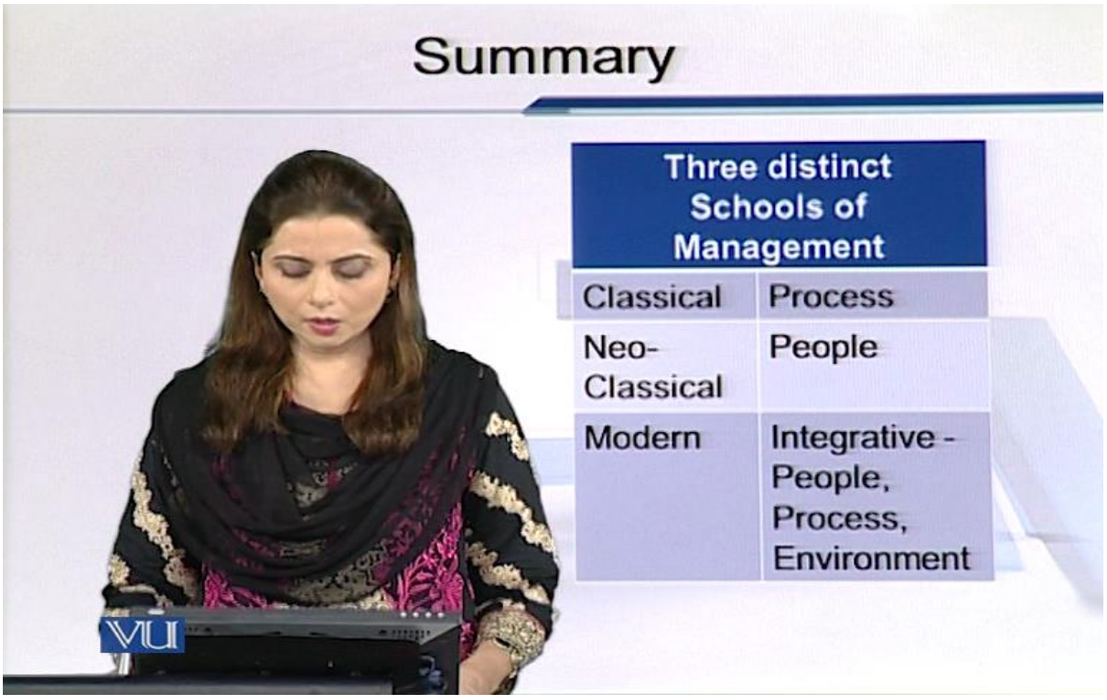
Competently

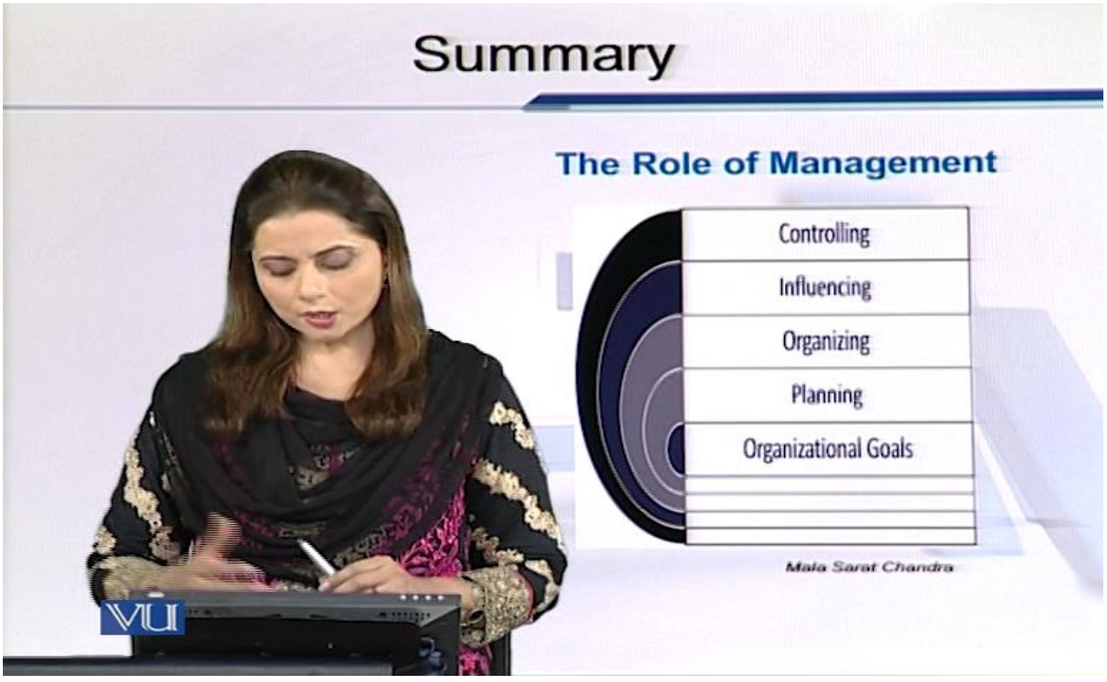
- Implementing those tasks.

Topic 48 Summary

Evolution of Management Theory







Topic 49 Background

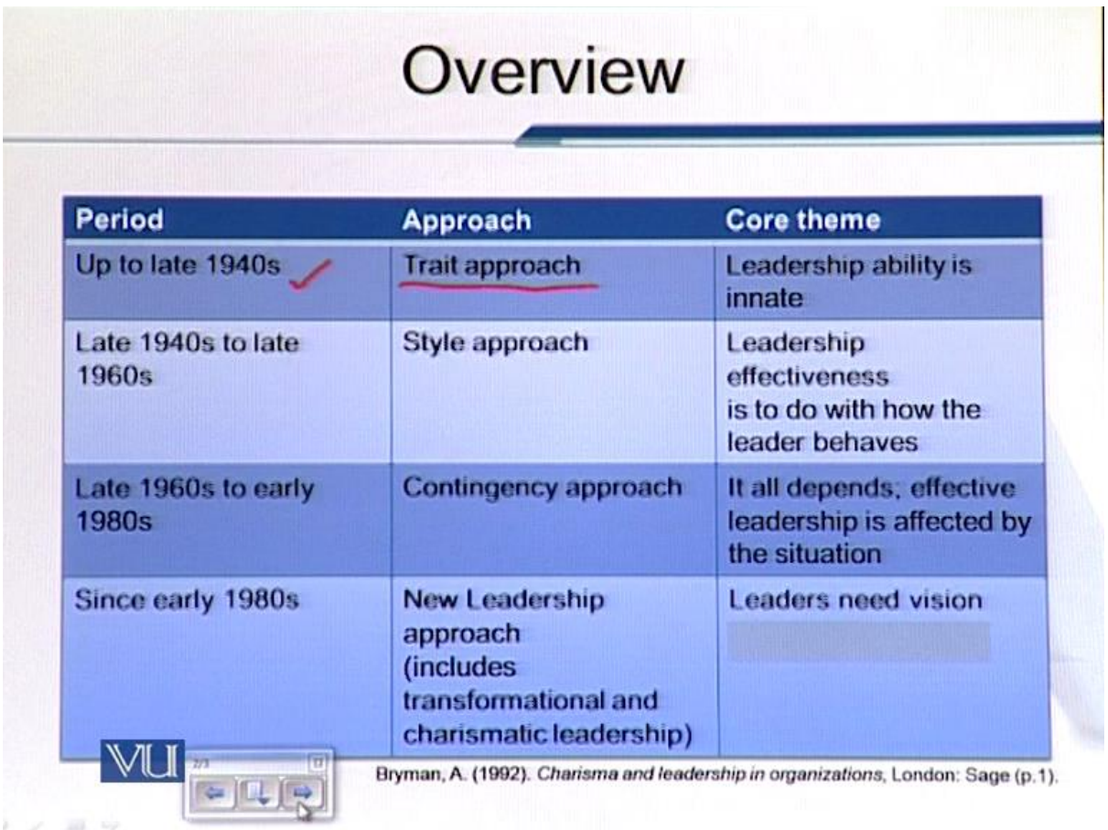
- A wide range of views on leadership has been developed by researchers and practitioners over the years.
- Three major theories have emerged from these ongoing studies.
  1. **Trait theories**
  2. **Behavioural and**
  3. **Contingency**
- Trait theories deal with the personal characteristics of the leaders.
- Behavioural theories deal with behaviour of leaders.
- The two view the principles of effective leadership as being universally applicable to any situation and to any organization.
- The contingency theories do not deal with the universal applicability.
- Instead, they deal with leadership in the context of specific situations.

Topic 50 Background ….. cont'd

- Brymen (1992) splits leadership research into four phases, beginning with the trait approach up to the 1940s and ending to date with the so-called new leadership approach that includes charismatic and transformational leadership.

- Although research trends have changed over the years, each new stage did not signal the end of its predecessor.
- Rather, a change in emphasis and perspective was indicated.
- Components of the preceding approaches can be found in the different trends.
- The new leadership approach, for example, refers to charisma and leadership behaviours and combines the first two decades with newer theoretical suppositions.

Topic 51 Overview



Topic 52 Trait Theory

- People are born with inherited traits.
- Some traits are particularly suited to leadership.
- People who make good leaders have the right or scientific combination of traits.
- Some traits and skills are critical to leaders:

Stogdill (1974)

- Adaptable to situations
- Alert to social environment
- Ambitions and achievement oriented
- Assertive
- Cooperative
- Decisive
- Dependable
- Dominant

Emotional intelligence and Leadership

EI is the best predictor of who will emerge as a leader.

IQ and technical skills are threshold capabilities. They are necessary but not sufficient requirements for leadership.

Topic 53 Trait theory 2

- People are born with inherited traits.

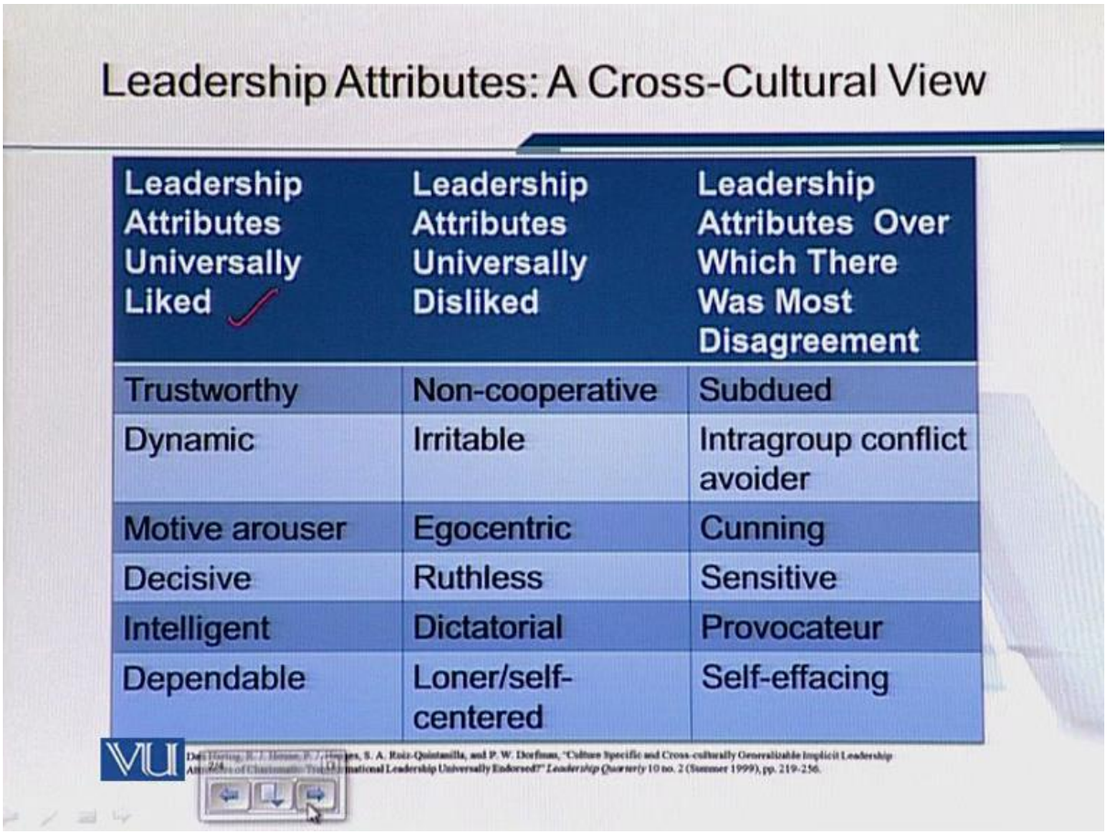
- Some traits are particularly suited to leadership.
- People who make good learners have the right or sufficient combination of traits.

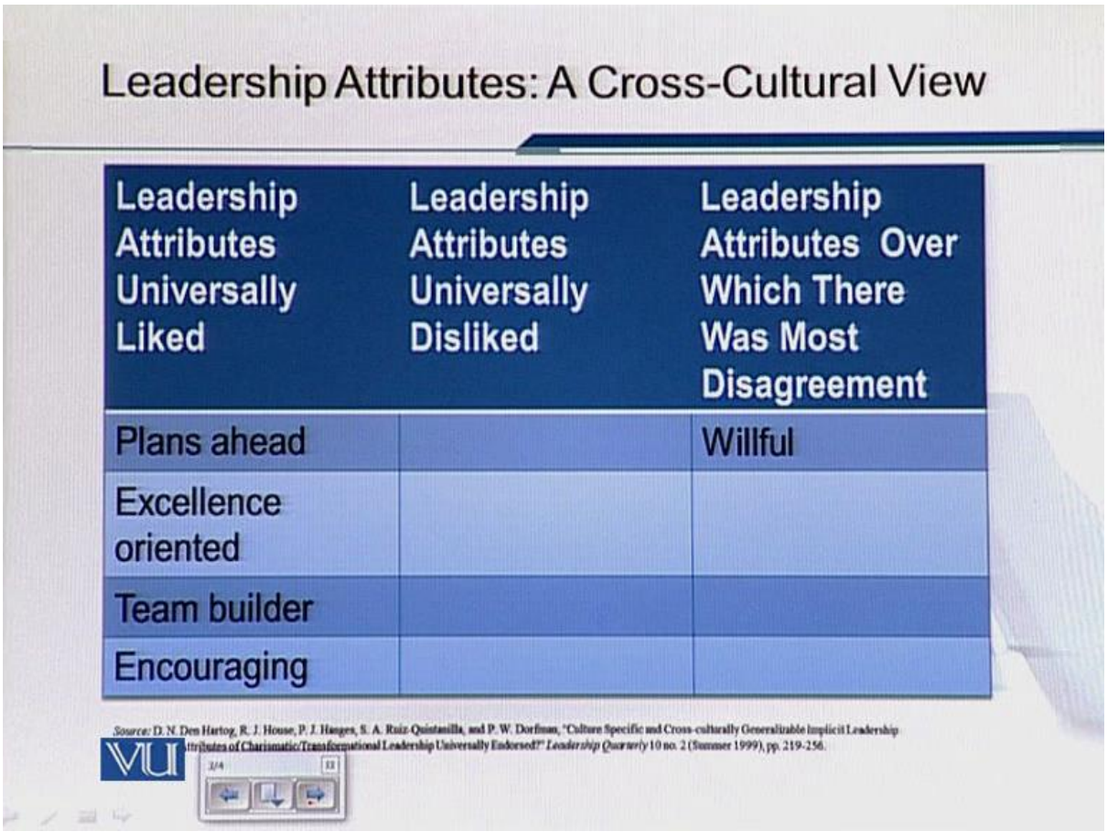


Topic 54 Traits

- Dominant (desire to influence others)
- Energetic (high activity level)
- Persistent
- Self-confidence
- Tolerant of stress
- Willing to assume responsibility
- Clever (intelligent)
- Conceptually skilled & creative
- Diplomatic and tactful
- Fluent in speaking
- Knowledgeable about group task
- Organized (administrative ability)
- Persuasive
- Socially skilled

Topic 55 Leadership Attributes: A Cross-Cultural View





Topic 56 Great Man Theory

- Leaders are born and not made.
- Great leaders will arise when there is a great need.

Description:

Early research on leadership was based on the study of people who were already great leaders.

These people were often from the aristocracy, as few from lower classes had the opportunity to lead.

This contributed to the notion that leadership had something to do with breeding.

Topic 57 Behavioural theory

- Given the flaws of early state studies, researchers turned to examining the actions, behaviours or that separated the effective leaders from ineffective leaders.
- Behavioural theories are considered as being universally applicable.
- Leaders can be made rather than being born.
- Successful leadership is based in definable, learnable behaviour.

Description:

Behavioural theories of leadership do not seek inborn traits, rather they look at what leaders actually do.

Imply that leaders can be trained.

Specific behaviours differentiate leaders from non-leaders.

Focus is on the way of doing things.

Structured based behavioural theories – focus on the development and maintenance of relationships – process oriented employee needs and concerns (consideration).

Topic 58 Iowa studies

- Kurt Luwin and his associates at the University of Iowa initiated studies to identify effective leader behaviour.
- They considered three behaviours:
  1. **Autocratic**
  2. **Democratic**
  3. **Laissez-faire**

Autocratic Leader

- Make unilateral decisions
- Dictates work methods
- Limits workers knowledge of goals to the next6 step
- Gives punitive feedback

Democratic Leader

- Involves the groups in decision making
- Lets workers decide on the work method
- Makes the overall goals known
- Uses feedback for coaching

Laissez-faire Leader

- Give the group full freedom
- Provide needed material
- Participate only to answer the questions
- Avoid giving feedback

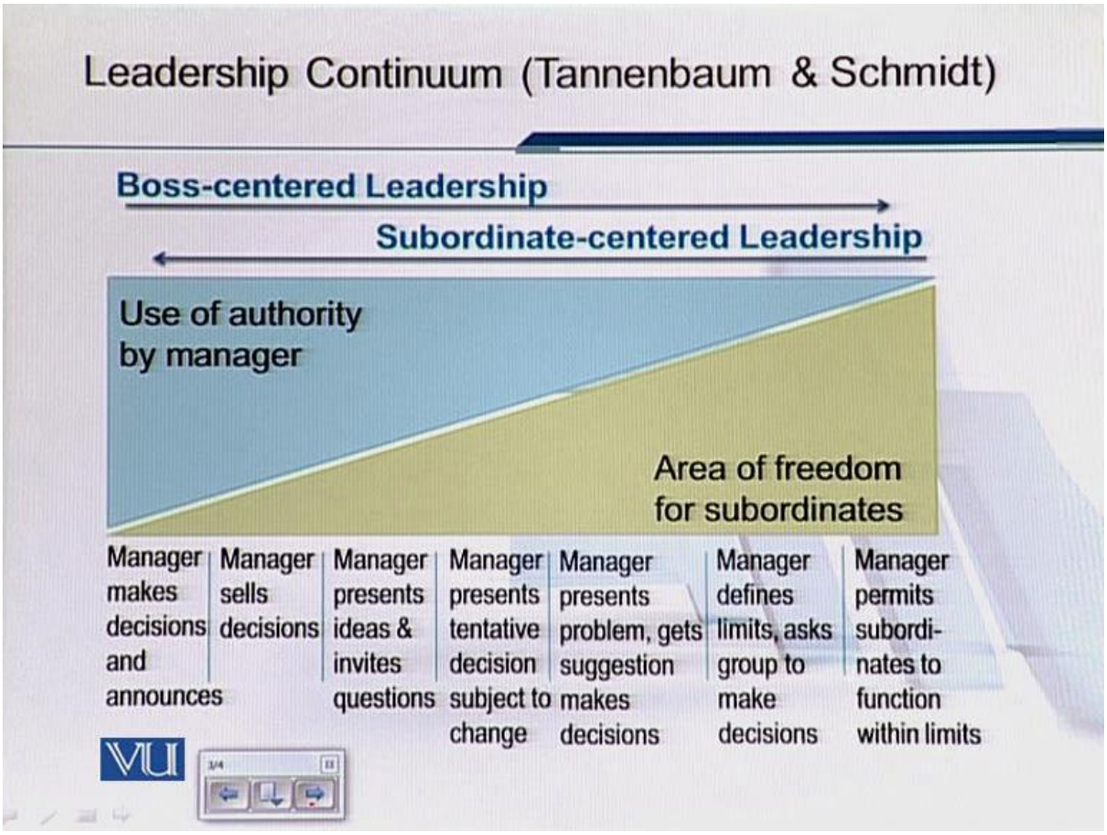
Topic 59 Iowa Studies 2

- The findings did not provide a clear guideline and there was overlapping of behaviours between the attributes.
- Robert Tannenbaum and Warren J. Schmidt then joined to expand the views of democratic and autocratic leaderships from a simplistic choice between two distinctive behaviours at extreme ends to a continuum of seven behaviours.
- They proposed selecting the appropriate leadership behaviour by examining the forces that:
- Influence the leader e.g. his confidence in employee.
- Influence the employee e.g. employees' need for autonomy and
- Forces inherent in the situation e.g. time constraints

- This approach also set the stage for later theories that viewed leadership in terms of manager's particular situation.

Topic 60 Leadership Continuum (Tannenbaum & Schmidt)

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Topic 61 Research Findings for Behavioural Theories

- In situations where subordinates experience excessive pressure because of deadlines or unclear tasks, such leaders who are people oriented will increase employee satisfaction and performance.
- When the task is interesting or satisfying, there is less need for leaders to be people oriented.
- When its clear how to perform the task and what the goals are, leaders who are people oriented will increase employee satisfaction, while those who are task oriented will increase dissatisfaction.
- When people do not know what to do, or individual do not have the knowledge or skills to do the job, its more important for the leaders to be production oriented than people oriented.

Topic 62 Contingency Theory Overview

- The failure of trait and behavioural theories to have consistency in their predictions of leader effectiveness made it very clear that leadership involves more personal traits or behaviours.
- Researchers therefore turned to examine how leadership is affected as the situation varies.
- These contingency theories of leadership also known as situational theories of leadership, suggest that effective leadership is dependent on (or contingent on) the specific variables in each situation.
- Context is important.

Topic 63 The Contingency Theory

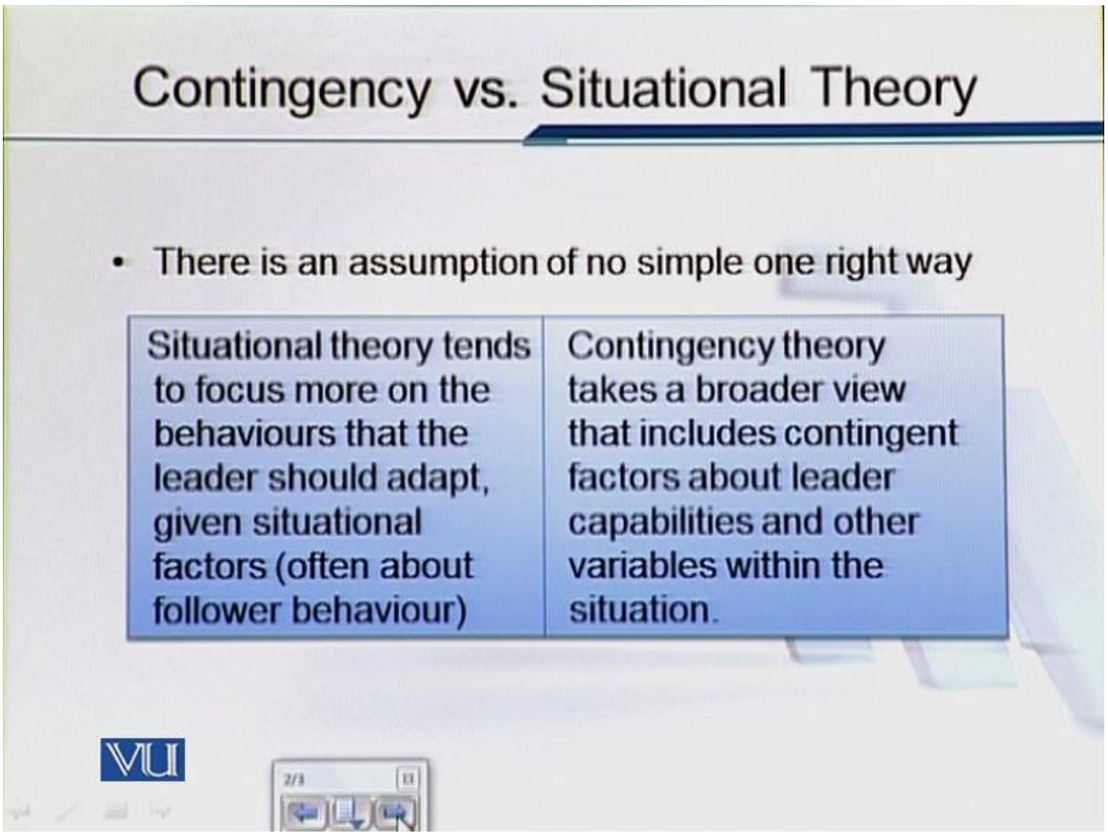
- The leader's ability to lead is contingent upon various situational factors, including the leader's preferred style, the capabilities and behaviours of followers and also various other situational factors.
- Leaders who are very effective at one place and time may become unsuccessful either when transplanted to another situations or when the factors around them change.
- This helps to explain how some leaders who seem for a while to have the Midas touch suddenly appear to have lost their magic and make very unsuccessful decisions.
- Contingency theory views leadership as being more flexible- different leadership styles used at different times depending on the circumstances.
- Suggests leadership is not a fixed series of characteristics that can be transposed into different context.

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Topic 64 Situational Leadership

- The best action of leader depends on a range of situational factors.
- Tannenbaum and Schmidt (1958) identified three forces that led to the leader's action: the forces in the follower and also in the leader.



Topic 65 Trait vs Behaviour theory

Similarities

- The main similarity is that both approaches emphasize that there are identifiable actions that any leader must be capable of doing in any given situation.

- Behaviourism is a “trait” in the sense that it, too, holds that leaders must show certain common personality makers or habits of mind, but it argues that these can be elicited from any one at any time, and that no one person has more potential than another.
- Trait theory and behaviourism are two similar approaches to questions about effective leadership. They both see leadership as an objective set of qualities or actions that must be mastered. They differ on who can develop these behaviours.

Topic 66 Trait vs Behaviour theory

Differences

- Behaviourism is a more “democratic” kind of theory. Becoming a leader, according to the behaviourist school of thought, is just a matter of proper training, while trait theory holds that a leader must have certain inherent, innate qualities.
- Take, for example, two people. One was born to a house of a family that was weak willed and was known for letting people take advantage of them. Another was born in a house filled with powerful executives and those commonly called “born leaders”.
- Theoretically, the person from the former house will develop the habits of servility, while the second person will develop the habits of assertiveness.
- According to behaviourism, had their upbringings been switched, they each would have developed differently, so either is equally likely to be a good leader with proper training.

Topic 67 What is a Leadership style?

- A leadership style is a leader’s style of providing direction, implementing plans and motivating people.
- It includes pattern of explicit and implicit actions performed by the leader. (Newstrom, Davis, 1993)
- Hay Mcber (1999) advises that leadership styles are the ways in which the leader:
    - **Listens**
    - **Sets goals and standards**
    - **Develops action plans**
    - **Directs others**
    - **Gives feedback**
- He further states that leadership styles are based on:

a) Individuals’ own characteristics (values, principles, personality)
b) Styles that the individual has seen and experienced others doing.
c) The values promoted by the individual’s organization as being the right way to mange things.
d) The specific management situation and the people the individuals deals with most.

Topic 68 3 Classical Leadership Styles

- Kurt Lewin and his co researchers conducted the first major study of leadership styles in 1939.
- They developed a leadership framework based on three different styles of leadership.
- This early study is still influential.

1. **Autocratic or Authoritarian**
   The leader tells his or her employees what he wants done and how to it is to be accomplished; the leader dose not take their advice in the matter.
2. **Democratic or Participative**
   The leader includes one or more employees in the decision making process, but retains the final decision maki8ng authority.
3. **Laissez Fair or Delegative**
   The leader allows free reign to the employees and let them make decisions, however the leader is still responsible for the decisions that are made.

Topic 69 Autocratic/ Authoritarian leadership

- A leader who uses fear and threats to get the jobs done – bossy.
- High degree od dependency on the leader because he makes all the decisions without referring anyone else.

- Does not trust anybody.
- Can create demotivation and alienation of staff.
- May be valuable in some types of business where decisions need to be made quickly and decisively.
- Leader uses this because there is not enough time and the members ran out of ideas.
- Leader uses this style by directly stating the3 decisions without asking the team members.

Topic 70 Democratic or participative Leadership

- This style is normally used when some part of the information is available with the leader and the subordinates have the other parts- a leader is not expected to know everything and this is why you employ knowledgeable and skilled people.
- Encourages decision making from different perspectives.
- Consultative persuasive.
- Mutually beneficial allows employees to become part of the team and allows the leader to make better decisions.
- Helps improve motivation and involvement – workers feel ownership of the firm and its ideas.
- Improves the sharing of experiences and ideas within the business.
- Style is used when there is enough time.
- Can delay decision making.

Topic 71 Laissez fair or Delegative Leadership

- (Laissez-faire or lais-ser faire) is a French word and stands for non-interference in the affairs of the others.
- Leaders use this style when the employees have the knowledge or are able to analyse the situation to determine what to do and how.
- Leaders use this style when they have full trust and confidence in their team members.
- Can be very useful in business where creative ideas are important.
- Relies on good team work.
- Relies on good interpersonal relations.
- It is not ideal in situations where group members lack the knowledge or the experience they need to complete tasks and make decisions.
- Some people are not good at setting their own deadlines, managing their own projects and solving problems on their own.
- In such situations, projects can go off-track and deadlines can be missed when team members do not get enough guidance or feedback from leaders.

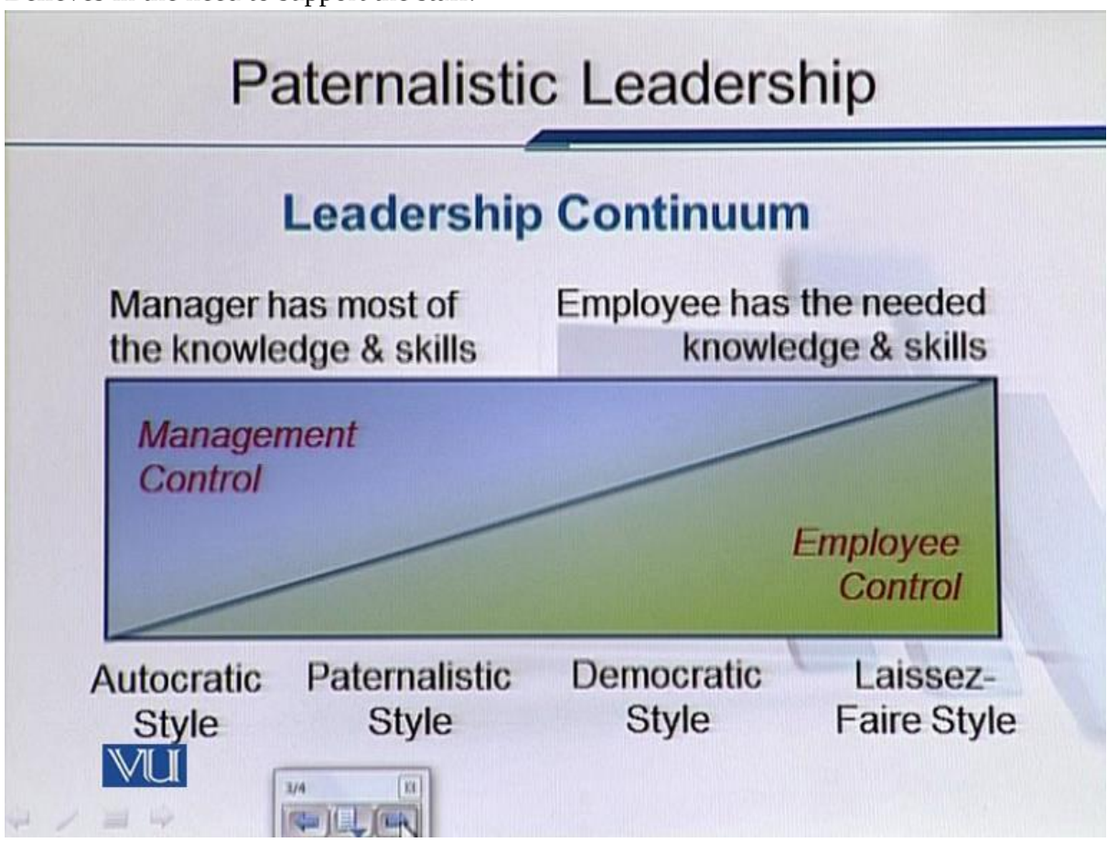
Topic 72 Examples of Leadership Styles

- Good leaders use all three styles, depending on what forces are involved between the followers, the leaders and the situation.
- Some examples include: using an authoritarian style on a new employee who is just learning the job. The leader is competent and a good coach. The employee is motivated to learn a new skill. The situation is a new environment for the employee.
- Using a participative style with a team of workers who know their jobs. The leader knows the problem, but does not have all the information. The employees know their jobs and want to become the part of the team.
- Using a delegative style with a worker who knows more about the job than you. You cannot do everything and the employees need to take ownership of her job! In addition this allows you to be more productive.
- Using all three: telling your employees that a procedure is not working correctly and a new one must be established (authoritarian). Asking for their ideas and input on creating a new procedure (participative). Delegating tasks in order to implement the new procedure (delegative).

Topic 73 Paternalistic leadership

- Another common leadership style is the paternalistic style.

- It is rooted in a leadership method that comprises strict discipline and authority, paternal kindness and moral integrity with in a ruling atmosphere.
- High concern for production, use of rewards for compliance and loyalty.
- Leaders act as a father figure.
- Decisions are made by leaders but he may consult.
- Believes in the need to support the staff.



Topic 74 Transactional leadership

- Transactional leadership was first described by Max Weber in 1947 and than by Bernard Bass in 1981.
- Used most often by the managers.
- Focuses on the basic management process of controlling, organizing and short term planning.
- Transactional leadership is based on the premise that:
  People are motivated by reward and punishment.
  Social systems work best with a clear chain of command.
- Transactional leader works through creating well defined structures and makes it clear as to:
  What is required f their subordinates and the reward what they get for following orders.
  Punishments are not well mentioned, at times not even mentioned, yet they are well-understood and formal systems of discipline are usually in place.

Topic 75 Other common leadership styles

Task oriented leadership

- Focuses exclusively on getting the job done.
- Can be quite autocratic.
- Leader actively defines the work and the required roles.
- Put structures in place, plans, organizes and monitors.

People oriented Leadership

- Opposite of task oriented.
- Focus on organizing, supporting and developing the people.
- Participative-leads to team work and creative collaboration.
- Can lead to failure if taken to extreme.

Servant Leadership

- A “servant leader” is someone regardless of level, who leads simply by meeting the needs of the team.
- The term sometimes describe a person without formal recognition as a leader.
- Leading by example have high integrity and lead with generously
- Approach can create a positive corporate culture and can lead to high morale among team members.
- Ill -suited to meeting tight deadlines/making quick decisions.

Topic 76 Other common leadership styles 2

Bureaucratic Leadership

- Leaders follow rules rigorously and ensure that their people follow procedures preciously.
- Appropriate for work involving serious safety risks (such as working with machinery with toxic substances or at dangerous heights) or with large sums of money.
- Also useful for managing employees who perform routine tasks.
- Much less effective in teams and organizations that rely on flexibility, creativity or innovation.

Facilitative Leadership

- A special style, can be employed by any one.
- Rather than being directive, the leader uses a number of in direct patterns to help- the group reach a consensus or accomplish the task. For example, when conducting a meeting.

Topic 77 Other Common Leadership styles 3

Charismatic leadership

- Leader gather follower through strength of personality and charm, rather than any form of external power or authority.
- Leader injects huge doses of enthusiasm into team – is very energetic in driving other forwards.
- Charismatic leaders, however, can tend to believe more in themselves than in the team- no change.
- Followers believe that success is tied with the presence of leader.
- This can create the risk of the team, or the organization, failing if the leader leaves.

Visionary leadership

- Focuses on how the leader defines the future for the followers and moves them towards it.
- Most appropriate when an organization needs a new direction. Its goal is to move people towards a new set of shared dreams.
- “visionary leaders articulate where a group is going, but not how it will get there – setting people free to innovate, experiment, take calculated risks” Daniel Goleman.

Topic 78 Leadership style matrix

- Programmability and Capability for Autonomy



Topic 79 Transformational Leadership

Definition

"A leadership style focused on effecting revolutionary change in organizations through a commitment to the organization's vision" (Sulllivan & Decker 2001)

- A style of leadership in which the leader identifies the needed change, creates a vision to guide the change through inspiration and executes the change with the commitment of the members of the group.

Focus

Primarily, on making changes happen in:

- **Self**
- **Team**
- **Group and**
- **Organization**

Requires a number of different skills and is closely associated with:

Charismatic and Visionary leadership.

Focus rationale
Causes widespread organizational reforms by establishing the following:

- **Long term strategic planning**
- **Clear objectives**
- **Clear vision**
- **Leading by example – walk the walk**
- **Efficiency of systems and processes**

Topic 80 Historical Perspectives

- Burns (1978) was the fir5st who identifies the transformational leadership:
  "Transformational leadership is a process by which leaders and followers raise one another to higher moral values and motivation".

- Burns make a distinction between ordinary leaders, who ensure followers loyalty through rewards (transactional), and the extra ordinary leaders, who focus on fulfilling the essential needs of followers (transformational).
- Bass (1985) identified transformational leadership as motivating followers by appealing to their self interest.
- Bass and Avolio (1994) further describe this leadership style as management with active involvement.

Tichy Urich, (1986) identified characteristics:

- Change agent
- Courageous individual
- Believe in people
- Value-driven
- Lifelong learners
- Ability to deal with complexity
- Visionary

Topic 81 The 4 I's of Transformational Leadership

1. Idealized influence
2. Inspirational motivation
3. Intellectual stimulation
4. Individualized consideration

Idealized influence:

Leaders who act as strong role models for followers (charisma)

Inspirational motivation:

Leaders who communicate high expectations, inspiring them to become committed to organizational goals.

Intellectual stimulation:

Leaders who stimulate followers to be creative and innovative.

Individualized consideration:

Leaders who provide a supportive climate in which they listen to needs of followers.

Topic 82 Transactional leadership

Main components

- Planning and following
- Process oriented methodology
- Building team and support
- Identifying expertise in various fields of work
- Initiation of creative ide4as
- Clear understanding of current scenario
- Pre-defined objectives and a clear road map to achieve them
- No self serving motives
- Focused approach on identified objectives

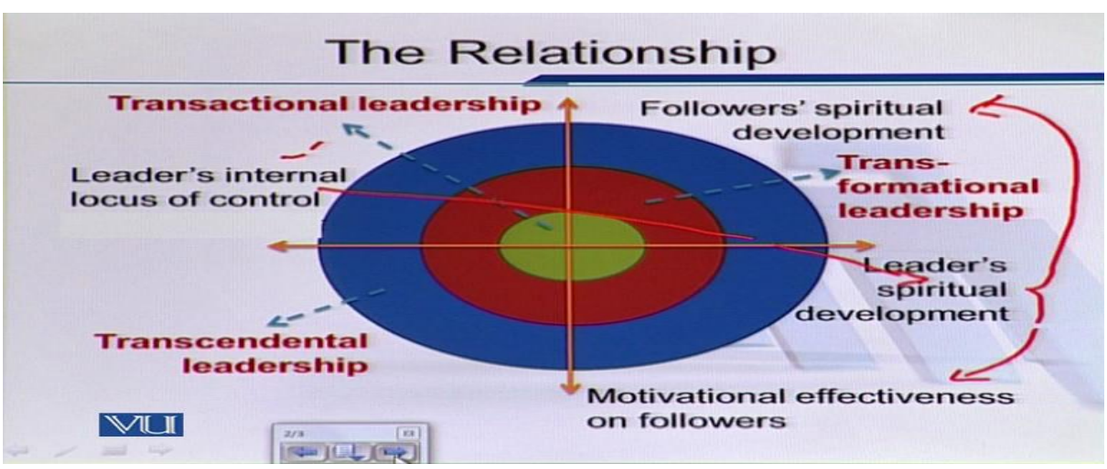
Topic 83 Transparent Leadership

Main components

- Alignment between leadership and goals
- Acts ethically and talks openly at all times
- Integrity in finances and information
- Consistently keeps commitments
- Accessible to all
- Identifying future leader and team
- Relinquishing control
- Inspiring and motivating potential to lead
- Leaders act from the totality of who he or she is as human being.

The relationship

- Leader’s internal locus of control.
- Follower’s spiritual development.
- Leader’s spiritual development.



Topic 85 Process of Transformational Leadership

Step 1

Developing Vision

- Creating and communicating an inspiring vision of future that is exciting and attracts potential followers.
- Sets out the purpose of the team/organization.
- Vision is developed through understanding values of the followers, understanding capabilities and the resources of the organization and by conducting an analysis of the environment and then selecting the best way forward within it.
- If developing a vision for the organization, start with analysing the environment and then develop strategy.
- This is usually then expressed in a business plan and summarized in a mission statement.
- If developing a vision for them start with the company's mission and vision and explore the ways in which your team can contribute directly to it.

Topic 86 Process of transformational leadership

Step 2

Selling the vision

- Starting with mission statement, leader needs to appeal to followers' values and inspire them with where he/she is going to lead them and why.
- Link the vision to people's goals and tasks to give it context and help people see how they can contribute to it.
- Constantly sell the vision and build a strong network of high potential.
- Transformational leaders realize that noting significant happens unless they encourage their people.
- They acquire knowledge of different kinds of motivational measures and use them to inspire people to deliver their best.

Topic 87 Process of transformational leadership

Step 3

Delivery of the vision

- A vision is of no use on its own: it needs to become reality
- For delivery of vision, combine effective project management with sensitive change management.
- Communicate each person's roles and responsibilities clearly
- Connect these to the plans
- Set SMART goals for everyone
- Including some short term goals that will help people achieve quick wins and stay motivated
- Use management by objectives (MBO) to link short term achievements to the planned long term goals
- Stay visible by practicing management by walking around

Topic 88 Process of Transformational leadership

Step 4

Leading the Charge

- Transformational leaders focus attention on their people and work hard to help the people achieve their goals and dreams.
- Leadership is a long term process, the leader needs to work constantly to build relationships, earn trust and help the people grow as individuals.
- Meet the people individually to understand their developmental needs.
- Build trust with people by being open and honest in the interactions.

- Set aside time to coach the people – a skilled team is created when people are helped to their own solutions and their self-confidence and trust in leader are also fortified.

Topic 89 Competencies of a transformational leader

Managing information and knowledge

- Inquisitive mind and critical thinking to apply research findings.
- Measure performance.
- Breakthrough technologies and networking.

Transformational Management

- Organizational and system shifts and learning
- Congregate vision and innovation
- Strategic alliances
- Management of collaborative relationships

Business Acumen

- Financing strategies
- Organizational dynamics
- Human resource development
- Internal /external radar
- Marketing and branding

Topic 90 Competencies of a transformational leader

Process toolkit

- Negotiation skills
- Dispute and conflict resolution
- Group facilitation
- Concept mapping
- Future casting
- Lateral thinking

Continuous Personal Development

- Wide rage of leadership styles
- Personal values, vision and goals
- Risk taking and courage
- Resilient and resolute

Summary

- Envisions a compelling future (Vision)
- Commits to the future (action)
- Sets high performance goals (Aspiration)
- Enables inspired action through teams (Collaboration)
- Executes energy and inspiration (Presence)

Topic 91 TL and Organizational Structure

Shamir and Howell 1999:

- Transformational leadership is more likely to emerge and be effective in organic organizations than in mechanistic organizations.
- Organic organizations impose fewer constraints on members' activities.
- They enable and encourage individual behaviour by both leaders and potential followers.
- They provide both a greater need and a greater scope for the emergence of transformational leaders.

- Mechanistic organizations, in contrast, provide fewer opportunities for organizational members to exercise choice.
- They supress the expression of individual differences by both leaders and followers.

Topic 92 Importance of TL in Education Organization

- Transformational leadership plays an important role in education organization.
- It helps the organization with teaching and learning and decision making.
- In addition, professional development, transforming schooling and reforming the education system are also empowered by transformational leadership.
- Transformational leadership is needed in educational institution on which a moral foundation of legitimate values must rest (BASS, 1999).

Topic 93 Importance of TL 2

Teaching and Learning

- A school with transformational leading teachers provides inspiration and motivation to the students to express creative behaviour.
- Leading to changes in both educational policy and teaching practices (ChanLin et al.2006)

Decision making

- "An institution is intended to represent the good of its stakeholders". (Brower and Balch, 2005)
- In transformational decision making the decision reflects on the common good but not the individual good.

Reforming the Education system

- TL helps in setting clear and adequately high performance standards for schools and teachers.
- Emphasizes a greater understanding, solving problem, EQ and personal skills and not just memorization.

Topic 94 Evaluation of TL

- The evidence supporting the superiority of transformational leadership over transactional leadership is impressive (khan, 2009)
- This leadership style has been favoured in many countries and at various job levels.
- A review of 87 studies, testing transformational leadership found that it was related to the motivation and satisfaction of followers and to the higher performance and perceived effectiveness of the leaders. (Khan, 2009)
- The overall evidence indicates that transformational leadership is more strongly correlated than transactional leadership with lower turnover rate, higher productivity and higher employee satisfaction.
- Well over 100 empirical studies have found TL to be consistently related to organizational and leadership effectiveness-Bryman, 1992: Lowe et al 1996.
- Samples and contexts from Fortune 100 businesses to military units, to presidential administrations.

Topic 95 Critique

- It is elitist and antidemocratic, too much emphasis is placed on the ""heroic" aspects of leadership. (Northouse, 2007)
- They act independently of their followers – they create and transmit a vision of their own in an effort to achieve change.
- Transformational leadership has the potential to be absued.
- Since transformational leaders change employees' values and provide a new vision of the future, question is: who decides if the new vision is better than the old one?
- Who determines whether the new direction is good?
- History provides us with examples of leaders who have exploited their people and where their vision has eventually led to death and destruction of their followers. (e.g. Hitler)
- Transformational leadership may be a personality trait or personal disposition which might be difficult to change, rather than a behaviour that can be trained and developed (Bryman, 1992)

Topic 96 Summary-TL

- Several Theories have evolved after Burns introduced the concept of transformational leadership (1978)
- Visions have been proposed by the theorists like Bass (1985), Bennis and Nanus (1985), Tichy and Ulrich (1986) and Sashkin (1988).
- The most prominent of these and the one used most often is Bass' theory of transformational and transactional leadership. (Yukl, 1999)
- Bass differs from burns' in viewing transactional and transformational leadership not as being at opposite sides on a continuum but as two different facts where a leader can be both transactional and transformational at the same time, though to different degrees.
- Also in opposition to Burns, who argue that leader should strive for a transformational leadership only, Bass argues that leaders can and should be both transactional and transformational and that a combination of these two is the most successful kind.

Topic 97 Level 5 Leadership

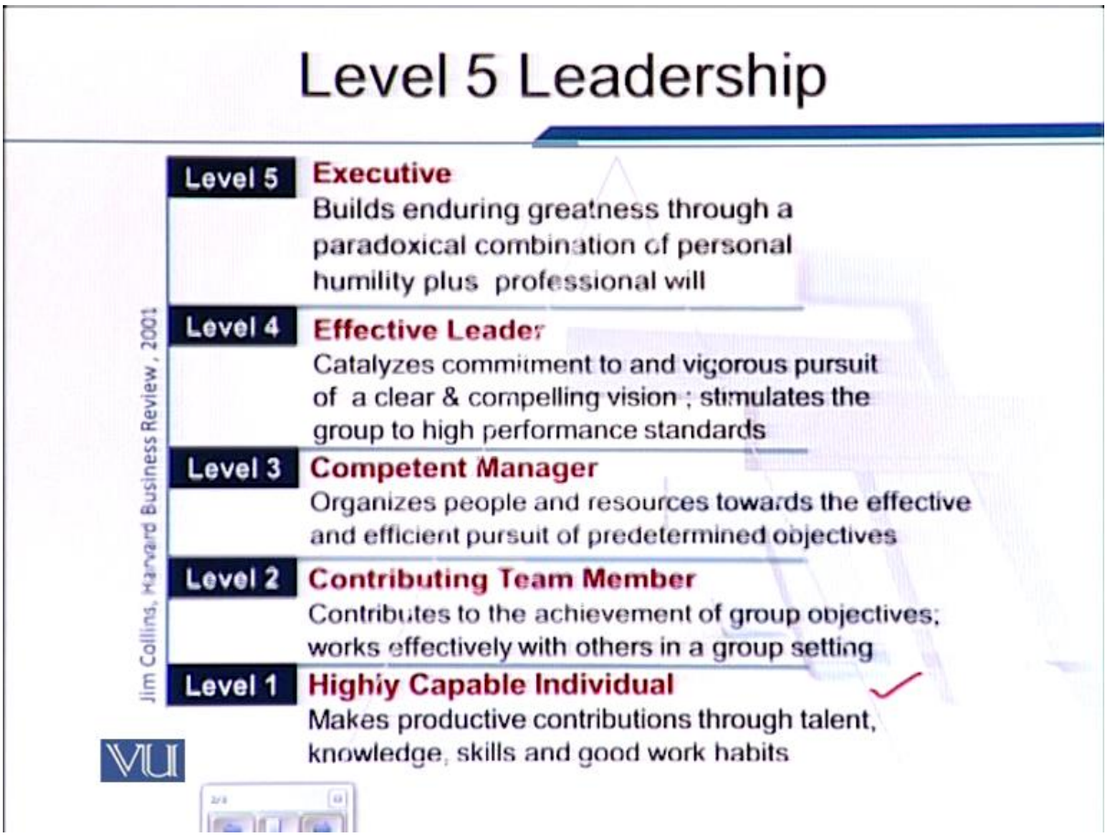
- Based on Jim Collins' article: "Triumph of humility and Fierce Resolve" in best of HBR, HBR, p.136-146. July-August 2005.

Jim Collen wrote:

Good to great

- Study of 1,435 good companies
- Co.'s that exceeded the stock market by at least 3X over 15 years!
- Examined their performance over 40 years!
- Found 11 companies that became great!
- Level 5 leaders channel their ego needs away from themselves and into the larger goal of building a great co.
- Level 5 leaders have ego and ambition-but their ambition is first and foremost for the institution, not themselves.

Topic 98 The five levels of leadership --



The five levels of leadership -- There are five levels of leadership, with five being the highest level. These levels of skills and performance are not necessarily developed in sequence, but a Level 5 leaders embody all five levels of the hierarchy.

1. Level 5 Executive -- builds enduring greatness through a paradoxical blend of personal humility and professional will
2. Effective Leader -- catalyzes commitment to and vigorous pursuit of a clear and compelling vision, stimulating higher performance standards.
3. Competent Manager -- organizes people and resources toward the effective and efficient pursuit of predetermined objectives.
4. Contributing Team Member -- contributes individual capabilities to the achievement of group objectives and works effectively with others in a group setting.
5. Highly Capable Individual -- Makes productive contributions through talent, knowledge, skills, and good work habits.

Topic 99 The Bedrock of Level 5 Leadership

"You can accomplish anything in life provided that you do not mind who gets the credit" (Harry S. Truman)

- Level 5 leaders look out the window to appropriate credit to factors outside themselves when things go well.
- If they can not find a specific person or event to give credit to, they credit good luck.
- At the same time, they look in the mirror to apportion responsibility, never blaming bad luck when things go poorly.
- They think about legacy on their way into a position, rather than on their way out of one.

Topic 100 The Two Sides of Level 5

Professional Will

- Creates superb results, a clear catalyst in the transition from good to great.
- Demonstrates an unwavering resolve to do whatever must be done to produce the best long term results no matter how difficult.
- Sets the standards of building and enduring great company; will settle for nothing less.

Personal Humility

- Demonstrates a compelling modesty, shunning public adulation; never boastful.
- Acts with quiet, calm determination.
- Relies principally on inspired standards not inspiring charisma, to motivate.
- Channels ambitions to company not to self.

"Humility is not thinking less of yourself, its thinking of yourself less"
C.S.Lewis

Topic 101 Succession Planning

- Level 5 leaders have ambition not for themselves but for their organizations.
- They routinely select superb successors.
- They want to see their organizations become even more successful in the next generation.
- Comfortable with the idea that most people won't even know that the roots of that success trace back to them.
- Level 4 leaders often fail to set up the organization for enduring success- what better way to demonstrate your personal greatness than that the place falls apart after you leave.
- These leaders want to make clock-builders, not be time-tellers.
- Rather than always have the answer, or be quick to solve someone's problem, Level 5 leadership help team members solve their own problems or find their own answers. So, build own abilities.

Topic 102 Money and Level 5

Not always about the money

- A level 5 leader is not concerned about money only.
- This leader is much more concerned with the overall success of the company in the present as well as in the future when they are gone.
- They will go everything they can to make sure the company will succeed after them by appointing a successor with their same characteristics.

When it is about the money

- When it is about the money you are probably talking about a level 4 leader.
- This is somebody who is not concerned with the future of the company after they are gone, but who just wants to get paid.
- They are all about the "I" and not about the "We".

- This leader will not “set their successor up for success”. In fact they will most likely choose a person who is not ready, or does not have any idea what it takes to be a leader of that magnitude.

Topic 103 Pathways to Greatness

- Level 5 leadership is a necessary element for taking an organization from good to great – but it’s not the only one.
- There are other “diverse”, combined with level 5 – the combined package – which takes the organization beyond ordinary.

The drivers are:

- First Who
- Stockdale Paradox
- The Flywheel
- The Hedgehog Concept
- A Culture of Discipline

First Who

- Good to great leaders start with people first and then deal with vision and strategy second.
- They get the right people on the bus.
- Move the wrong people off.
- Usher the right people to the right seats, and
- Determine where to drive it.

Topic 104 Pathways to greatness- 2

Stockdale Paradox

- Named after Admiral James Stockdale, winner of the Medal of honour, who survived for 7 years in a Viet Cong POW camp by holding on to two contradictory beliefs.
- His life could not be worse at the moment, and his life would someday be better than ever .
- Good to great leaders confront the most brutal facts of their current reality, with absolute faith that they will prevail in the end.
- They hold both disciplines – facts and faith – at the same time, all the time.

Topic 105 Pathways to Greatness- 3

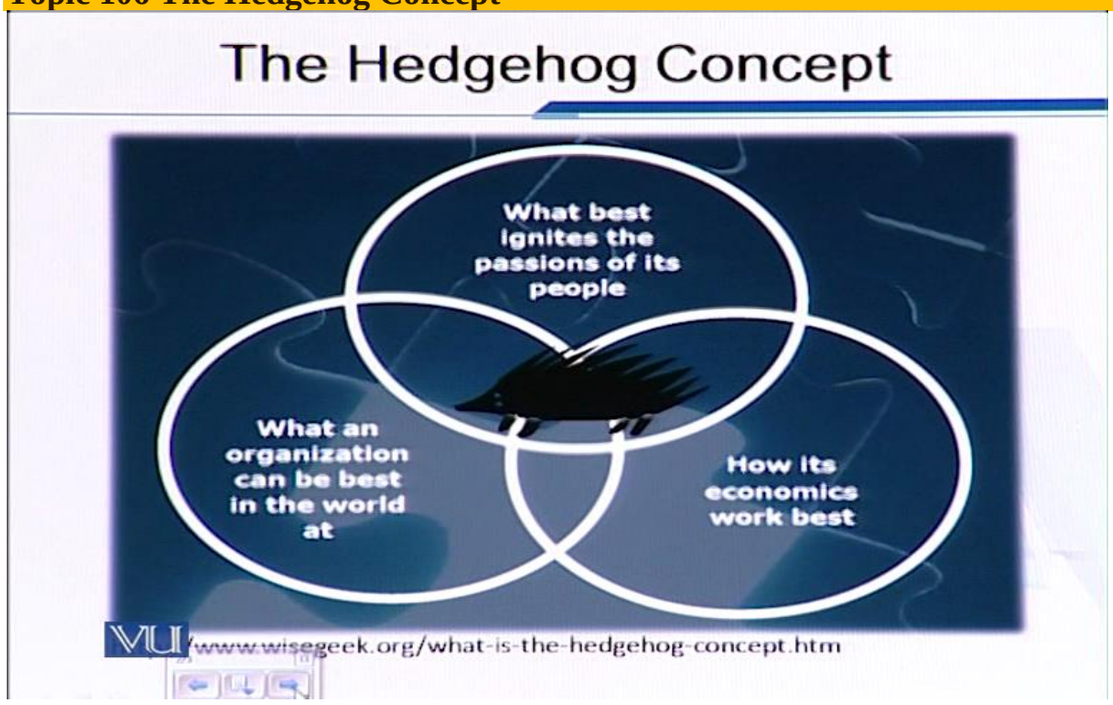
Buildup - Breakthrough Flywheel

- G-to-g transformations do not happen in one big leap or overnight.
- Rather, it starts one movement at a time, gradually building up momentum, till there is a breakthrough.
- Mediocre organizations never sustain the breakthrough momentum.
- Instead, they lurch back and forth with radical change programs, reactionary moves and restructuring.

The Hedgehog concept

- The fox knows a little about many things.
- A fox is complex.
- A hedgehog knows only one big thing very well.
- The hedgehog is simple.
- And the hedgehog wins!

Topic 106 The Hedgehog Concept



When an organization has identified its Hedgehog Concept, its leaders should devote all their energy and resources to pursuing the one thing it does best. Collins argues that when the going gets tough, it's the organizations that focus on what they're good at, rather than searching for alternative strategies, that survive and thrive.

Topic 107 Making a Jump to a Level 5 Leader

Can you learn to become a level 5?

The great irony is that the attitude and personal ambition that often drive people to positions of power stand at odds with the humility required for level 5 leadership.

Therefore:

You can see why level 5 leaders rarely appear at the top of our institutions.

The problem is not with the availability of level 5 leader. The problem is recognizing that what they have is important.

Level 5 leadership may come naturally to some people, but there will always be growth and practice needed for all of them.

Not everyone will be a level 5 leader, but all of us can benefit from the practice and study of personal humility and professional will.

Topic 108 Jump to Level 5 Leadership – 2

- Work on developing your personal humility side.
- Be sure to learn about giving your team the credit.
- When you understand that giving back is a part of success, you can understand humility on a deeper level.
- Take responsibility for your actions.
- Show your team that you are there for them when they need you, and are there to have their backs covered when problems occur.
- Develop discipline and understand that if you make a decision for the company, stick to it – no matter how difficult it may become.
- Level 5 leaders seek help when they need it. They are not afraid to ask questions.

Topic 109 Planning process

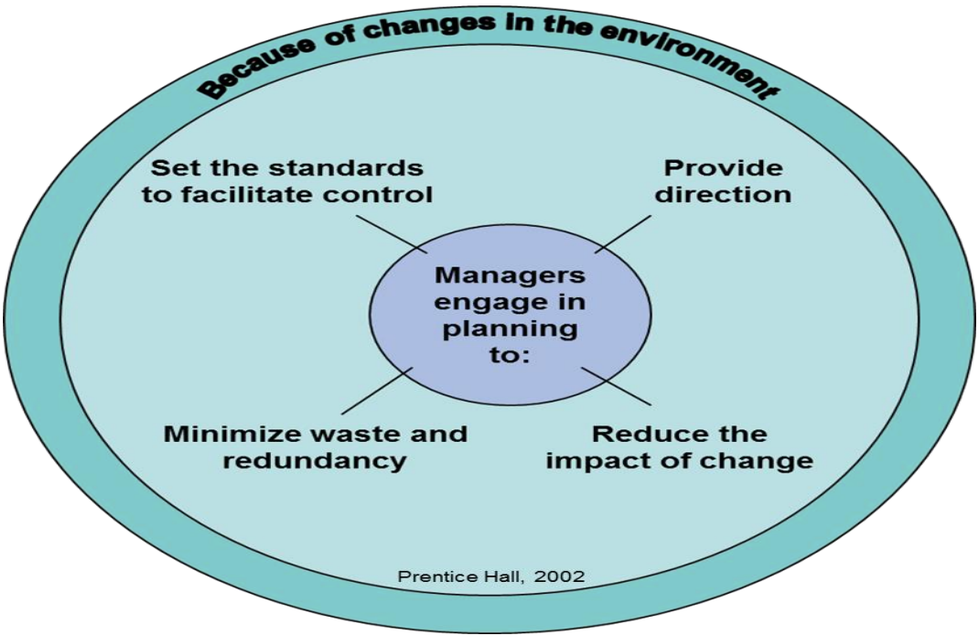
If you fail to plan you are planning to fail. Benjamin Franklin

- process of thinking about and organizing the activities required to achieve a desired goal.
- attempts to manage the future: what is to be accomplished and how.

- identifies appropriate organizational goals and selects suitable courses of action



Topic 110 Purpose of planning



Topic 111 Elements of Planning

Plan: A method for doing something, consisting of at least one goal and a predefined course of action for achieving that goal.

Goal: A specific result to be achieved; the end result of a plan.

Objectives: Specific results toward which effort is directed.

Planning: The process of setting goals and courses of action, developing rules and procedures, and forecasting future outcomes.

Actions: the means, or specific activities, that are planned to achieve the objectives

Resources: constraints on the course of action; also involves budgeting: identifying the sources and levels of resources that can be committed to the courses of action

Implementation: the assignment and direction of personnel to carry out the plan.

What Planning Entails

Choosing goals and courses of action and deciding now what to do in the future to achieve those goals.

Assessing today the consequences of various future courses of action.

Topic 112 Levels of Plans

- Plans are usually developed at three levels
  - Strategic
  - Tactical
  - Operational
- This multilevel planning allows managers at each level to consider the actions necessary to achieve their goals

Strategic Plans: the means used to achieve long-term, strategic goals

- made by top managers
- allow resource allocation

- define a broad scope of long-term organizational actions to attain strategic goals
- carry significant impact on the organization

Tactical Plans: have shorter duration that strategic plans

- made by top and middle managers
- directly support implementation of strategic plans
- consist of specific actions to be taken by division/dept./group
- narrower in scope

Operational Plans: cover briefer periods than tactical plans

- include the day-to-day operations of the org.
- support implementation of the tactical plans
- specifically define necessary decisions and actions to be taken by functional departments

Topic 113 Types of Plans

- managers match the type of plan they use to the situation they face
- plans are needed to handle three types of situations, generally:
  - one time: not likely to recur
  - regularly recurring
  - less likely to recur

One-time occurrence

Single-Use Plans

- specifically prepared to fit a one-time situation
- becomes obsolete when goal is achieved
- two common types:

1) **Programme*:*** complex set of interrelated actions aimed at achieving a goal pursued once
2) **Project:**
   - less complex single use plan
   - narrower in scope than program
   - fewer activities and resources
   - developed as sub-unit of program

Topic 114 Types of Plans…cont'd

Regularly *recurring*

Standing Plans

- for on-going goals, requiring same type of situation to be dealt with again and again
- three common types:

1. **Policy*:*** provides general guidelines/ broad boundaries for action for recurring situations; flexibility

2. **Procedure*:*** outlines specific steps to be followed in particular recurring situation; more detailed; allows less latitude; series of steps, SPOs
3. **Rule*:*** details specific circumstances under which certain activities are to be performed; narrowest;

Less likely to recur

Contingency Plans

- alternative courses of action
- for unexpected environmental shifts, but still requiring managerial response if objectives are to be achieved
- cover less likely events

Topic 115 Decision making

Meaning

- the process of selecting one alternative from among a number of alternatives available
- it is needed only when there are options
- if there is only one way of doing a task, there is nothing to decide

Definition

- **Haynes and Massie**

"Decision-making is a process of selection from a set of alternative courses of action which is thought to fulfill the objective of the decision-problem more satisfactorily than others" (1961)

Definition

- **George Terry**

"Decision-making is selecting an alternative, from two or more alternatives, to determine an opinion or a course of action" (1961)

- process of reducing any hesitation, or uncertainty, about the available options for attaining a practical and sensible choice
- requires gathering information before making best choice
- uncertainty is reduced not totally eliminated

Topic 116 Kinds of Decisions

Three basic classifications

a) **Decisions Whether**

- a yes/no or either/or decision
- checking **agreeability** before choosing best option available
- weighing the pros and cons, if the answer is a "no", then another alternative is considered

b) **Decisions Which**

- these decisions are taken from a set of alternatives
- the alternatives are compared to each other against a set criteria for selecting the most **probable** and **beneficial** option

c) **Contingent Decisions**

- decisions that were already identified but were **set aside** until the **suitable conditions** are available/ met with
- conditions, such as: time, price, availability, motivation, and energy

Topic 117 Factors of decision making

a. **Past Experiences**

- a person's past experiences can affect future decisions
- if the past decision was beneficial and positive, individual is likely to make similar decisions in a similar situation
- contrarily, failures are unlikely to be repeated

b. **Cognitive Biases**

- the individual's thinking patterns based on his/ her observations and conclusions that may sometimes lead to false assumptions, wrong judgments, and faulty reasoning.
- some cognitive biases are:
- **Belief bias** – making decisions based on a routine knowledge
- **Hindsight bias** – to see event as inevitable once it occurs
- **Omission bias** – risky information is excluded
- **Confirmation bias** – examining what is expected from observations

Topic 118 Factors in Decision Making…cont'd

c. **Individual Differences**
Some of these individual differences that affect a decision are:

- age
- socioeconomic status
- educational background
- cognitive abilities

d. Belief in personal relevance
People make decisions on something that they strongly believe in.

e. **Escalation of Commitment**
decision is influenced by allotting a huge amount of time, money and effort into the decision where people feel committed to.

Topic 119 Decision making approaches

3 main categories

1. **Individual**

- individual decision is based on personal values & preferences
- conflict of values and preferences may put decision making as challenging
- also difficult, if too dependent on others for a sound decision

2. **Authoritarian**

- leader is the sole decision maker

- leader must ensure gathering sufficient knowledge to make decision beneficial to the team/ group/ org.
- leader must explain the chosen alternative to the group in order to gain acceptance

3. **Group**

- also known as **consensus**
- members brainstorm and share ideas, talk over the matters, make and then implement the agreed decision
- usually more effective as everyone takes accountability for the outcome there is

Topic 120 Decision Making Process

1. **Define and Understand the Problem or Issue**

- identify the main cause for the need to make a decision.
- may not necessarily be a problem – may be issues/ choices to make
- part of this phase is for determining the goal as well - get clear thoughts

2. **Create and Evaluate the Choices or Alternatives**

- list appropriate, issue-specific choices
- evaluate options
- gather facts and information about each alternative
- weigh pros and cons/ consequences and benefits of each

3. **Make the Decision**

- this is a critical step
- only one option is to be selected from the list which is already cut down into the most promising and applicable choices after evaluation
- all implications must be made known to all the people involved

4. **Implement the Decision**

- apply decision suitably
- if it is a solution to an existing problem, then apply the decision to resolve the issue
- if it is an opportunity, then apply the chosen alternative to avail that opportunity aptly

Topic 121 Characteristics of Decision Making

1. **Goal-oriented activity**

- the objective is always to attain a specific goal
- e.g. a student who wants to become a Commerce graduate:
  - admission: college
  - daytime/ evening?
  - long distance ?
  - correspondence?

- series of decisions

2. **Alternative courses of action**

- need for decision-making is only when alternative ways of performing a task exist
- no need if there is only one course of action
- e.g. an outdated product, which cannot be updated, has to be abandoned – no scope

3. **Positive or negative**

- the decision may be positive or negative
- e.g. employees in an organization want revision in pay scales and go on strike
- management decision is positive if conceded, and negative if it takes disciplinary action

4. **Deferment**

- it may also be a decision not to decide
- it is always difficult to take a quick decision on a sensitive issue
- immediate 'yes' or 'no' is not always possible in all matters
- in such case, tendency will be to defer to the extent possible

Topic 122 Characteristics of Decision Making 2

5. **Both a science and an art**

- As a science, decision-making requires knowledge of method, and rule or principle concerning the issue or problem
- As an art, it requires skill for making the decision a success

6. **Situational**

- the decision-maker may make different decisions for the same problem under different situations
- e.g. a teacher may let a student coming late to enter the class on a particular day but may not allow him/ her on another day

7. **Voluntary or induced decision**

- decision-maker's own decision without any pressure; **voluntary**; spontaneous, made with open mind
- when pressurized, either by individuals or by the situation, the decision becomes **induced**

8. **Complexity**

- complex mental exercise
- involves careful consideration of the alternative courses of action, evaluation of the same and selection of the best course of action

9. **Ongoing activity**

- continuous process

Topic 123 Types of Decision Making

a. **Irreversible Decisions**

- permanent choices
- once made, become irrevocable and unchanged.

- people usually opt for irreversible decisions when there are very limited or no options available

b. **Reversible Decisions**

- not final, may be temporary.
- at any point, can be altered or changed
- such as, when the decision made is not right or when the option selected is a failure

c. **Quick Decisions**

- not everyone is able to make quick decisions
- only good decision makers arrive at instant and correct decisions easily
- the long term outcome must be considered in making quick decisions.

Topic 124 Types of Decision Making 2

d. **Experimental Decisions**

- involves certainty and assurance of the initial results before a final decision is made
- it is ensured that the preliminary outcome is positive and assuring in order to guarantee success of the decision to be taken

e. **Trial and Error Decisions**

- decision maker tries out several courses of action until one alternative is left that seems to be convincing and positive
- it is a play-safe method before committing to anything

f. **Conditional Decisions**

- when a decision is conditional, the person is open for other possibilities or other alternatives.
- in any case, when the initial decision fails, there are other options to choose from

Topic 125 Decision Making Skills

Critical Thinking Skills

- the mental process of making a wise judgment focusing on personal conviction and actions
- some components are observation, reasoning classification, analysis, inference, evaluation, meta-cognition, etc.

Problem Solving Skills: Input Phase
problem is identified and understood or examined

Processing Phase
determine alternatives & evaluate for best option **Output Phase**
decision is implemented **Review Phase**
evaluates outcomes and makes changes, if any.

Creativity

- process of generating new ideas, views and systems to solve problems and arrive at decisions efficiently
- creativity allows to think out of the box or go beyond usual perceptions
- lack of creativity leads to limited options

Topic 126 Common Decision Making Mistakes

Being too dependent on "expert" information

Some people rely too much on the experts when in fact not all of them are truly experts – try widening the search and sources

Overconfidence
humbles the overconfident attitude and remain open to possible options

Underestimating the information received from others
devaluing information fed by other is a big mistake a little respect for receiving unsolicited and volunteered information or suggestions is healthy in the decision making process.

Filtering data or information
when filtering information, you only choose those that are in your favour, which makes you biased on a certain decision, making you miss out on other details that can be helpful in the process

- be open to ideas.

Topic 127 Organizational Structure

DEFINITION

- The internal, formal framework of a business which shows the way in which management is linked together, and how authority is transmitted

Hierarchy: the levels of management in a firm from the highest to the lowest ranks.

- Org. structure also determines how **information flows from level to level** within the co. company
- In a centralized structure, decisions flow from top down
- In a decentralized structure, the decisions are made at various different levels.
- A good org. structure can often be the **difference** between a smooth operating organization and one in chaos.
- By establishing a hierarchical structure with a **clear chain of command**, companies are better able to streamline their operations.

Topic 128 Why Organization

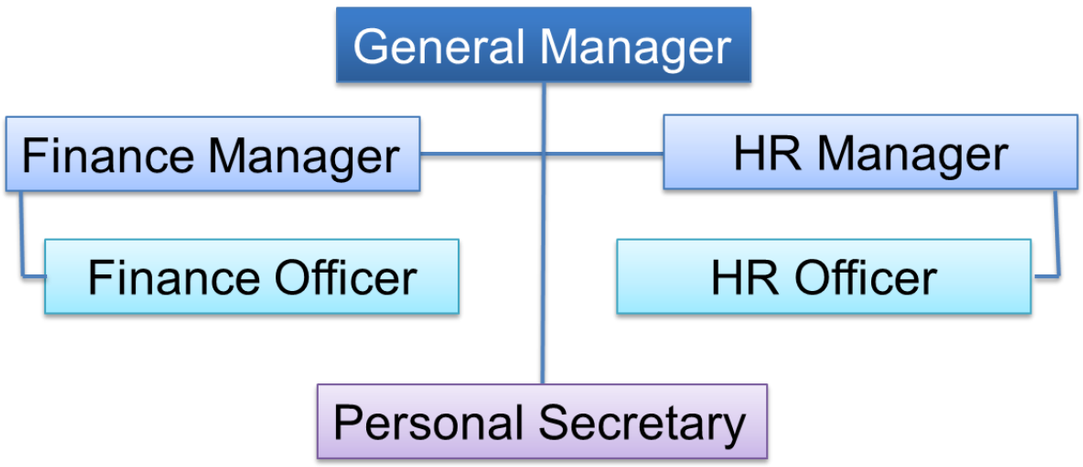
- Organizations enable a group of people to effectively coordinate their efforts and get things done. (Nitin Nohria, 1995)
- Org. lifts the capacity to work through divided workload
- Allows bigger tasks, variety of expertise and multifarious talent

Depicting the Organization

Organization Chart

- The New York and Erie Railroad developed the first org. chart in the 19th century
- shows the structure of the org. including the title of each manager's position and who is accountable to whom

Example of Organization Chart Showing Organization Structure



Topic 129 Types of Organizational Structure

Seven types of organizational structures

1) Simple
2) Functional
3) Divisional
4) Matrix
5) Team-based
6) Network
7) Modular

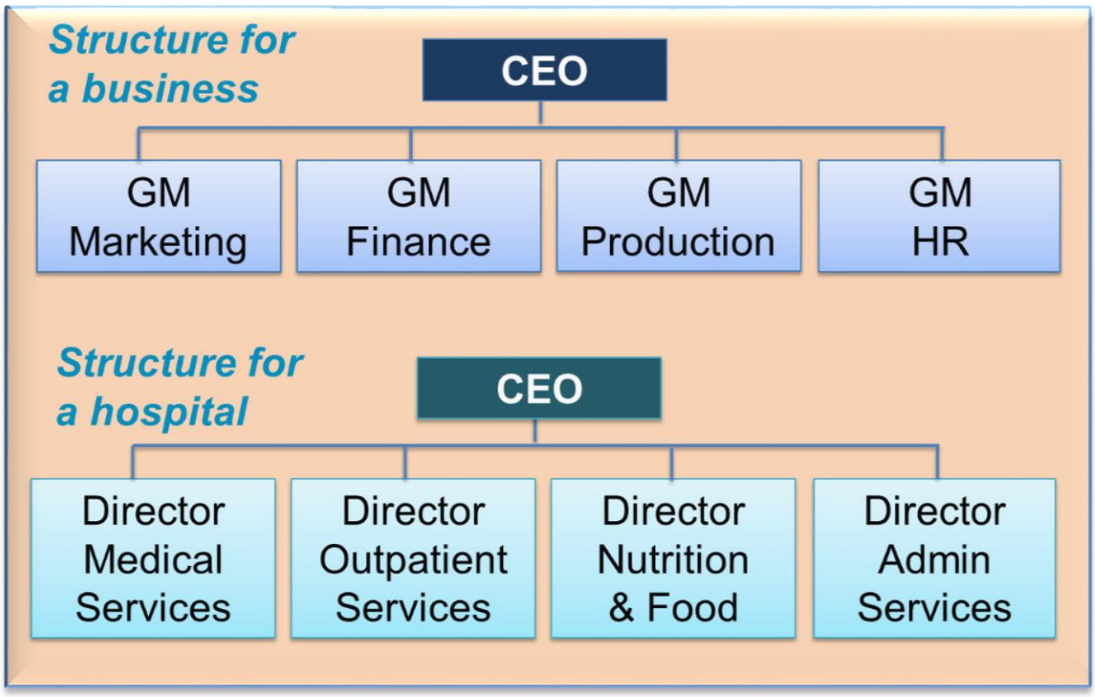
Also: tall, and flat

1. **The simple structure for the small firm**

- Often found in a firm's early, entrepreneurial stages
- Authority is centralized in a single person
- Few rules, flat hierarchy and low work specialization

2. **The Functional Structure: *Grouping by Similar Work Specialties***

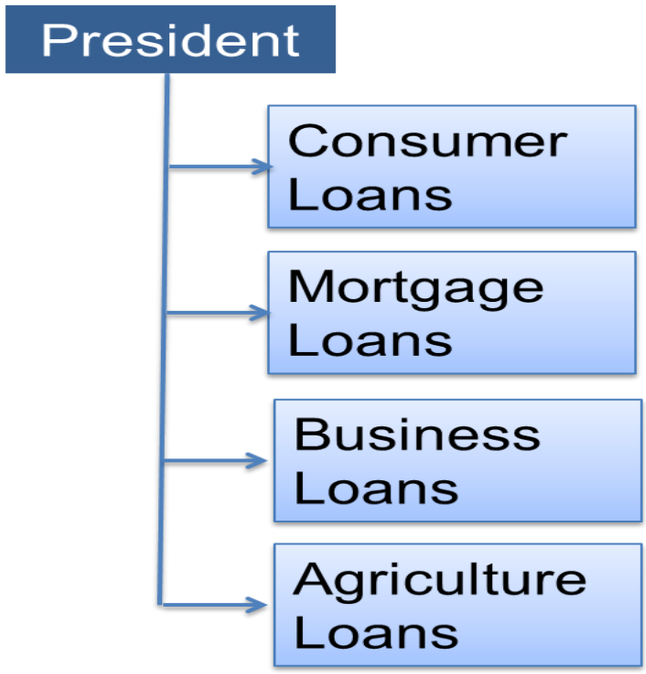
- **Similar** occupational specialties are put together in formal groups
- A quite commonplace structure, seen in all kinds of organizations, for-profit and nonprofit.



Topic 130 Types of Organizational Structure 2

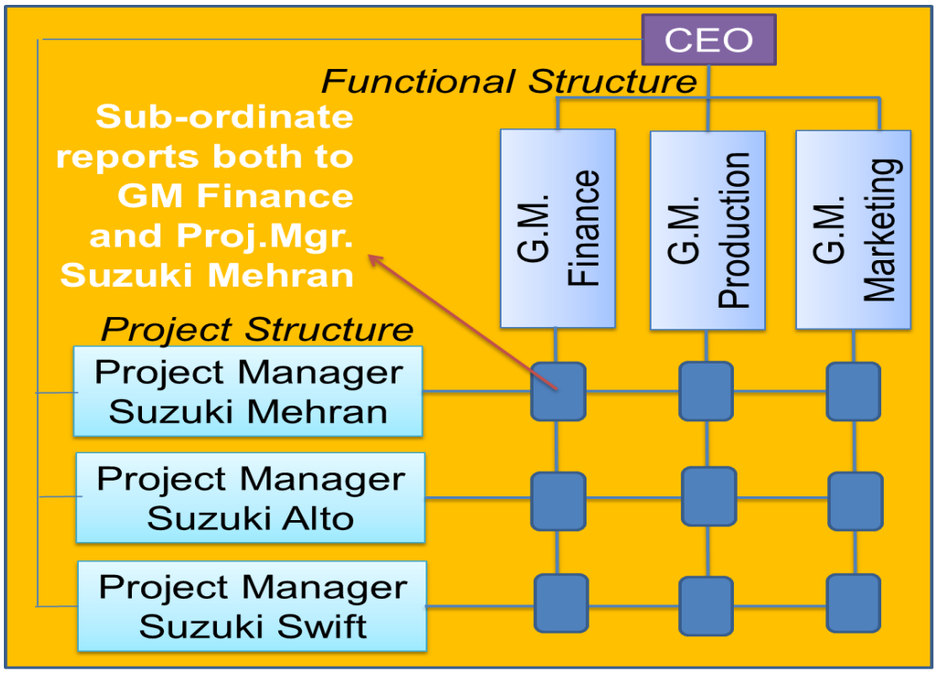
3. **The Divisional Structure:** ***Grouping by Similarity of Purpose***

- **Diverse** occupational specialties are put together in formal groups by similar products or services, customers or clients, or geographic regions.



4. The Matrix Structure: A Grid by Functions & Divisions for Two Chains of Command

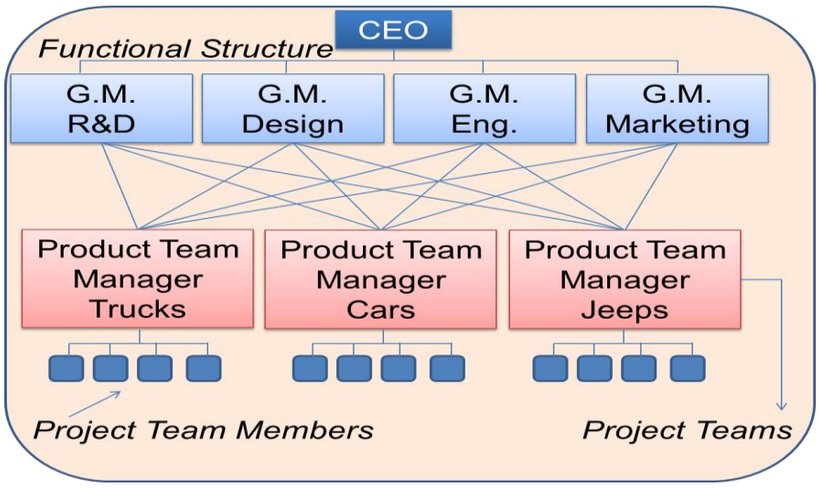
- an organization combines functional and divisional chains of command in a grid so that there are two command structures—vertical and horizontal – used for projects



Topic 131 Types of Organizational Structure 3

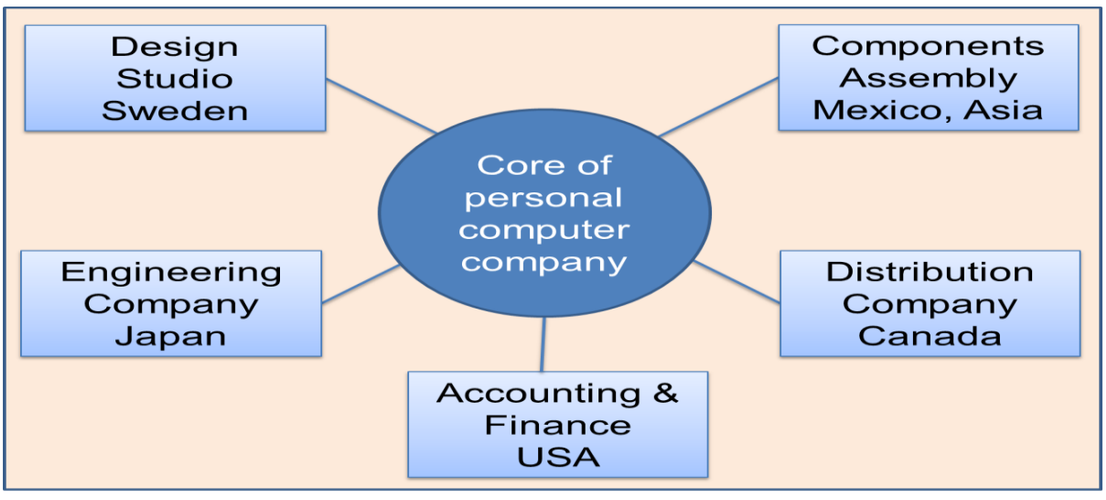
5: The Team-Based Structure: E*liminating Functional Barriers to Solve Problems*

- teams or workgroups, either temporary or permanent, are used to improve horizontal relations and solve problems throughout the organization
- cross functional teams



6. **The Network Structure:** ***Connecting a Central Core to Outside Firms by Computer Connections***

The organization has a central core that is linked to outside independent firms by computer connections, and operated as if all were a single organization



7. The Modular Structure: *Outsourcing Pieces of a Product to Outside Firms*

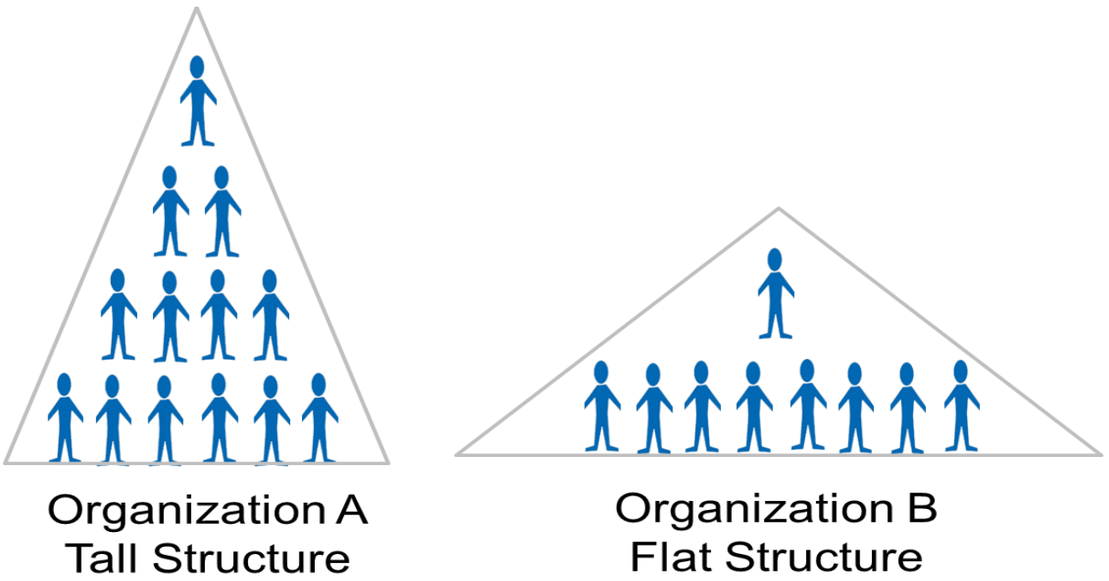
Differs from previous in that it outsources certain *pieces of a product* rather than outsourcing certain *processes* (such as human resources or warehousing) of an organization.

Tall Org. Structure

- large, complex org. often require a taller hierarchy.
- results in one long chain of command similar to the military
- as an org. grows, the number of management levels increases and the structure grows taller.

Flat Org. Structure

- has fewer management levels, controlling a broad area or group with each level
- focuses on empowering employees rather than adhering to the chain of command
- attempts to tap into employees' creativity & collaboration.



Topic 133 Organizational Behaviour

What is an organization?

An organization is a collection of people who work together to achieve individual and organizational goals.

What is organizational behaviour?

- Organizational behaviour (OB) is the study of factors which profoundly effect how people and groups act, think, feel, and respond to work and organizations, and how organizations respond to their environments



Chapter 1 - Introduction to Organizational Behaviour
http://mgt.buffalo.edu/departments/ohr/balkundi/georgejoneschap1.ppt.

Topic 134 Studying Organizational Behaviour

- Organizational studies involve the study of org. from various perspectives, methods, and levels of analysis:
- **Micro**: individual and group dynamics in org.
- **Macro**: whole org, how they adapt; - and the strategies, structures, and contingencies that guide them
- **Meso** scale structures involve power, culture, and the networks of individuals in org.
- **Field** level analysis studies how entire populations of organizations interact
- Many factors come into play whenever people **interact** in organizations
- Modern organizational studies attempt to understand and model these factors.
- can play a key role in org. development, enhancing overall performance
- also enhancing individual and group performance, satisfaction, and commitment.

Topic 135 Developing an Organizational Model

- A model is an abstraction of reality, a simplified representation of some real world phenomenon. (Khan, 2009)
- An OB model contains dependent and independent variables.

Dependent Variables

- factors affected by some other factors
- response affected by independent variable
- primary dependent variables to be explained/ predicted: productivity, turnover, absenteeism, and job satisfaction

Productivity

- an org. is productive if it achieves its goals, and does so by transferring inputs to outputs at lowest cost
- productivity measures performance, including **effectiveness**, **efficiency** and **economy**
- major concern of OB

Topic 136 Developing an Organizational Model 2

Absenteeism

- failure to report to work
- sometimes alright, e.g. illness, fatigue, stress
- take rest, instead of causing poor output or even accident (e.g. pilot, surgeon, etc.)
- beyond normal range, directly impacts org.'s effectiveness & efficiency negatively

Turnover

- voluntary/ involuntary permanent withdrawal from the org.
- acceptable if poor performers leave
- high turnover results in high costs of re-hiring and re-training
- efficiency loss due to replacement of lost knowledge and skill

Job Satisfaction

- "a pleasurable or positive emotional state resulting from the appraisal of one's job or job experiences" (Locke 1976)
- a satisfied employee is more productive
- quality is important with quantity – intrinsic value and challenge

Topic 137 Independent variables

- What are the major **determinants** of productivity, absenteeism, turnover and job satisfaction?
- these are the **independent variables**
- that is, the factors believed to be the causes of changes in the dependent variables
- there are 3 levels:

Individual-level Variables:

- people carry some personal characteris-tics when they join job: age, gender, marital status, values, attitude, personality, ability; and behaviour, perception, decision making, learning, & motivation
- org. cannot alter them

Group-level Variables:

- people's behaviour is different in group than when alone
- this level includes communication patterns, leadership styles, power and politics, inter-group relations, and levels of conflict

Organization Systems-level Variables:

- includes design of the formal organization, work processes and jobs, human resource policies and practices, and the internal culture
- all above have an impact on dependent variables

Topic 138 Implications for Managers

Develop skills

- OB especially focuses on how to improve productivity, reduce absenteeism and turnover, and increase employee satisfaction
- as such, to be effective in their jobs, managers must develop their people/ interpersonal skills

Generalizations

- we all hold generalizations about the behaviour of people
- some may provide valid insights into human behaviour
- many are erroneous
- OB uses systematic study for predictions of behaviour not intuition, as people are different

Challenges & Opportunities

- OB helps mangers to see the value of diversity in workforce
- can improve productivity by learning how to empower people, and how to design and implement change programs
- create ethical climate

Topic 139 Groups

- What makes one collection of people a group and other only an anonymous, disorganized crowd?
- **Group**: two or more interdependent people, who interact in pursuit of common purpose
- **1 - interdependency 2 - interaction 3 - shared goal**
- fans standing in a queue waiting together to purchase concert tickets may have a common goal, but:
- they are not interacting
- they are not depending on each other to achieve their goal
- so, they are **not a group** – but are a crowd
- groups are **vital** to the success of the organization
- today's competitive realities demand to create and mange groups effectively
- workforce diversity needs managers to lead groups that transcend gender, culture and age
- organizations have many types of groups
- these can be categorized on the basis of how the group forms, who its members are, and what the group does
- the most basic distinction is between **formal** groups and the **informal** groups

Topic 140 Types of Groups

FORMAL GROUPS

- created by the org. to perform a specific set of tasks in pursuit of the org.'s goals
- part of org's formal structure and hierarchy, e.g. command group, functional group, task group, etc.

INFORMAL GROUPS

- voluntarily or spontaneously formed by its members rather than by the organization
- serve social/ common interests of members
- may/ may not relate to goals of organization

- e.g. interest group (common concern), friendship group

TEAMS

- today, many orgs. are replacing traditional structure of formal command groups by groups with greater autonomy and employee participation
- **teams** are involved in management and decision-making to maximize performance

Topic 141 Characteristics of Groups

ROLES

- behaviors expected of a member as per position in the group
- some roles assigned formally (G.M.) but additional assumed informally influencing group performance
- in high-performance groups formal roles are clearly defined

NORMS

- informal standards of behavior that govern members' actions
- roles are behaviors that differentiate, norms are behaviors common to all
- members pressurize each other and new members to conform
- perspectives for work

COHESIVENESS

- degree of loyalty to the group and its goals
- strong commitment and desire to remain within the group increases group cohesiveness
- encourages members to perform at high level
- but, low output if norm is low productivity

Topic 142 Stages of group development

- Bruce Tuckman (1965) identified five stages a group goes through before they are able to function as a team
- maintains that these stages are inevitable for the team to grow, to face up to challenges, to tackle problems, to find solutions, to plan work and deliver result

Forming

Team acquaints and establishes ground rules.

Formalities are preserved and members are treated as strangers.

Storming

Members start to communicate their feelings but still view themselves as individuals rather than the part of the team.

They resist control by group leaders and show hostility.

Topic 143 Stages of group development 2

Norming

People feel part of the team and realize that they can achieve more work if they accept others viewpoints.

Performing

Team work in an open and trusting atmosphere where flexibility is the key and hierarchy is of little importance.

Adjourning

Team conducts an assessment of the year and implements a plan of transitioning roles and recognizing members' contributions.

Topic 144 End Result of Group Formation

Synergism- the cooperative action of discrete entities which is greater than the sum of the parts.

Synergistic groups can create something greater than individual members could create independently.

Three criteria of group effectiveness:

1) Extent to which the group's productive output meets the standard of quantity, quality, and timeliness for the users of the output.
2) Extent to which the group process of actually doing the work enhances the capability of group members to work together interdependently in the future.
3) Extent to which group experience contributes to the growth and well being of its members.

Topic 145 Communication in Organization

What is communication?

Communication is the process of passing information from a source of receiver.

- communication is a process of sharing experience till it becomes a common possession; it modifies the disposition of both parties who partake it -- *John Dewey*
- is a means of persuasion to influence other for achieving desired effect -*Aristotle*

What is organizational communication? and how is it different from usual communication?

It is the process by which activities of an organization are collected and coordinated to reach the goals of both individuals and the organization

In simple terms:

- it is the information flow that happens in an organization but the flow of information is based on a structure, direction and process

Topic 146 Forms of communication

Verbal Communication

- includes sounds, words, language and speaking
- speaking is sorted into interpersonal communication and public speaking
- good verbal communication is essential to deal with people in business

Non-verbal Communication

- physical ways of communication, like, tone of the voice, touch, smell and body motion.
- also includes symbols and sign language
- body posture and physical contact convey a lot of information.

Written Communication

- writing words that are to be communicated
- e.g. email, letter, report, article and memo, etc.

- main advantage: can be edited and amended many times before it is communicated
- good written communication is essential for business

Visual Communication

- visual display of information
- like: signs, symbols and designs, photography, topography, graph, etc.
- television and video clips are the electronic form of visual communication

All four forms are important for business

Topic 147 Components of Communication

Context: communication is affected by the context in which it takes place - every communication has a context.

Sender/ Encoder: is the person who sends the message – makes use of symbols (words, visuals, graphics) to convey the message and produce the required response

Message: the key idea that the sender wants to communicate – must be clear

Encoding: converting subject matter into language that is understandable by the receiver

Medium/ Channel: means used to transmit the message

Receiver/ Decoder: for whom the message in intended/ aimed/ targeted

Decoding: translating encoded message into ordinary language to get the meaning by receiver

Feedback: response of receiver to sender – helps sender to determine correct receipt, and comprehension

Noise: anything that disrupts or interferes in the communication process between a speaker and an audience or receiver

Topic 148 Communication Models

Communication is classified in following groups

- Linear model
- Interactive/ Convergence Model
- Transactional Model

Linear Model

- one-way communication
- information is transmitted from sender to receiver via a channel **without** the sender receiving any **feedback**
- does not involve response, or noise

Interactive Model

- a two way process
- the sender sends a message to the receiver and the receiver then becomes the sender and sends a message to the original sender
- feedback is added
- draw back – feedback is not simultaneous

Transactional Model

- emphasizes that each of us is a sender-receiver, not merely a sender or a receiver
- claims that communication is fluid/ simultaneous
- most conversations are like this

Topic 149 Types of communication

Internal Communication:

- that takes place within an organization
- usually: face to face, telephone, fax or mail
- modern organizations may use technology to communicate internally
- e.g. e-mails/ linked internal communication

External Communication:

- communication between the organization and the ones outside the organization, such as, customers, suppliers, banks, govt.
- can be through mail, telephone, fax, internet, etc.

Topic 150 Communication styles

	Formal Communication	Informal Communication
Definition	Intentional message Intentional setting	Random message Relational setting
Example	• Speech • Publication • E-mail blast	• Conversation • Personal note • Overheard comment

https://www.ecu.edu/cs-acad/stepp/upload/M7L1-PPT-Transitioning-between-Informal-and-Formal-Communication-Styles.pptx

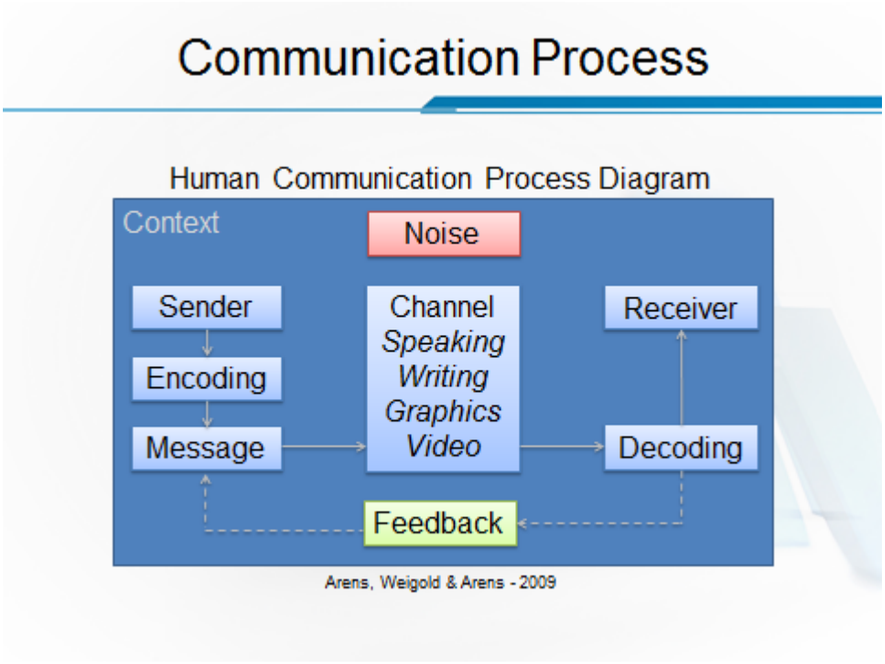
Formal Communication

- is more rigidly structured
- has a more formal tone – more standard language
- used mainly with non- peers and other not well-known people
- most likely needed in business, education.

Informal Communication

- is less rigidly structured
- has a more relaxed tone – casual language
- used mainly with peers and other well-known people – most likely in personal situations

Topic 151 Communication Process



Topic 152 Barriers of Communication

- obstacles in a workplace that prevent effective exchange of ideas or thoughts.



- in many communications, the message (what is said) may not be received exactly the way the sender intended.
- it is, therefore, important that the communicator seeks feedback to check that their message is clearly understood.
- the skills of Active Listening, Clarification and Reflection may help
- but the skilled communicator also needs to be aware of the barriers to effective communication and how to avoid or overcome them.
- barriers may cause the message to become distorted
- this may lead to confusion and misunderstanding
- effective communication involves overcoming these barriers and conveying a clear and concise message.

Topic 153 Categorise of Barriers

Language Barriers

- language and linguistic ability may act as a barrier to comm.
- even when communicating in the same language, the terminology used in a message may act as a barrier if it is not fully understood by the receiver(s)

Psychological Barriers

- the psychological state of the communicators will influence how the message is sent, received and perceived
- e.g. under stress, or being angry, one may say things that one did not actually mean.
- a receiver may also misinterpret if under

Physiological Barriers

- may result from sensory dysfunction, either on the part of the receiver or the sender
- fatigue may also lead to a breakdown in effective communication

Topic 154 Categories of Barrier 2

Physical Barriers

- are often due to the nature of the environment
- e.g., if staff are located in different buildings or on different sites
- poor or outdated equipment
- information overload (e.g. in advertisement & company brochures)

Systematic Barriers

- may exist where there are inefficient or inappropriate information systems and communication channels
- or where there is a lack of understanding of the roles and responsibilities for communication.

Attitudinal Barriers

- behaviors or perceptions that prevent people from communicating effectively
- may result from personality conflicts, poor management, resistance to change or a lack of motivation.

Topic 155 Common barriers

- The use of jargon: over-complicated, unfamiliar and/or technical terms.
- Emotional barriers & taboos**:** some people may find it difficult to express their emotions and some topics may be completely 'off-limits' or taboo.
- Lack of attention, interest, distractions, or irrelevance to the receiver
- Differences in perception and viewpoint
- Physical disabilities such as hearing problems or speech difficulties
- Not being able to see the non-verbal cues, gestures, posture and general body language
- Expectations and prejudices which may lead to false assumptions or stereotyping
- Cultural differences

Topic 156 Communication Structure

Wheel

- Centralized Network
- Members cannot communicate with each other
- Effective in simple task
- Preferred by org. where HO is totally in charge

Completely Connected

- Decentralized network
- Everyone interacts
- Effective in complex tasks – can be slow
- Leadership is unclear

Line

- Communication is restricted only to certain group members – all are connected
- Member satisfaction is better than wheel
- Moderately effective for both simple and complex tasks
- Leader is not clear

Y

- Very similar to the "wheel" structure

Circle

Similar to chain with 2 end members also connected

Topic 157 Leadership and power

Power is a natural process in organizational life

(Haugaard & Clegg, 2012; McClelland & Burnham, 2003)

- the concepts of power and leadership are closely linked
- getting things done requires power (Pfeiffer, 1993)
- leaders use power as a means of attaining group goals
- by learning how power operates, you will be better able to become a more effective leader
- in its simplest terms, **power is the ability to influence someone else** (Nelson & Quick, 2012).
- all great leaders have a vision to achieve large-scale ideas
- they all also have the personal power to enact it (Gibson *et al*, 2012).
- e.g, Steve Jobs (Apple Computer), Bill Gates (Microsoft), Mark Zuckerberg (Facebook), Jeff Bezos (Amazon.com)
- they all had strong visions of the future.
- they were able to transform their visions into reality, because they had **acquired** and **used** the necessary power to do so.
- great leaders make **things happen** by utilizing personal **power** (Pfeffer, 2011).

Topic 158 Classification of power

Power is the ability to influence the behavior of others

- one of the most influential theories of power comes from the work of **French and Raven** (1959)
- explored the **sources of power** used by leaders to influence others for attainment

French and Raven identified **five sources** of power that can be classified into **two categories:**

1. **Organizational Power** legitimate, reward, coercive
2. **Personal Power** expert, referent

- Generally, the **personal** sources of power are more strongly related to
  - employees' job satisfaction,
  - organizational commitment, and
  - job performance

Than are the organizational power sources.

- the various sources of power should not be viewed as being completely separate from each other
- leaders use the sources of power together in varying combinations depending on the situation.

Topic 159 Organizational/Formal Power

Legitimate Power

- comes from having a position of power in an organization, such as being the boss or a key member of a leadership team
- if a person rises in power, subordinates must believe s/he deserves it; otherwise it will be a bad move

Reward Power

- reward power is indicated through rewarding individuals for compliance with leader's wishes.
- this may be done through giving bonuses, raises, a promotion, extra time off from work, etc.

Coercive Power

- acquired through threatening others
- conveyed through making employee fear losing job, being demoted, receiving a poor performance review, etc.
- unlikely to win respect and loyalty from employees for long

Topic 160 Personal Power

Expert Power

- comes from one's own experiences, skills or knowledge
- with more knowledge, skills and experience in particular areas we become thought leaders in those areas, and gather expert power that can be used to get others to help us

Referent Power

- comes from being trusted and respected
- we can gain referent power when others trust what we do and respect us for how we handle situations
- held by people with charisma, integrity, and other positive qualities
- the most valuable type
- not necessary to hold position to have power
- in fact, most respect is given to those with personal power
- when workers link the leadership's power with expert or referent power, they are more engaged, more devoted to the organization and their role within it

Topic 161 Power Implication 1

Jeffrey Pfeffer (Stanford University) is one of today's most influential **management thinkers** - inspires leaders to seek power through evidence-based management, the knowing-doing gap, high performance culture, and unconventional wisdom

- reviewed several studies and concluded:

Legitimate power can be depended on initially

- but continued reliance creates dissatisfaction, resistance, and frustration in workers
- must coincide with expert power, otherwise there may be negative effects on productivity
- as it may lead to only minimum compliance

Reward power can directly influence the employee-performance behaviours in the short run

- prolonged use of reward power can lead to a dependent relationship in which workers feel manipulated and become dissatisfied

Topic 162 Power Implications 2

Although coercive power may lead to temporary compliance by subordinates, it produces the undesirable side effects of frustration, fear, revenge, and alienation.

- this in turn may lead to poor performance, dissatisfaction, and turnover

Expert power is closely related to a climate of trust.

- usage of expert power results in attitudinal conformity and internalized motivation by the workers
- this in turn requires less surveillance of workers than does reward or coercive power

Referent power can lead to enthusiastic and unquestioning trust, compliance, loyalty, and commitment from subordinates.

- Like expert power, considerably less surveillance of employees is required.

Topic 163 Control; in Organization

What is management control?

Regulatory process that directs the activities of an organization to achieve anticipated goals and standards.

Old Concept

- control for detecting errors

Modern Concept

- control for foreseeing

When done well:

it ensures that the overall directions of individuals and groups are consistent with short and long term plans

- The key requirement of a control system is that it should maintain the **level** and **kind** of **output** needed to achieve the system's objectives (March & Simon)

Topic 164 The Control Process 1



1. **Establish Objectives and Standards**

- performance objectives are defined and the standards for measuring them are established
- both input standards and output standards are formulated
- ***Input Standards*** measure work efforts that go into a performance task (e.g. training)
- ***Output Standards*** measure performance results in terms of quantity, quality, cost, or time (e.g. product)

Topic 165 The Control Process 2

2. Measuring Actual Performance

- to identify deviations or variances between what is most desired and what really occurs
- effective control may not be possible without accurate measurement

3. Comparing Results with Objectives and Standards

- comparison of actual performance with desired performance establishes the need for action
- ways of making such comparisons include:
  - historical / relative
  - benchmarking

4. Taking Corrective Action

- taking the action necessary to rectify or improve things
- managers can choose from three courses of action: they can:

a. **do nothing** – keep the status quo if performance equals the standards

b. **correct the actual performance** – when standards are not met, managers must carefully assess the reasons why, and take corrective action

c. **revise the standard**

ensure that standards and the associated performance remain relevant for the future

Topic 166 Types of Organizational Control

There are 3 types:

1. Feed-forward
- The preliminary or preventive control
- Anticipates problems
- Focus is on input
2. Concurrent
- Solves problems as they occur
- Focus is ongoing processes
- Assesses current work activities, relies on performance standards
- Aims to ensure that work activities produce the correct results
3. Feedback
- Solve problems after their occurrence
- Focuses on the organization's outputs
- Also called post-action or output control

Topic 167 Implementing Control Systems

In: Service Organizations

Control systems are more difficult to implement and maintain:

- Outputs are more difficult to measure
- Quality ratings are less clear
- Important to properly train and motivate the employees

In: Government and Nonprofit Organizations

Govt. and non-profit organizations face further problems:

- Goals and objectives are less clear
- Professionals less receptive to control systems
- Lack of profit measure makes measurements more difficult
- Less pressure to improve from "owners"
- Budgeting is more of a bargaining game to acquire additional funding and less of a planning tool
- Different motivations and incentives

Topic 168 Benefits of Organizational Control

Controls make plans effective

Managers need to measure progress, offer feedback and direct their teams to succeed.

Controls ensure steady organizational activities

Policies and procedures help ensure that efforts are integrated.

Control makes organizations effective

Organizations need controls in place if they want to achieve their objectives

Controls make organizations efficient

Efficiency depends more on controls than any other management function.

Controls provide feedback on project status

Feedback influences behaviour and is an essential ingredient in the control process.

Controls aid in decision making

The ultimate purpose of the controls is to help mangers make better decisions.

Topic 169 Motivation

Why do people work?

- money is perhaps at the top of your list
- however, there could be other reasons, e.g.
  - to satisfy ambition
  - to feel important
  - have a sense of identity/ achievement
- most people work to satisfy wants and needs

What is motivation?

- it is what makes us do what we do
- the drives within a person that account for the degree, direction and persistence of the effort spent at work
- internal and external factors that stimulate people to take action for achieving a goal

Why is motivation important?

- workers who are not well motivated tend to:
  - have high rates of absenteeism
  - arrive late
  - produce poor quality output
  - be careless – losses, accidents, damages
  - be slow to react
- workers who are motivated tend to:
  - be more committed – take responsibility
  - be loyal – reducing worker turnover cost
  - be enthusiastic and offer ideas
  - arrive early and take few days off
- well-motivated workers assist in achieving obj.

Topic 170 Motivation at Work place

- managers are always looking for ways to create motivational environment facilitating workers to work at their optimal levels to accomplish company objectives
- workplace motivators include both monetary and non-monetary rewards

Monetary Rewards

- reward workers for excellent performance through **money**
- include increase in pay, profit sharing, bonuses, staff discounts, company shares, etc.
- these have traditionally helped maintain a positive environment for staffs (Kepner, 2001).

Non Monetary rewards

Reward works for excellent performance through opportunities

Include flexible work hours, training, vocation, pleasant work environment, car, free health care, etc.

Topic 171 The Essence of Motivation

- We are all extremely complex individuals.
- Still through the core of each one of us runs one single universal motivator
- We are all striving for one thing that is to feel good.

- yet, there are many factors that get in the way of us feeling good
- even more factors that make us feel bad
- so, we are actually trying to do two things:

① **feel good**

② **avoid feeling bad**

- this is known as “Pleasure/ Pain Principle”
- we continually aim to feel pleasure and avoid pain/ discomfort/ unpleasantness
- what we link pleasure to, and what we associate with pain, shape our whole life
- everything that we do is driven by these two deep-seated drives

Topic 172 Herzberg's Motivation Theory 1

Herzberg's Motivators and Hygiene Factors

- in the 1950s and 60s, psychologist Fredrick Herzberg researched to determine the **effect of attitude on motivation**
- he asked people to describe situations where they felt really good, and really bad, about their jobs
- he found that people who felt good about their jobs gave **very different responses** from the people who felt bad.
- these results form the basis of Herzberg's Motivation-Hygiene Theory (sometimes known as Herzberg's Two Factor Theory)
- according to Herzberg, the factors leading to job satisfaction are "separate and distinct from those that lead to job dissatisfaction."
- therefore, if you eliminate dissatisfying job factors you may calm everyone, but not necessarily enhance performance.

Topic 173 Herzberg's Motivation Theory 2

Herzberg's findings showed that

- certain characteristics of a job are consistently related to **job satisfaction**
- while different factors are associated with **job dissatisfaction**.
- these are:

Factors for Satisfaction	Factors for Dissatisfaction
Achievement	Company policies
Recognition	Supervision
The work itself	Relationship with boss / peers
Responsibility	Work conditions
Advancement	Salary
Growth	Status
	Security

Mind Tools Newsletter 85 – October 19th, 2007 - http://www.mindtools.com/pages/Newsletters/19Oct07.htm

The conclusion he drew was that:

Job satisfaction and 2job dissatisfaction are not opposite

- The opposite of ***Satisfaction*** is ***No Satisfaction***
- The opposite of ***Dissatisfaction*** is ***No Dissatisfaction***

Topic 174 Herzberg's Motivation Theory 3

- resolving the causes of dissatisfaction will not create satisfaction
- nor will adding the factors of job satisfaction eliminate job dissatisfaction.
- if you have a hostile work environment, giving someone a promotion will not make him or her satisfied
- characteristics related with job dissatisfaction are **hygiene factors**
- when these have been adequately met, people will not be dissatisfied nor will be satisfied.
- to motivate, focus on satisfaction factors like achievement, recognition, and responsibility - *motivators*
- to motivate people, first remove things that are annoying them about the company and the workplace; make sure they are treated fairly, and with respect
- then, look for ways to help people grow within their jobs, give them breaks for achievement and praise their feat

Topic 175 Maslow's Hierarchy of Needs 1

Dr Abraham Maslow identified a hierarchy of five primal human needs that constantly shape our relationship and behaviour. This hierarchy is extended by these premises:

- all infants, kids, and adults constantly have dynamic mixes of mental, emotional, physical, and spiritual needs (discomforts) *and*.....
- all behavior is motivated by the eternal instinctive urge to reduce our current needs
- most people are only vaguely aware of their mix of needs
- they habitually focus on surface needs as they did as kids, so their primary needs keep recurring
- first the lowest level of needs is satisfied; then next levels are satisfied incrementally

Topic 176 Maslow's Hierarchy of Needs 2

1. **Physiological Needs**
   - reduce current ***physical*** discomforts
   - basic issues of survival such as salary and stable employment
2. **Security Needs**
   - need to feel ***safe*** enough in the near and far future
   - stable physical and emotional environment issues such as benefits, pension, fair work practices, safe work-setting
3. **Belongingness Needs**
   - our primitive need to feel ***accepted*** by, and be part of, a group of other people
   - social acceptance issues such as friendship or cooperation on the job

Topic 177 Maslow's Hierarchy of Needs 3

4. **Esteem Needs**
   - our need to be ***recognized*** as special and valuable by our group
   - positive self-image and respect and recognition issues such as job titles, nice work spaces, and prestigious job assignments
   - if you have a staff that you manage it is important to understand that the methods you use to reward and recognize their achievements can have an impact on their self esteem – which of course in turn will affect their motivation
   - the opposite is true as well – if you fail to recognize the efforts and achievements of your team, you could end up damaging the motivation levels of your team and even possibly their self esteem
5. **Self-Actualization Needs**
   - living at their highest personal potential
   - achievement issues such as workplace autonomy, challenging work, and subject matter expert status on the job

Topic 178 Applying Maslow's Theory

- With Maslow's theory, an employee's initial emphasis on the lower order needs of physiology and security makes sense (Robert Tanner)
- Generally, a person beginning their career will be very concerned with physiological needs such as adequate wages and stable income and security needs such as benefits and a safe work environment.
- employees whose lowest level needs have not been met will make job decisions based on compensation, safety, or stability concerns.
- also, employees will revert to satisfying their lowest level needs when these needs are no longer met or are threatened
- this places an extra obligation on managers to act humanely when difficult organizational decisions such as staff reductions have to be implemented.
- callous implementation of difficult decisions will cause the remaining employees to feel threatened

Topic 179 Motivation Strategies 1

- a high level of employee motivation is derived from effective management practices

- to motivate, a manager must treat people as individuals, empower workers, provide an effective reward system, redesign jobs, and create a flexible workplace

Empowering Employees

- *Empowerment* occurs when individuals in an organization are given autonomy, authority, encouragement and trust, to achieve a task
- permits choices and to transform choices into desired actions and outcomes.

Providing an Effective Reward System

- rewards are for people whose performance accomplishments help meet organizational objectives
- rewards are often used to reinforce employee behavior that is desired to be continued
- there are two ways:
- ***Extrinsic rewards*** are externally administered
  - valued outcomes given to worker by manager – bonus, promotion, time off, assignment, praise
- ***Intrinsic rewards*** are self-administered
  - "feels good" – feeling of competency, personal development, and self-control over work

Topic 180 Motivation Strategies 2

Redesigning Jobs

- applies motivational theories to the structure of work for improving productivity and satisfaction
- when redesigning jobs, managers look at both job scope and job depth
- redesign attempts may include the following:

Job enlargement or ***horizontal job loading***

- increases the variety of tasks a job includes
- quality or the level of challenge of those tasks remains same
- reduces monotony
- as employee's boredom decreases, employee's quality of work increases

Job rotation

- assigns people to different jobs or tasks to different people on a temporary basis
- adds variety and brings people to realize the jobs' interdependency
- renews interest and enthusiasm and encourages higher levels of contributions

Job enrichment *or* ***vertical job loading***

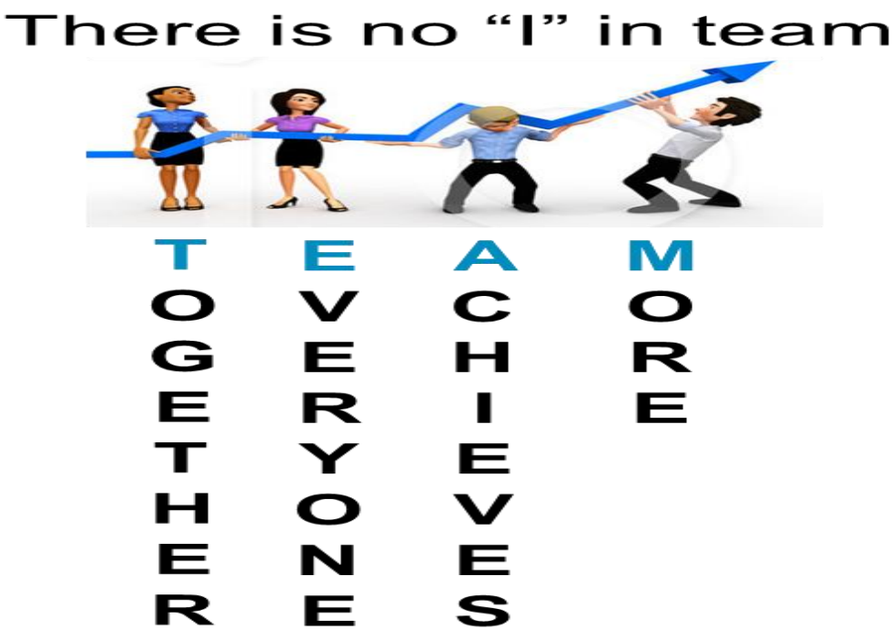
- includes not only an increased variety of tasks, but also provides an employee with more responsibility and authority
- if job skills match with jobholder's abilities, improves morale and performance

Topic 181 Team

What is a Team?

- a group of people that has a job to do, either as paid participants or as volunteers
- a group that has spent some time together, either in smaller increments over a long period of time

- a group that achieves cohesiveness
- a group with a common objective and one purpose - members are *interdependent*
- whereas other groups may recognize the strengths of each member, team members ***rely*** on the strengths of each member to accomplish the objective



Topic 182 Work groups vs. Teams

- next 2 slides show main differences between work groups and teams
- as you can see, work groups have strong individual focus and teams have strong collective focus
- individual is not lost in a team – instead his work is coordinated to fit in with the greater good

Work Groups	Teams
Accountability: individual	individual and mutual
Come together: to share information and perspectives	for discussion, decision making, problem solving, and planning.
Focus: on individual goals	on team goals
Produce: individual work products	collective work products

Work Groups	Teams
Define: individual roles, responsibilities, and tasks	individual roles, tasks and responsibilities, to help team do its work; often share and rotate them
Concern: with one's own outcome and challenges	with outcomes of everyone and challenges the team faces
Purpose: goals, approach to work shaped by manager	goals, approach to work shaped by team leader with team members

- tables indicate that teams meet more often than traditional work groups
- work groups meet periodically to hear and share information
- teams do much more than communicate when they meet
- team leadership is participatory

Topic 183 Team Development 1

- teams and groups are living organisms with certain predictable stages of development
- next slide depicts the progression of team development through a series of steps on a graph.



Group Dynamics and Team Building - http://www1.wfh.org/publication/files/pdf-1245.pdf - page 6

Stage One - Forming

- period in which members are guarded in their interactions as they're not sure what to expect from other team members
- also the period in which members form opinions of their teammates
- productivity is low during this stage

Forming – to enhance team development:

- share responsibility
- encourage open dialogue
- provide structure
- direct team issues
- develop a climate of trust and respect.

Topic 184 Team Development 2

Stage two - Storming

- characterized by competition and strained relationships among team members
- there are various degrees of conflict dealing with issues of power, leadership and decision-making
- this is the **most critical** stage for the team

Storming – enhance team development by:

- joint problem solving
- setting norms for different points of view
- establishing decision-making procedures
- encouraging two-way communication
- supporting collaborative team efforts

Stage three – Norming

- characterized by cohesiveness among members
- members realize their commonalities and learn to appreciate their differences
- functional relationships are developed resulting in the evolution of trust among members

Norming – to enhance team development:

- discuss frequently and openly about concerns
- encourage members to manage the team process
- give positive feedback
- support consensus decision-making efforts
- delegate to team members max possible

Topic 185 Team Development 3

Stage Four – Performing

- the team now has the capability to define tasks, work through relationships and manage team conflicts by themselves.
- Members interact with out fear of rejection
- Leadership is participative and shared

Performing to enhance team development:

- Offer feedback when requested
- Support new ideas and ways of achieving outcomes
- Encourage ongoing self assessment
- Develop team members to their fullest potential
- Look for new ways

Stage 5 – Transforming

- Occurs when the team is at such an effective level of functioning that it can redefine its shared purpose and respond quickly to change
- Leadership is shared, trust is high, and communication is open

The most effective teams arrive at decisions through “consensus” by following a rational process that includes:

- Identifying the issues
- Setting a specific objective
- Gathering and analysing the facts
- Developing alternatives
- Deciding and acting

Topic 186 Team Roles

Action Oriented Roles

Shaper

- Challenges the team to improve

Implementer

- Puts ideas into action

Completer Finisher

- Ensures through, timely completion

People Oriented roles

Coordinator

- Acts as a chairperson

Team worker

- Encourages cooperation

Resource Investigators

- Explores outside opportunities

Thought oriented roles

Plant

- Presents new ideas and approaches

Monitor-Evaluation

- Analyzes the options

Specialist

- Provides specialized skills

Topic 187 Resource Management

Definition of Important Terms

Resource

- An available means

Management

- Judicious use of means to accomplish an end

What are the available resources?

- Materials
- Human resources
- Time
- Space
- Information
- Relationship

Resources can easily put into abundance with large funding

Limited resources necessitated careful usage

Resources are limited

Main focus, as such, is on the utility of our resources

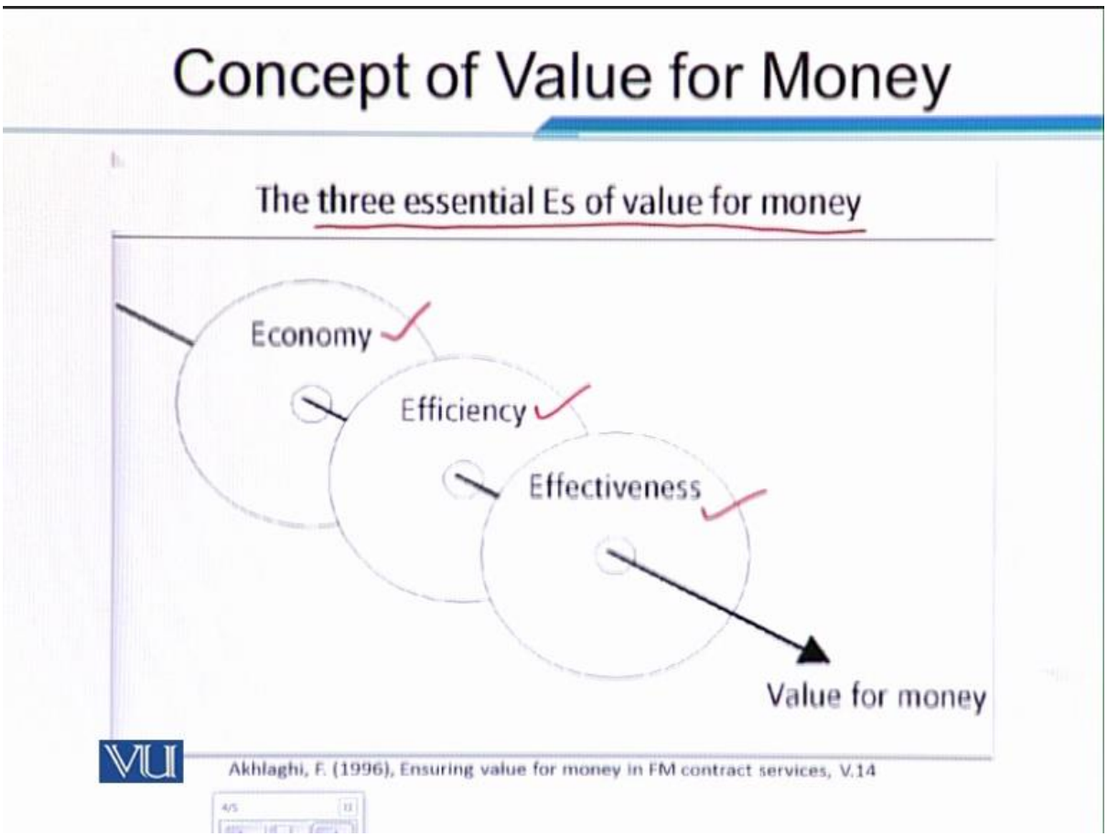
That is, for every rupee spent there must be a corresponding value for it

Major issue, therefore, is to have value for money at any point in time for all spending

This concept applies to issues in resource management

Topic 188 Concept of Value for Money

- A comprehensive examination of the extent to which financial, human and physical resources are managed with due regard to economy, efficiency and effectiveness. (Kanadasamy 2003)
- An appraisal of the extent to which resources were managed with due regard to economy, efficiency and effectiveness and in conformity with applicable rules and procedures. (Auditor General of Pakistan 2003)



- Small differences in definitions.
- Core meaning of value for money is clear in all the definitions i.e. economy, efficiency and effectiveness.
- Value for money (VfM), then, is a requirement to maximize the use of scarce resources in our daily operations.

Topic 189 The Three E's of VfM 1

Economy

Economy is defined as "minimizing the cost of resources used for an activity having regard to the appropriate quality"

That is economy is the practice of careful spending, discretion and good house keeping

Relates to all types of resources such as physical, human, time and information

Economy is observed in getting any resource when proper attention is given to the right amount and of the right kind, right place and the right time, and at the right cost.

A value mindset aligns interests of the manger spending money with those of the owners of the money.

He/she spends money in the interests of its owners.

Topic 190 The Three E's of VfM 2

Efficiency

Efficiency refers to the relationship of inputs and outputs – relevant to the use of resources.

For example teacher pupil ratio in a school; machine-hours to output ratio in a factory.

An increase in output without a corresponding increase in input, or getting the same output as before with a reduced input indicates increase in efficiency.

The focus of efficiency is to obtain maximum useful output from the resources devoted for an activity.

Key elements in adopting efficiency measures are:

- An awareness of the desired goals.

- A need to plan operation as efficiently as possible for all given level of resources.
- The need for structured organization.
- The provision of work instructions.

Topic 191 The three E's of VFM 3

Effectiveness

Effectiveness means that "the service as provided meets a real need properly".

It is an ends-oriented concept that measures the degree to which predetermined goals and objectives for a particular activity or program are achieved.

Effectiveness can be viewed in three ways:

1. Program effectiveness
   This relates to the continuing relevance of a programme, the attainment of its intended objectives, its impact and its cost-effectiveness.
2. Operational effectiveness
   This relates to the achievement of output targets, the delivery system of goods and services produced and the cost effectiveness of these systems.
3. Organizational effectiveness
   This relates to the overall capability of the organization and the interactions among strategic planning, management structures, processes and human and financial resources.

Topic 192 Summary

- Core value for the value of money is clear in all the definitions i.e. economy, efficiency and effectiveness.
- VfM then, is a requirement to maximize the use of scarce resources in our daily operations.
- Economy means doing them cheaply i.e. cost of labour, information, materials etc. are kept under control.
- Efficiency means doing things well, that is with good systems and inputs which avoid waste and rework.
- Effectiveness means doing the right things, that is achieving the objectives.
- No matter how cheap your operation is, no matter the degree of your efficiency, if your operation is not effective the effort is total waste.
- A good manager does things right (efficient).
- A good leader does the right things (effective). The importance of leadership becomes obvious.
- If it is considered that economy and efficiency are of small consequences its effectiveness is not attained.
- Most losing organizations are over managed and under led.
- Their managers accomplish the wrong things beautifully and efficiently.
- They climb the wrong wall. (Joseph Campbell, 1985)

Topic 193 Finance management

What is finance?

A broad term that defines two related activities:

- the study of how money is managed, and
- the actual process of acquiring needed funds
  - includes: resource allocation, resource management, acquisition and investment – all money matters

What is financial management?

The efficient and effective management of money (*funds*) in such a manner as to accomplish the objectives of the organization

- specialized function directly associated with the **top**

Management

What is the difference between accounting and financial management?

- financial management includes everything that involves finances, assets, and resources
- it takes part in planning, control, and decision-making
- accounting is more about reporting the financial information of a particular business entity
- records transactions, keeps, analyzes and reports financial info
- calculates and advises profit and loss of the business after a fixed tome period

Topic 194 Budgeting

- budgeting is an important part of planning
- it incorporates system of preparing and using budget, monitoring, and correction system
- it helps to achieve organization's goals, and assists in running a more effective organization
- budget is the most critical part of financial management
- a budget is simply a plant that outlines how money will be spent ; your household budget is also a plan
- forces confrontation with future
- drives the need to control future
- budget has two main features
  - **Formalized** it is written down
  - **Quantitative** it is expressed in numbers (rupees)
- budget is the means to the end

Topic 195 Budget

Key reasons for having a budget:

Goals: set a map for the future.

Effective Evaluation: goals broken into objectives/ time blocks, allow performance assessment

Compel Managers: to think and plan ahead.

Communication & Unity in the organization: goals have to be conveyed, people convinced and performance quantified.

Restrict expenditure: develop ability to limit how much money is spent on certain operations

Ensure that capital is not wasted on unessential items or the company does not overpay for economic resources used in the business

Budgetary factors are of two types-

(a) Resources

Including men, money, machines, markets

(b) Goals

Sales/ revenue, inventory, expenditure, production

Topic 196 Budget Structure

- Budget structures define framework in which individual budgets are established, maintained, tracked, and controlled
- Each budget structure is composed of budget levels that indicate the budget hierarchy of the structure
- Budget structures consist of one to four budget levels that correspond to increasingly more detailed levels of budgeting in the structure.
- each budget structure has its own attributes

A Master Budget will have following levels of budgets:

1. **Operational Budget** provides all the info necessary to prepare a budgeted P&L account
2. **Financial Budget** includes cash budget, financial statement, projections other than P&L account
3. **Capital Budget** reviews all the capital Projects/ Investments
4. **Performance Reports** provide tools for monitoring and measuring success of the budget

Topic 197 Budget Preparation

Budget Formulation

Generally: 4 basic steps:

1. ***Environmental statement*** a scan of the operating environment against long term missions
2. ***General objectives and policies*** policy statement based on global needs and co-concerns
3. ***A set of assumptions*** item-wise assessment of operational parameters and resources available
4. ***Measure goals*** Goals, broken down activity-wise, for easy monitoring and control

FORECASTING

- budgets are primarily based on **past trends** - follow historical pattern
- yet, **environmental changes** which have appreciable impact, viz:
  - technology upgrades,
  - initiatives by rivals,
  - changes in laws have to be suitably adjusted
- **ANTICIPATED**

FORECASTING

A conservative estimate of how much revenue you will have next year

- look at what you made last year, and extrapolate and forecast from that based on likely market conditions

Budget and forecast predict business results

Topic 198 Monitoring and Control

Budget Monitoring is the continuous process by which we ensure the

Action plan is achieved, in terms of expenditure and income

- ensures the economic, effective and efficient use of resources

- identification of likely opportunities and/or problems, and action

Budgetary Control

- *the essence: comparing budgeted figures with performance*
- • If performance is below the budgeted figure, it is known as a **negative variance**
- • If performance exceeds budgeted figure, it is known as a **positive variance**

EXAMPLE

- a negative variance in expenditure matched by a positive variance in production is a sign to Monitoring Authority that cost control measures are being efficiently implemented

Topic 199 Conflict management

What is Conflict Management?

The process of limiting the negative aspects of conflict while increasing the positive aspects of conflict

- Aims to improve group outcomes, including performance in organizational setting (Rahim, 2002)

What is Conflict?

"A situation that arises when one party perceives that another party has negatively affected, or is about to negatively affect, something that the first party cares about"

- Can also originate from past rivalries and personality differences
- A disagreement in which parties involved perceive a threat to their needs, interests, concerns or interpretations.

Two main forms:

- **Substantive conflict** dissent over goals, resources, rewards, policies, procedures, and job assignments.
- **Emotional conflict** feelings of anger, distrust, dislike, fear and resentment, as well as relationship problems

Topic 200 Understanding Conflict 1

- A conflict is **more** than a mere disagreement - it is a situation in which people perceive a threat (physical, emotional, power, status, belief system, etc.) to their well-being.
- As such, it is a meaningful experience in people's lives, and **not to be taken lightly**
- As in any problem, conflicts contain substantive, procedural, and psychological dimensions to be negotiated
- In order to best understand the threat perceived by those engaged in a conflict, we need to consider all of these dimensions
- Participants' response is likely to be based on their perceptions of the situation, rather than an objective review of it
- People filter their perceptions, and reactions, through their values, culture, beliefs, information, gender, experience, and other such variables

Topic 201 Understanding Conflict 2

- Conflicts are normal experiences within the work environment
- They are also, to a large degree, predictable and expectable situations that naturally arise as we continue managing complex and stressful projects in which we are much involved

- As such, if we develop procedures for identifying conflicts likely to arise, as well as systems through which we can constructively manage conflicts, we may discover new openings to transform conflict into a productive learning experience
- Creative problem-solving strategies are essential to positive approaches to conflict management.
- We need to transform the situation from one in which it is 'my way or the highway' into one in which we find new possibilities which were elusive

Topic 202 Conflict Awareness Model 1

- when we say “management”, many different words might come to mind, some positive some negative
- when we say “conflict”, most often the words that come to mind are all negative
- no wonder managers perceive conflict to be a major problem at work.
- if properly managed, conflict can actually be a positive opportunity in the work place
- exploring the positive side of conflict begins with being aware of the different **types of conflict** you may encounter at work
- most can be classified in four groups

1. **Open conflict**

Occurs when people who have different interests demonstrate it with antagonistic behaviors

- This conflict is very visible and has deep roots, sometimes over several generations.
- Both the causes and the effects need to be addressed.

Topic 203 Conflict Awareness Model 2

2. **Latent conflict**

When people have different interests, but do not respond with antagonistic behavior

- This conflict lives below the surface
- It might need to be brought out into the open before it can be effectively addressed

3. **False conflict**

Occurs when people have common interests, but antagonistic behavior

- This has shallow roots
- It may be due to misunderstanding of goals
- Can be addressed by better communication and appreciation of each other’s opinions

4. **No conflict**

Occurs when people have common interests and compatible behavior

- Any peaceful community is likely to face conflict sometime
- Though communities in this category are good at resolving conflict before it develops

Topic 204 Transitions in conflict Thought

1. **Traditional View**

- Survived from the 1930’s into the 1940’s
- Claims that all forms of conflict hold harmful effects for an org.

- Brought about by a lack of communication between the staff
- To be avoided, by focusing on the causes and correcting these

2. **Human Relations View**

- Was popular from 1940's to 1970's
- Argued that conflict was a natural occurrence in all groups and org.
- Acceptance of conflict
- At times, conflict may even benefit a group's performance

3. **Interactionist View**

- Widely accepted today
- Actively encourages certain types of conflict within the organization
- Because a completely cooperative, harmonious group of 'yes-men' may lead the organization into a static, non-responsive entity

Topic 205 Functional vs. Dysfunctional Conflict 1

Functional Conflict supports the goals of a group – its presence within the organization actually improves performance

- With proper management, following beneficial results can be obtained:
- Satisfy certain psychological needs like dominance, aggression, esteem and ego, and thereby provide an opportunity for the constructive use and release of aggressive urges
- Provide creative, constructive and innovative ideas
- Facilitate an understanding of the problem, people and interrelationships between people, better co-ordination among individuals and departments, in addition to strengthening intra group relationships
- Motivate and add variety to an individual's organizational live; individual's abilities and talents come to the front in a conflict situation
- Provide diagnostic information generating cues for better management to prevent occurrence of similar

Topic 206 Functional vs. Dysfunctional Conflict 2

Dysfunctional Conflict

By comparison, acts as a barrier to the performance of the group and frustrates the objectives of the org.

- Conflicts may lead to work sabotage, morale problems, and consequent loss of productivity
- In a conflict situation people may promote their self-interests at the cost of others in the organization
- Intense conflicts over a prolonged period affect individuals emotionally and physically and give rise to psychosomatic disorders
- Conflicts affect individual and organizational performance; resolving conflicts consumes a considerable amount of managerial time and energy which could be spent more productively in the absence of conflicts

Differentiate functional from dysfunctional conflict

- **Task conflict** relates to the content and goals of the work – *functional* **Relationship conflict** focuses on interpersonal relationship-*dysfunctional*
- **Process conflict** relates to how the work gets done - *functional*

Topic 207 Types of Conflict

Interpersonal conflict refers to a conflict between two individuals.

- Varied personalities may result in incompatible choices and opinions.
- A natural occurrence, can eventually help in personal growth or developing relations with others.

Intrapersonal conflict

Occurs within an individual - the experience takes place in the person's mind

- Psychological, involves individual's thoughts, values, principles and emotions.
- Inability to read inner struggles can make it quite difficult to handle

Intragroup conflict

Happens among individuals within a team

- Cause: incompatibilities and misunderstandings among these entities
- Within a team, can be helpful in coming up with decisions which will eventually allow them to reach their objectives as a team

Intergroup conflict

When misunderstanding arises among different teams within an org.

- Due to the varied sets of goals and interests of these different groups
- Or a rivalry in resources
- Or the boundaries set by a group to others which establishes their own identity as a team

Topic 208 Sources of Conflict

Daniel Katz (1965), identified three sources

1. **Economic conflict** involves competing motives to attain scarce resources
   - each party wants to get the most that it can
   - behavior and emotions of each party is directed toward maximizing its gain
2. **Value conflict** involves incompatibility in ideologies - the preferences, principles and practices that people believe in
3. **Power conflict** when each party wishes to maintain or maximize the amount of influence that it exerts in the relationship

   Most conflicts are not of a pure type, but involve a mixture of sources; e.g. :

   Union-management conflict typically involves economic competition, but may also take the form of a power struggle and often involves different political values

Topic 209 Conflict Management Techniques 1

Forcing also known as *competing*.

- An individual firmly pursues own concerns despite the resistance of the other person
- May involve pushing one viewpoint at the expense of another or maintaining firm resistance to another person's actions.

Possible advantages

- May provide a quick resolution to a conflict
- Draws respect when firm resistance were a response to an aggression or hostility

Limitation

- May negatively affect your relationship with the opponent in the long run

Win-Win (Collaborating)

Also known as *problem confronting* or *problem solving*.

- Sees this as an opportunity find a mutually beneficial result
- Includes identifying the opponents' concerns and finding jointly acceptable solution

Possible advantages

- Leads to solving the actual problem
- Builds a foundation for effective collaboration in the future

Limitations

- May require more effort and more time than some other method
- May not be practical for quick solution

Topic 210 Conflict Management Techniques 2

Compromising

Looks for an expedient and mutually acceptable solution which partially satisfies both parties

- For example, when the goals are moderately important and not worth the use of more assertive or more involving approaches, such as forcing or collaborating

Possible advantages

- Faster issue resolution
- More practical when time is a factor
- Lowers the levels of tension and stress

Limitations

- May result in a situation where both parties are not satisfied with the outcome (a lose-lose situation)

Smoothing also known as *accommodating*

- Accommodating the concerns of other people first of all, rather than one's own.
- When it is important to provide a temporary relief from the conflict or buy time until you are in a better position to respond/push back

Topic 211 Stress management

What is Stress

- The reaction people produce to excessive pressures or demands placed upon them - arises when they worry that they cannot cope
- Body's reaction to a change that requires a physical, mental or emotional adjustment or response

- **Stress** may be defined as "a state of psychological and / or physiological imbalance resulting from the disparity between situational demand and the individual's ability and / or motivation to meet those demands."
- **Stress** is often termed as a twentieth century syndrome, born out of man's race towards modern progress and its ensuing complexities
- Stress occurs when the pressure is greater than the resource.
- S = P > R

Topic 212 Hans Selye's Model of Stress

- Hans Selye (1907- 1982) was a Hungarian *endocrinologist;* was first to give a scientific explanation for stress:

An event that threatens an organism's well-being (a stressor) leads to a 3-stage response:

Stage 1: Alarm

Stage 2: Resistance

Stage 3: Exhaustion

Stage 1: Alarm

The " Fight or Flight" response that prepares the body for immediate action

- Sympathetic nervous system is activated
- Adrenalin released into the bloodstream to meet the threat/ danger
- Body's resources now mobilized

Stage 2: Resistance If

The source persists, the body prepares for long-term protection, secreting hormones to increase blood sugar levels

- Common and not necessarily harmful, but must include periods of relaxation and rest to counterbalance the stress response

Stage 3: Exhaustion If stressor continues beyond body's capacity, organism exhausts resources (emotional, physical and mental)

- Body experiences adrenal exhaustion,
- Lesser stress tolerance
- And becomes susceptible to disease, collapse, even death

Topic 213 Levels of stress

Stress can be both positive and negative.

- It is our response to stress—how we manage stress—that makes a difference in terms of how it affects us.

EUSTRESS

Good stress resulting from pleasant events or conditions

- nature: curative
- positive cognitive response to stress that is healthy
- gives positive feeling of fulfillment

- significantly positive correlation with life satisfaction and hope

DISTRESS

Stress resulting from unpleasant events or conditions

- ***Bad stress***
- If a stimulus we react to is negative, we are actually feeling "*distress*" though we label it as stress. e. g. death of a close friend

Acute stress

- Resulting from specific events or situations that involve novelty, a threat to ego, unpredictability, and leave us with a poor sense of control

Chronic stress

It is a prolonged stress that exists for weeks, months, or even years – due to poverty, broken families

Topic 214 Potential stressors 1

- Factors that cause stress are called "*Stressors*"

ORGANIZATIONAL LEVEL STRESSORS

Organisational Climate: A high pressure environment which places chronic work demands on employees fuels the stress response

Organisational Structure defines the levels of hierarchy, the degree of rules and regulations and where decisions are made.

- Excessive rules and lack of participation in decisions are examples of structural variables that might be potential stressors

Organisational Leadership represents the managerial style of the organisation's senior executives

- Some chief executive officers create a culture characterised by tension, fear and anxiety

Organisational Changes when changes occur, people have to adapt to those changes and this may cause stress

Occupational Demands some jobs are more stressful than others

- Jobs that involve risk and danger produce more stress

Topic 215 Potential Stressors 2

Work Overload Excessive work load puts a person under great pressure and leads to stress - work overload may take two forms:

Qualitative: a job that is complicated or beyond the employee's capacity

Quantitative: too many activities to be performed in prescribed time

Work Under-load: very little work, or too simple or repetitive work is done by the employee

- Doing less work or jobs of routine and simple nature would lead to state of monotony and boredom
- Which can lead to stress

Working Conditions: employees may be subject to poor working conditions – e.g. poor lighting and ventilations, excessive noise and dust, etc.

- Unpleasant conditions create physiological and psychological imbalance in humans thereby causing stress

Second-hand Stress

- Workers who always appear rushed and busy increase the stress levels of almost everybody whom they came in contact with throughout the day
- Overall team productivity actually decrease due to raised stress levels

Topic 216 Stress Control

Organizational Strategies

Role Analysis Technique (RAT): helps both the manager and the employee to analyse the requirements and expectations from the job

- Helps to eliminate reduction of work and thus lowers down the stress level

Delegation: can directly decrease workload upon the manager and help to reduce the stress6)

More Information & Help*:* helping inexperienced/ less-informed employees would lead to much efficient, effective work

- Would also reduce anxiety and stress

Organizational Stress Management Program Targets

- Redesigning work to minimize stressors
- Creating more flexible work hours
- Better communication and team-building practices
- Better feedback on worker

Topic 217 Change Management

What is Change?

- To make the form, nature, content, future course etc. of something different from what it is or from what it would be if left alone.

What is change management?

"A systematic approach to dealing with change, both from the perspective of an organization and on the individual level".

"To define and implement the procedures to deal with the changes and to profit from changes opportunities".

What IS, and IS NOT, Change Management (CM)

- CM ***is not*** a stand-alone process for designing a business solution
- CM ***is*** the processes, tools and techniques for managing the people-side of change
- CM ***is not*** a process improvement method
- CM ***is*** a method for reducing and managing resistance to change when implementing process, technology or organizational change
- CM ***is*** a necessary component for any organizational performance improvement process to succeed

Topic 218 Change Implications

- modern organizations face constantly varying

→ **market conditions,**

→ **customer demands,**

→ **technologies,**

→ **input costs** and

→ **competition**

They must adapt to these shifting forces to avoid being swallowed up by other companies

Change management is managing the impact that these crucial adaptations can have on the people of an organization

Four typical responses to change are:

- the critic who opposes the change
- the victim who panics
- the bystander who

Ignores the change

- the navigator who is empowered to work with the changing circumstances

The challenge for manager is to help people become navigators

Organizations must continually adapt in order to survive – to create change navigators

Topic 219 The Change Framework

- No two changes are exactly alike, nor are any two organizations
- The application of change management should never become so **automatic and rote** that it becomes like a "recipe" of tasks
- the result may be that you learn the **'how'** but not the **'why**‘

Understanding the 'why' makes you better at the 'how‘

The right approach: specific to the situation

- Lacking understanding of the 'why' behind your actions as a change manager, changes may fail even when sound change management processes are followed
- Work like a ‘**chef**’ not as a ‘**cook**’
- A cook does exactly as the recipe calls for – follows steps – but does not know **why** the recipe works
- May be surprised at the outcome – and not always pleasantly!
- Changes in temperature and other variables can affect the results greatly
- A chef **understands the chemistry** of what is occurring, and knows the 'why' behind each element of the recipe
- When variables change, chefs can **adjust** to create the outcome they want

Topic 220 Resistance to Change

- Many change-managers assume that by building **Awareness** of the need for change, they have also created for workers a **Desire** to engage in that change
- Assumption is that desire automatically follows awareness
- It is a **mistake!**

The normal reaction to change is resistance

- The current state has great **holding** power

- The possibility of losing what we have grown used to & comfortable with creates **worry**, **anxiety** and **fear**.
- Future state is often unknown or ill-defined - uncertainly creates fear

The key message

Because resistance to change is normal

Resistance should be expected

- As such, our *planning activities* should be designed to soften that resistance
- Manage resistance early and at its source
- For effective change management shift from preventing and managing resistance to engaging employees and building enthusiasm and passion around the change
- Accept resistance
- Enable mangers
- Do not overlook culture

Topic 221 Change is a Process (1)

Change occurs as a process, not as an event change in org. does not happen instantaneously because there was a notice, an announcement, or order

- Individuals do not change just because they received an email or attended a training program
- When we experience change, we move from what we have known and done, through a period of transition to arrive at a desired new way of behaving and doing our job.
- Treating change as a process is the central component of successful change management
- Breaking down the change into distinct phases allows you to better tailor your approach to ensure employees successfully adopt the change

Topic 222 Change is a Process (2)

- **Whatever** the change, technological, business processes or a new reporting structure, there is always a Current State (how things are **done today**), a Future State (how things **will be done**) and a Transition State (how we will **move from** point A to point B).

1. The Current State

- The collection of processes, behaviors, tools, technologies, structures and job roles that constitute how work is being done
- It may not be working great, but it is familiar and **comfortable** because we know what to expect.

2. The Transition State

- It is messy, constantly changing, unpredictable and often emotionally charged – **challenging**
- Productivity declines
- Requires us to accept new perspectives and learn new ways of behaving, while still keeping up our day-to-day efforts running

3. The Future State

- It is where we are trying to get to - often not fully defined, and can actually shift during our efforts

- Can often be **worrisome** – it may not match our personal and professional goals, and there is a chance that we may not be successful

Topic 223 Kotter's Model of Change

John Kotter (1996) has outlined an eight-step model for effective change efforts

- **Steps 1–4** help unfreeze the status quo
- **Steps 5–6** introduce new practices, and
- **Steps 7–8** ground the changes in a new culture to ensure sustainability



http://holistika7.com/wp-content/uploads/Kotters-8-Steps-for-managing-change.png

- **Steps 1–4** help unfreeze the status quo

❖ create conditions for change

- **Steps 5–6** introduce new practices

❖ introduce new practices

- **Steps 7–8** ground the changes in a new culture for sustainability

❖ maintain momentum

Topic 224 Managing Change (1)

Step 1: Create a Sense of Urgency Help others see the need for change and the importance of acting immediately

- Identify the key stakeholders, groups, and individuals in the org. who must feel the need for change
- To make the case for change, it is essential to **talk** about the need for change, the **consequences of not changing**, and the ways to solve the problems
- Ensuring a sense of urgency among people is crucial to getting cooperation for change

Step 2: Pull Together the Guiding Team

Make sure there is a powerful group guiding the change—one with

- leadership skills,

- credibility,
- communications ability,
- authority,
- analytical skills, and
- a sense of urgency
- remember that one person cannot implement wide-scale change; a **coalition is essential**
- when building a guiding coalition, think whether they have the right mix of skills, knowledge, and capabilities
- ensure that they do!

Topic 225 Managing Change (2)

Step 3: Develop the Change Vision and Strategy *deciding what to do*

- clarify how the future will be different from the past, and how you can make that future a reality
- leaders must create a **compelling vision** – & a **strategy** to realize it
- the vision must answer the questions

  "What do we want to achieve?" and

  "Where do we want to be in the future?"

It is important that the guiding coalition be instrumental in the creation of the vision and strategy

Step 4: Communicate for Understanding and Agreement *making it happen*

- after determining vision and strategies, they must be effectively communicated
- failure to implement change is often the result of under- or poor- communication
- ensure that max others understand and accept the vision and strategy
- an environment must be established where concerns can be brought forward and discussed without fear of retribution
- accept and plan for resistance – resisters help to clarify the issue

Topic 226 Managing Change (3)

Step 5: Empower Others to Act Remove as many barriers as possible so that those who want to make the vision a reality can do so

- systems or structures that undermine the change vision, and other obstacles to change, must be changed / eliminated:
- set short-term goals
- encourage people to speak up – and differ
- encourage people to take risks – give them freedom
- tell people as much as you know – do not hide
- encourage personal reflection and learning
- give training / support
- encourage teamwork

Step 6: Produce Short-Term Wins *create some visible, unambiguous successes as soon as possible*

- demonstrate success of the initiative
- plan and create the wins – be sure to visibly recognize and reward people who made the wins possible

Topic 227 Managing Change (4)

Step 7: Don't Let Up *press harder and faster after the first successes*

- be relentless with instituting change after change until the vision becomes a reality
- you may have to change systems, structures, and policies that do not fit the transformation vision

Kotter recommends that to solidify the changes you should:

- hire, promote, and develop people who can implement the change vision
- strengthen the process with new projects, themes, and change agents

Step 8: Create a New Culture *hold onto the new ways of behaving and make sure they succeed until they become a part of the very culture of the group*

- also, develop a means to ensure leadership development and succession
- remember that changing culture comes last, not first.
- it is only after people change their actions that there can be a change in culture

Topic 228 Summary

What to expect from change

- sense of loss/confusion
- mistrust/ a "me" focus
- fear of letting go of that which led to success in the past
- people holding onto and valuing the past
- high uncertainty, low stability, high emotional stress – high conflict

Addressing mind-set

- learn the change-matter thoroughly yourself
- explain the purpose of change
- convey the benefits
- link daily activities to their higher purpose and benefits
- paint a picture of the successful future
- build relationships

Topic 229 Organizational Change

What is Organizational Change?

- The process by which organizations move from their present state to some desired future state to increase their effectiveness.
- Aims to increase an organization's ability to create value by finding better ways of using resources and capabilities.

Need for Change

Based on external or internal forces. Performance gap disparity between existing and desired performance levels.

- Current procedures are not up to standard.
- New idea or technology could improve current performance.

Targets of change include improving effectiveness at four different levels:

- Human resources
- Functional resources
- Technological capabilities
- Organizational capabilities

General Rule:

Change is bottom up.

Topic 230 Targets of Change (1)

Human Resources

Changes include:

- Investment in training and development.
- Promotion and reward systems.
- Restructuring the top- management team.
- Socializing employees into the organizational culture.
- Changing organizational norms and values to motivate aa multicultural and diverse workforce.

Functional resources

Changes Include:

- Transferring resources to the functions where the most value can be created in response to environmental change.
- An organization can improve the value that its functions create by changing its structure, culture and technology.

Topic 231 Targets of Change 2

Technological capabilities

Change include:

Efforts aimed at giving an organization the capacity to change itself in order to exploit market opportunities.

Adoption and use of new technologies.

Development of new products/technologies and modifying the existing ones.

Technological capabilities are a core competence.

Changing organizational design.

Changing strategy.

Culture and structure.

Changes that penetrate entire organization.

Topic 232 Types of Change

Successful organizations simultaneously take up two types of planned change.

Evolutionary change:

Change that is gradual and narrowly focused – incremental.

Revolutionary change:

Which is sudden, drastic and broadly focused – transformational.

Evolutionary Change

Sociotechnical Systems Theory:

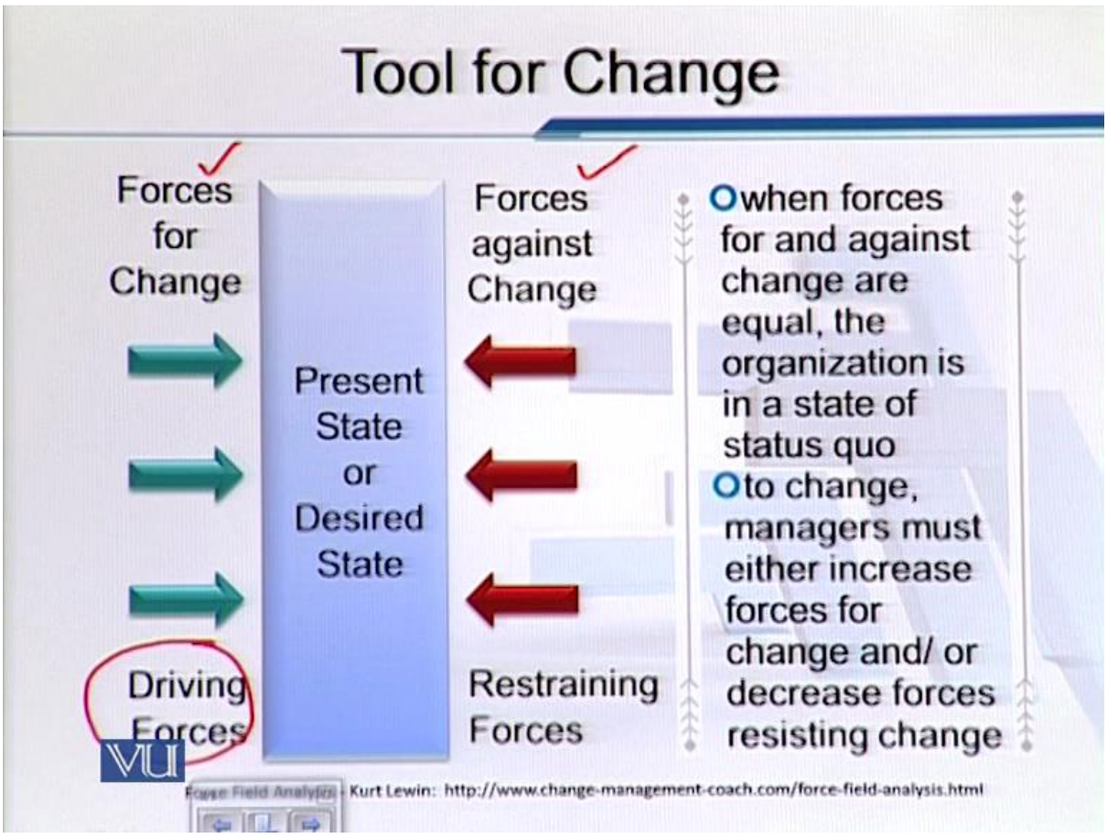
Changing role and task or technical relationships to increase organization's effectiveness.

Topic 233 Tool for Change

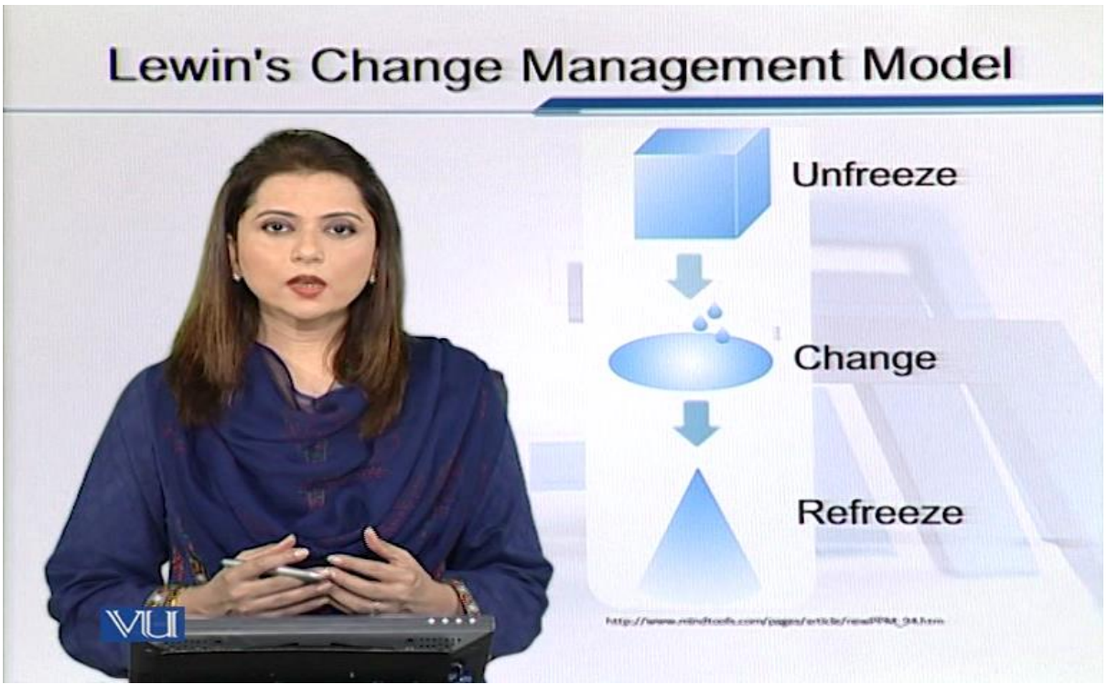
Force Field Analysis – Kurt Lewin

Force field analysis a powerful strategic tool used to understand what is needed for change.

- Two sets of opposing forces within an organization determine how change will take place.
- Forces for change and forces against or resistant to change.



Topic 234



Unfreeze preparing the organization to accept that change is necessary – involves breaking down the existing status quo.

- Start at the core – challenge the beliefs, values, attitudes and behaviors that currently define the organization.
- Prepare compelling message why change?

Change people begin to resolve their uncertainty and look for new ways to do things – they start to believe and act in ways that support the new direction.

- People to understand how the changes will benefit them.
- Hands on management is the best approach.

Refreeze people and the organization internalize or institutionalize the changes.

- Ensure that changes are used all the time and are incorporated into everyday business with a new sense of stability, employees feel comfortable with the new ways of working.

Topic 235 Organizational Culture

- The topic of organizational culture is increasingly understood as a company asset that can be used to increase business performance.
- Culture of an organization greatly influences its countless decisions and actions.

What is organizational culture?

Pattern of shared values and beliefs that produce certain norms of behavior is called organizational culture.

For example, how things are done, for some, culture is considered the" glue" that holds an organization together and for others, the "compass".

It is a system of meaning that members share and that distinguish the organization from others dominant cultures core values shared by the majority of organization's members subcultures core values of the dominant culture plus additional values unique to the members of the department/geography.

Topic 236 Elements of Organizational Culture

1. Artifacts – symbols of culture in the physical and social work environment.
2. Values: following are the values

Espoused: what members of an organization say they value.

Enacted: reflected in the way individuals actually behave.

3. Assumptions are deeply held beliefs that guide behaviors and tell members of an organization how to perceive and think about the things.



Topic 237 Functions of Organizational Culture

Managing internal integration

- Creating a common language and conceptual categories.
- Defining group boundaries and criteria for inclusion/exclusion.
- Distributing power and status.
- Developing norms of intimacy and friendship.
- Defining and allocating reward and punishment.
- Explaining the unexplainable ideology and religion.
- Mission and strategy will be shared understanding of primary tasks.
- Goals are derived from mission.
- Means – how goals should be achieved.
- Measurement – determining how well the group is doing.

Managing external adaptation

- Correction – remedial and repair strategies.
- Focus on the external problems.
- Successful management of external problems will determine your success.
- Leadership and culture are intertwined.

Topic 238 Organizational Culture and Performance

- Kandula (2006): the key to good performance is a strong culture. A positive and strong culture can make an average individual perform and achieve brilliantly.
- A negative and weak culture may demotivate an outstanding worker to underperform.
- Magee (2002) contends that without considering the impact of organizational culture, organizational practices such as performance management could be counterproductive because the two are interdependent and change in one will impact the other.
- Due to difference in organizational culture, same strategies do not yield same results for two organizations in the same industry and in the same location.

Topic 239 Types of Organizational Culture

Clan oriented cultures are family-like, with a focus on mentoring, nurturing and doing things together.

Adhocracy oriented cultures are dynamic and entrepreneurial, with a focus on risk taking innovation and doing things first.

Market oriented cultures are results oriented with a focus on competition, achievement and getting the things done.

Hierarchy oriented cultures are structured and controlled with a focus on efficiency, stability and doing things right.

Hierarchy and market focus on stability. Clan and Adhocracy focus on flexibility and adaptability.

A hierarchy culture based on control will lead mainly to incremental change.

A focus on adhocracy will lead to innovative, breakthrough change.

Topic 240 Difference

Is there any difference between organizational and corporate culture?

- Both are usually used interchangeably.
- Both refer to the shared values, outlooks and approaches within an organization.
- However corporate culture focuses on for-profit corporation.

Topic 241 Decision making

The process of:

- Examining your possibilities and options,
- Comparing them &,
- Choosing a course of action.

Some decisions are comparatively simple:

- For example: Is this assignment now ready to be sent to my teacher?

Conversely, some decisions are complex:

- For example: Which of these candidates should I select for the job?

Simple decisions require simple process of decision making.

But difficult decisions involve issues like these:

Uncertainty---- many facts may not be known.

Complexity----- many interrelated factors are to be considered.

High-risk consequences----- impact of decision may be substantial and serious.

Alternatives---- each has its own set of uncertainties and consequences.

Interpersonal issues----- it can be difficult to predict how other people will react.

Topic 242 Six C's of Decision Making

A model of decision making:

1. Construct
2. Compile
3. Collect
4. Compare
5. Consider
6. Commit

Construct a clear picture of precisely what must be decided.

Compile a list of requirements that must be met.

Collect information on alternatives that meet the requirement.

Compare alternatives that meet the requirements.

Consider the "what might go wrong" factor with each alternative.

Commit to a decision and follow with it.

Topic 243 Barriers of effective decision making (1)

Psychological biases

- Decision makers do not always behave in an objective manner in the way they gather, evaluate, and apply information in making their choices.
- People have biases that interfere with objective rationality.
- These are reflected in:

a) Illusion of control

People's beliefs that they can influence events, even when they have no control over what will happen. Such overconfidence in business may be tragic- decision makers ignore risks and fail to objectively evaluate the odds of success.

b) Framing effects

Decision bias influenced by how the problem or decisions alternative is phrased or presented. For example, course A had 70% chance of profit and course B 30% chance of loss- the choices were equivalent – manager selected course A. (Bateman and Zeithaml)

c) Discount the future

A bias giving short term costs and benefits more weightage than longer term costs and benefits. For example, many people would avoid going for dental check-up now even though condition may worsen in future. Negative long term consequences.

Topic 244 Barriers to Effective Decision Making (2)

Time pressures

Today's fast business setting asks for acting quickly- slow decisions may become irrelevant. But fast decisions may ignore caution, supress conflict and make decisions on one's own without consulting other.

Managers – cut quality

Speed-trap = dangerous

Social realities

Many decisions are made by a group rather than by an individual manager.

In slow moving firms, interpersonal factors decrease decision-making effectiveness.

Even the manager acting alone is accountable to the boss and to others and must consider the preferences and reactions of many people.

Important managerial decisions are marked by conflict among interested parties.

Therefore, many decisions are the result of intensive social interactions, bargaining and politicking.

Topic 245 Decision making in Groups

- Spitzer and Evans (1997) advise that in today's complex business environment, significant problems should always be tackled by groups.
- Hence it is important to understand how groups operate and how to use them to imp-rove decision making.
- The basic philosophy "two heads are better than one".
- If enough time is available, groups usually make higher quality decisions than most individuals acting on their own.
- However groups often are inferior to the best individual. (Hill, 1982)

Advantages of using a group:

- More information is available when several people are involved in making the decision.
- Multiple perspectives to solve the problem are available.
- Group discussions offer intellectual simulation.

Topic 246 Common Decision Making Errors

Hearing and seeing only what we want

- Each individual has their preferences or biases which gravitate them to certain information.
- Best way to deal with this issue is to identify your biases and preferences and to be open to the information when making decision.

Excessive reliance on the information from others

We often rely on certain individuals for information and support. Usually suitable – but if not closely involved in the problem situation they may not have the necessary information or knowledge to help make decision.

Placing too little emphasis on the information you receive from others

Members of team are most closely involved in a problem situation and have the most pertinent info in relation to the problem--- solution: involve team members in the decision making process.

Ignoring your intuition

On many occasions we are actually aware at a subconscious level of the correct course of action. Unfortunately, we often tend to ignore our intuition. Intuition is useful in non-standard situations and in expedient decision making.

Topic 247 Total Quality Management

What is quality?

"Meeting and exceeding the implied and stated needs of the customer"

Who is a customer?

(Also called client) is the recipient of a good, service, product, or idea, obtained from a seller, or supplier for monetary or other consideration of value

- **external customer**: the end user
- **internal customer**: other divisions of the company that receive the processed product

Customer satisfaction?

A measure of how products and services supplied by a company meet or surpass customer expectations

What is TQM?

- The integration of all functions and processes within an organization in order to achieve continuous improvement of the quality of goods and services
- A preventive culture to get things done right the first time

Total

- Made up of the whole

Quality

- Degree of excellence a product/ service provides

Management

- Act, art or manner of planning, controlling, and directing

TQM is the art of managing the whole (org) to achieve excellence

Topic 248 Absolutes of Quality

Philip Crosby - Quality is Free (1979)

- Quality is **defined** as conformance to requirements, not "goodness"
- The **system** for achieving quality is prevention, not appraisal

Philip Crosby - Quality is Free (1979)

- The performance **standard** is zero defects, not "that's close enough"
- The **measurement** of quality is the price of non-conformance, not indexes

The Framework of TQM

- Everyone in the organization must be committed to quality
- Relationships are changed within the organization
- Departments become customers of and suppliers to other departments – internal customers

The Framework of TQM

- These supplier/ customer relationships should ensure a chain of quality throughout the organization
- Weak links in this chain can be identified and strengthened
- Use of better working practices and worker commitment to quality

Topic 249 TQM and Continuous Improvement

- TQM aims for continuous improvement in all work
- It leads to continuously improving processes, technology, and people and machine capabilities in the org.
- The **key idea** is that mistakes can be avoided and defects can be prevented
- Mistakes may be made by people, but most of them are caused, or at least permitted, by faulty systems and processes.
- As such, root cause of such mistakes can be identified & eliminated, and errors prevented by changing the process (Gilbert, 1992)

Major tools:

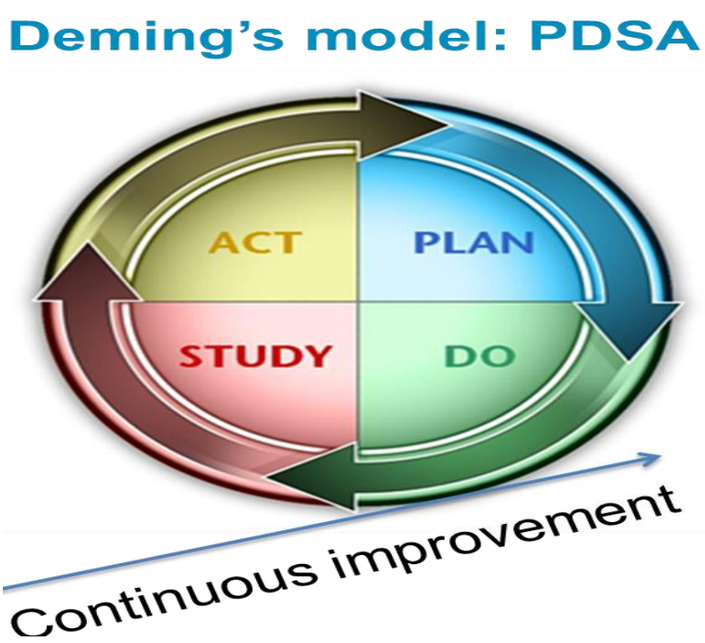
1. **Preventing** mistakes (defects) **from occurring** (mistake-proofing or poka-yoke).
2. Where cannot be absolutely prevented: **detecting them early** to prevent them being passed down the value-added chain (inspection at source/ next stage)
3. Where mistakes recur: stopping production until the process can be corrected, to prevent the production of more defects

Topic 250 Implementation Principles and Processes

- Preliminary step is to **assess current reality of the organization**
- i.e. org.'s history, its current needs, events that lead to TQM, and the existing quality of employee's working life
- If org. track record is of active responsiveness to environment, it will be easier to implement
- If an org. has been historically reactive and has no skill at improving its operating systems, there will be employee skepticism, and a **lack of skilled change agents** as well
- A management audit will identify current levels of org. functioning and areas to change

- An organization should be **basically healthy before beginning TQM**
- If it has significant problems such as an unstable funding base, weak administrative systems, lack of managerial skills, or poor employee morale, **TQM would not be appropriate** - Tichey'83

Topic 251 Steps in Managing the Transition



PLAN

- establish objectives
- establish a plan that will facilitate achieving goal
- establish a system of measurement

DO

- plan for implementation
- implement the plan on pilot basis

STUDY

- compare the results with the objectives
- identify gaps
- analyze the causes for gaps and exceptional results, if any

ACT

- Standardize procedures that met/exceeded goal
- If gaps, improve plan, & carry out PDSA again

Topic 252 TQM and ISO

ISO – International Organization for Standardization – established in 1947 to "facilitate the international coordination and unification of industrial standards"

- A management system to **monitor** the **functions** and **data** of a specific organization.
- ISO describes the **functions and the actions** that you need to be able to have the minimum standard of quality systems in place.
- ISO can be considered as a **tool to implement TQM**, and also has some requirements like **strict documentation** for audit purposes.

- You can easily monitor your records with ISO management system.
- TQM focuses on finding the best and maximum results, and how to get to them – it is a management program based on quality – TQM does not require any kind of documentation.
- ISO is a program to help you with the management process.
- TQM more of a program, it helps you become involved in the whole process in the proper manner.
- ISO requires more sophisticated data analysis.
- TQM is more practical.

Topic 253 Educational Administration

"The **systematic arrangement of human and material resources and programs** that are available for education**,** and **carefully using them systematically** within defined guidelines or policies, to achieve **educational goals"** (***Nwanko 1987).***

- Educational Administration (**EA**) is connected with:
  - educational management,
  - conduct,
  - operation, and
  - management of **whole** educational operation from conceptual framework to line of action
  - is concerned with the efficiency and commitment that the available manpower puts together to help in goal realization
  - adopts practical measures to ensure the work system assists educational process, & meets with the set goals and objectives

Topic 254 Nature of Educational Administration

- Educational institutions have constantly changing environment.
- About ¼th of their student population changes every year.
- Faculty/staff do not stay in the same place ever.
- So, there must always be a refreshing change in line with situation in the institution.
- Educational institutions must constantly identify and implement improvements in their setup – procedures, curricula, new needs and technologies.
- EA is to update teaching-learning process ensuring that the objectives are realized.
- Edu.admin.is not a thing of intellectual beauty but a hub of educational activities, where all excellent ideas policies and practices fail, in absence of good administration.
- It is the attitude of work, and efficiency in implementation.

Topic 255 Objectives of Educational Administration 1

- Execute: plans
- Direct: line of action
- Supervise: work done
- Advice: proper ways
- Stimulate: efficiency

- Explore: new vistas
- Lead: learners' program
- Assist: ways to adopt results and diagnose, all the practices done in the field of education

Execution lays foundation of an institution

- collects and puts resources together

Material resources building, furniture, labs…

Non-material resources i.e. human resources - managers, teachers….

Abstract resources ideas, ideals, philosophy

Direction fixes the aims which are generally contained in the 'Motto' of the educational institution

- Direction is needed continuously to remain focused till the 'Motto' is achieved
- For example, curriculum divided term-wise; must essentially be obeyed

Topic 256 Objectives of Educational Administration (2)

Supervision

Quality of supervision adds to quality of work

- Supervision is doubly needed in teaching and learning i.e. supervision in material resources and human resources
- Accomplishment of learning program is an indispensable task of EA

Advise & Stimulate

Take an analytical view, and then advise and stimulate new ways

- First observe the planned program, see the results of all those program, and weigh them wisely
- Promote new plans and see their feasibility for introduction in the task

Explore

Research & re-organize the whole program of education

- Explore if there is any set-back or room for improvement in the set program and plans
- Explore new methods, techniques and devices
- Education is a nonstop process – explore/reorg

Lead & Assist

Program needs to be initiated properly and directed well

- The objectives of EA become workable when they are assisted properly
- To run, handle and control whole program needs proper monitoring

Topic 257 Scope of Educational Administration (1)

- The scope of EA is quite widespread
- It includes all types of activities that take place in the field of teaching-learning task
- Administration must first **conceive** ***all round development*** of education and then ensure the **maximum development**

1. Planning: an activity which leads to future course of action

Tt ensures:

(i) Recognition of goals

(ii) Proper use of resources

(iii) Prevention of wastage, overlapping and haphazard efforts

(iv) Definiteness and orderly execution

2. Budgeting: quantitative expression of a plan for a defined period of time

- A process of giving an estimated account of revenues and expenditures
- Expresses strategic plans of the org.'s activities or events in measurable terms

Topic 258 Scope of Educational Administration (2)

3. Organizing: systematic arrangements of:

(i) ***Material equipment***

Buildings, furniture, libraries, laboratories, workshops, etc. to supplement learning

(ii) Human equipment

All persons involved in teaching-learning situations to contribute – students, teachers, HM…

4. Communicating

- Includes all the means, both formal and informal, by which information is passed up, down, and across the network of bosses, managers and staff
- Internal comm. is vital for relations and getting the job done – external is critical for survival

5. Coordinating

"Task of inter-relating various parts of the work".

- Division of labor exists in the working of an org
- As such, overall work is divided in components
- Each component is a responsibility of an individual or a group
- Coordination needed for goal accomplishment

Topic 259 Scope of Educational administration 3

6. Controlling

- Ongoing activity to verify whether things are progressing as planned
- Goals are expected to be achieved as specified in time, quantity, place, etc.
- Necessary to ensure compliance with set plans and curb/ restrain deviation–use authority

7. Decision making

- Reaching a judgment or conclusion regarding an issue
- Org. decision making is an institutionalized process – end product of combined efforts of people at diverse levels
- Decision is made from alternatives submitted to the decision maker

8. Staffing

- Whole personnel function of bringing in and training the staff, and maintaining positive work conditions

- Includes recruitment, dismissal, resignation, and retirement, staff health, safety and welfare, training, salary and wages, etc.
- The manpower needs

Topic 260 Role of School administrator

The school administrator has two important functions:

1. Administration of the school.
2. Supervisions of the personnel involved in teaching and learning includes everything in school: the plant, staff, curriculum, techniques and methods, co-curricular……

In old authoritarian schools, where the school administrator was a dictator, the SA (School administrator) only needed ability to inspire awe/fear in students and staff and all went well.

Now the emphasis is more on freedom of participation and reciprocal cooperation.

Leadership in democracy is known by the personalities it enriches, not by those it dominates or captivates.

- SA has to earn the leadership.
- Must come into close contact with teachers, students and parents.
- Earn trust.

Topic 261 Role of School Administrator 2

Community Leader

- SA needs to study their community thoroughly, learn its resources of wealth and deploy accordingly.
- Produce a continuous long term improvement programme.
- Exercise initiative to meet new needs.

Improvement of instruction

- The most important role – calls for deliberate, long-range planning.
- Requires creative, cooperative and constructive supervisions.
- Classroom visitation, patient work with teachers over time.

Curriculum Development and improvement

- Learning at school be constantly adapted to emerging needs/changes.
- Accept experiments.
- Be open to new ideas – encourage inquiry.
- Follow up studies of dropouts/slow learners.
- Provide time and space for curriculum work.

Topic 262 Role of School Administrator (3)

School plant management

- It includes all permanent and semi permanent structures/educational facilities in the school used for the achievement of all educational objectives: site, buildings, physical equipment, recreational spaces, textbooks, etc. (Olchuckwu, 2002)
- Desirable levels of students' academic performance may not be possible where instructional spaces such as classrooms, libraries, technical workshops and laboratories are lacking or ill-planned. (Ajayi, 2007)
- SA to ensure that every possible opportunity is realized to have the physical plant contribute positively to the approved educational process:
    1. Planning plant facilities
    2. Equipping the facilities
    3. Utilizing and maintenance

Topic 263 Functions of School Administrator

The SA has three fundamental functions:

- Administering meaning
- Administrating community
- Administering excellence

Administering meaning

- To provide opportunities to students to discover meaning in their world – the meaning of nature, of human affairs and human relationships.
- Enabling them to learn beyond memorizing superficial knowledge for success at examinations.

Administering community

- To convert the traditional separation of the individual from the community into their essential union.
- Creating more chances for cooperative learning and teamwork to build learning organization.
- Management by commitment not control.

Administering excellence

- To promote and encourage high quality performance in school, not only in terms of productivity, innovations or technical ability but more so in terms of the students' character and to mold them to be useful citizen and members of the society.

Topic 264 Administration vs. Management

- Educational administration and educational management are synonymous, often used interchangeably.
- Both mean getting things done in an organized manner to achieve the targets but the concepts are quite different.
- Administration is the setting up of objectives and crucial policies of every organization. Management is the act or function of putting into practice the policies and plans decided upon by the administration.
- Administration is a determinative function. Management is an executive function.
- Administrators are mainly found in government, military, religious and educational organizations. Management, on the other hand is used by business enterprises.
- Administration handles the business aspects. Management deals with employees
- Administration top level – owners who invest the capital and receive profits. Management middle level activity – group of managerial persons, who leverage their specialist skills to fulfil the objectives of an organization.
- Administration is planning, organizing. Management is motivating, controlling.

-

Topic 265 Supervision

Supervision is said to be a relationship between senior and junior member of a profession that:

- is evaluative,
- extends over time,
- serves to enhance the skills of the junior person, and
- monitors the quality of the services offered by the junior person
- defining supervision is challenging – there are **different meanings in different contexts**

Proctor (1987) stresses upon three domains:

1. *Formative* (*Educative*) relates to supervisee learning, development of skills and development of professional identity

2. *Normative* (*Managerial*) refers to accountability, developing best practice principles, ethical and legal considerations, compliance with organizational procedures and professional standards for the well-being of the users/ clients

***3. Restorative* (*Supportive*)** considers the impact of work on the supervisee and the necessary psychological support required to offer professional support to the supervisee - this function can help lessen the stresses and impacts of the work and promote supervisee's well-being

Topic 266 Supervision Implications

- The role of a supervisor, as differentiated from that of a manager, is often very hazy in a multi-level organization
- In some cases, every level of management gets involved in supervision and duplicates the function
- Often, this produces negatives results
- First, this leaves little time for managers to perform their own jobs, which are distinctly different, and essential
- Second, when the org. feels the managerial activities are not being done, it adds additional levels of management, increasing overhead costs
- Third, managers using up supervisors' work denies supervisors learning by experience – cannot be offset with training
- Study by Columbia University indicates that successful org. strengthens authority of first line supervisors and expands their control

Topic 267 Supervision in Organization (1)

Seven distinctively different positions can be found in any sizable org.

Mission workers

"The non-supervisory people who perform the work of their group – e.g. mission of accounting unit is to fulfill accounting needs – those who do the actual account work are mission workers- accountants, etc".

Personal service workers

"The non-supervisory people who work directly for a manager or supervisor".

- They provide help or service, but do not do "the work" – e.g., staff assistant, secretary

Lead workers

"Those who have some supervisory responsibility but the assigned mission work load is so heavy it leaves very little time for true supervision".

Supervisors

"People who have mission & lead workers reporting to them".

- Very important position
- Unique responsibility

Topic 268 Supervision in Organization (2)

Managers

"Those who have supervisors and/ or other managers reporting directly to them".

(Also = "line managers")

Staff Managers

(Also = "staff specialists")

"People who serve line managers with specialist advice, but have no mission workers,…etc.. reporting to them".

Top executives

"Members of top management who have managers or supervisors reporting to them, plan the org.'s future, figure how to acquire necessary resources and establish overall policy".

- Having a personal service worker (such as a secretary) reporting to a person do not qualify that person as a supervisor
- Only **mission workers and lead workers reporting to a person** will qualify the person as a supervisor
- Titles also do not qualify

Topic 269 Supervisor vs. Manager

- The supervisor is that member of the management team who has expert knowledge of the specific methods and techniques by which mission workers should be doing their work
- As such, supervisors do not do the same kind of work as mangers do
- Supervisor is concerned with **getting the work done today**
- Manager should be involved with resource management, anticipating the needs for tomorrow's work, and **planning for tomorrow**
- Org. does not perform as a team when these two positions get confused
- Supervisor plays very significant role, and fulfills three major responsibilities, as:

1) **Head of workgroup**
2) **Coordinator with other supervisors**
3) **Management member**

Topic 270 Major Responsibilities

1. Head of workgroup

Ensures that the work gets done, free of errors, meets quality standards, & within budgeted costs:

- To accomplish, gets involved in details of:
- How the work is going?
- How should be going?
- Equipment capacity?
- Likely to meet requisite quality/ costs / timeline?

2. Coordination with other supervisors

Coordination is a lateral function, not diagonal or triangular

- Often, a workgroup requires resources from other workgroups
- Supervisor of this group coordinates with others

- Allows the org. to work effectively as designed

3. Member of management

- As the mission workers look upwards into the org, they should see supervisor as denoting management – the first management person to solve issues and guide
- When managers look downwards, must see link to mission worker